

# Notes of International Politics

University of Mannheim      Department of Political Science

International Politics

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**Replication materials / L<sup>A</sup>T<sub>E</sub>X sources:**  **PanfoliF/Appunti di International Politics**

**Version:** v1.1 | **Last updated:** August 28, 2026

**Keywords:** game theory; deterrence; animal behaviour; formal models; bargaining

**JEL:** C72; D82

**Prepared for:** International Politics, taught by Prof. Dr. Bernard Beber

August 28, 2026

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## Part I

# Session 2

### Session 2, February 16: Grand theories of war and peace

\*\*\* (Bueno de Mesquita, 2013)[Chapter 5]

- (Levy, n.d.)
- (Lake, 2011)
- (Lake et al., 2021)
- (Milner et al., 2023)
- (Snyder, 2004)

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# 1 Bueno de Mesquita, 2013 Chapter 5

- War is generally inefficient compared to reaching a negotiated settlement.
- The risks of war may be exacerbated by uncertainty, making credible commitments, or winner-takes-all situation.
- Some important neorealist hypotheses about international peace and stability do not flow logically from that theory's core assumptions. Other important neorealist hypotheses are falsified by the empirical record.
- The link between power transition theory's assumptions and hypotheses is more clear-cut than is true in the case of neorealism.
- Some core power transition hypotheses follow from the theory's logic and are supported by evidence; others either do not follow logically or are not borne out by evidence.
- The power transition theory outperforms neorealism when it comes to offering a structural explanation for war, but its weaknesses point to a need to reconsider its approach to domestic politics.

Consider that estimates of war-related deaths per year in the past 100 years vary approximately from 1 to 2 million.

## 1.1 War and Uncertainty

The ex ante problems that seem to lead to war can be reduced to three main factors: (1) uncertainty, (2) commitment problems, and (3) indivisibility of issues (Fearon 1995; Slantchev 2003).

1 Absence of **credible commitments** between the sides.

1.1 The inability to **commit to negotiating** patiently rather than seizing the first-strike advantage exacerbates the risk of war (Powell 1999; Slantchev 2003)

1.2 The idea is that the Israelis give up some land in exchange for a guarantee of peace. An alternative formulation reverses the sequence of concessions—the Palestinian Authority disarms its factions that engage in violence against Israel in return for land concessions. Either approach is likely to fail because each induces a fundamental commitment problem.

**Land for peace** suffers from a time inconsistency problem.

2 Dispute is about an **indivisible objective** → No settlement can produce a compromise in this case of indivisibility, and so there is a severe risk of war. If control over all the land currently held by Israel is truly its irreducible objective, then the land is viewed as indivisible by Hamas.

3 This **uncertainty about the true probability of victory** or defeat might arise out of private (secret) information about the morale of their fighting forces, about knowledge of outside help, about the quality of their war plans, or a host of other possible factors.

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## 1.2 Realist Theory

Neorealist theorists believe that the distribution of power in the international system is a major factor in determining whether international affairs are stable or unstable. Stability refers to circumstances in which the sovereignty of key states is preserved (Gulick 1955). Instability refers to changes in the composition of the international system, especially changes involving the disappearance or emergence of “key” states following large wars. Key states are those whose assistance might be necessary to counteract a threat from a rival coalition of states.

In addressing war and instability, neorealist theories start with the following four assumptions:

1. International politics is anarchic.  $\Rightarrow$  there is no supranational authority that can enforce agreements between states.
2. States, as rational unitary entities, are the central actors in international politics.  $\Rightarrow$  domestic politics does not influence international politics.
3. States seek to maximize their security above all else and consider other factors only after security is assured.  $\Rightarrow$  states are not willing to trade away their security for other benefits. Other possible goals, such as wealth, are pursued only after security has been assured (Waltz 1979, 126).
4. States seek to increase their power as long as doing so does not place their security at risk.  $\Rightarrow$  states accept being weaker than they might otherwise be if the pursuit of greater power would place their security at risk.

Most important neorealist conclusions

1. Bipolar systems are more stable than multipolar systems.
2. States engage in balancing behavior so that power becomes more or less equally divided among states over time.
3. States mimic, or echo, one another's behavior.

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## 2 How Well Does Neorealism Do in Explaining War and Instability? Bipolar vs. Multipolar Systems

### Bipolar system

- Dominated by **two major powers**.
- Alliances and commitments are clearer.
- Neorealists argue that it creates **less uncertainty** and therefore **more stability**.

Bipolarity is thought to alleviate two of the conditions we have discussed that are thought to increase the risk of war: uncertainty and commitment problems.

### Multipolar system

- Contains **more than two major powers**.
- Alliances and third-party reactions are harder to predict.
- Traditionally associated with **greater uncertainty** and instability.

#### 2.0.1 Historical Examples and Justification for Neorealism

##### World War I

- Multipolar Europe had several major powers.
- Alliances and commitments were uncertain.
- Britain's and Italy's behavior was not fully predictable.
- This uncertainty supposedly contributed to instability.

##### Cold War

- Two clear blocs:
  - **US/NATO**
  - **USSR/Warsaw Pact**
- Commitments were much clearer.
- Used as evidence that bipolar systems involve less uncertainty.

#### 2.0.2 Problem with the Uncertainty Argument

The fact that multipolarity creates more uncertainty does **not automatically mean** that it creates instability.

Uncertainty may:

- make states more **cautious**;

- 
- make some states more **risk-acceptant**;
  - have different effects depending on decision makers.

Deutsch and Singer even argue that:

**multipolarity may be more stable precisely because it produces uncertainty.**

*Therefore : Uncertainty  $\nrightarrow$  Instability*

### 2.0.3 Problem for Neorealist Assumptions

The claim that bipolarity increases stability is **not logically derived from neorealism's basic assumptions**.

If leaders react differently to uncertainty:

- this conflicts with the **unitary rational actor assumption**;
- structural conditions would no longer produce similar state behavior;
- polarity would not have a predictable effect on stability.

### 2.0.4 Bipolar Balance of Power

**Implication:** Strict neorealist logic suggests that bipolar stability requires **near-perfect equality of power**.

In a multipolar system, stability depends on **blocking coalitions**.

A coalition controlling half the system's resources can prevent another coalition from becoming dominant.

Perhaps the most common claim among neorealist theorists is that war occurs only when both sides believe that their chance of winning is greater than 50 percent. This is a partial statement of what has come to be known as the balance-of-power theory. It invokes the idea that war is the product of mutual optimism by rival states, meaning that they overestimate their chances of victory

If the neorealist hypothesis were correct, we should observe no wars initiated by the weaker side. The evidence fails to support the hypothesis.

### 2.0.5 Essential vs. Inessential States

**Essential State** A state is essential if it is needed to form at least one:

- **blocking coalition**
- **winning coalition**

Other states have an incentive to protect it.

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**Inessential state** A state is inessential if coalitions can succeed without it.

Such a state becomes:

- expendable;
- vulnerable to elimination.

### 2.0.6 Example of a Stable Multipolar System

Even weak state E is essential to some blocking coalitions.

Therefore:

- other states have incentives to protect E;
- all states remain strategically relevant;
- the system can be **stable**.

### 2.0.7 Example of an Unstable Multipolar System

Coalitions can win without E.

Therefore:

- E is **inessential**;
- E can be eliminated without threatening the security of the others;
- the system is **unstable**.

### 2.0.8 Main Implication for Multipolarity

Multipolar systems can be stable under **many different distributions of power**.

Exact equality is not always required.

By contrast, bipolar systems may require a much more precise balance.

### Result

Neorealist assumptions may actually allow **more stable power distributions in multipolar systems than in bipolar systems**.

### 2.0.9 Historical Record of Essential and Inessential States

Inessential states are states that are unable to turn even one losing alliance into a winning or blocking coalition.

1. Essential states never become inessential.
2. Essential states are never eliminated from the international system.
3. Inessential states never become essential states.

- 
4. Inessential states are always eliminated from the international system.

Each of these propositions is historically false.

### 2.0.10 Bipolarity and Stability: War

A possible objection is that war is uncertain.

Even if one state is stronger, it may avoid attacking because victory is not guaranteed.

Let:

$$p = \text{probability of victory}$$

A attacks when:

$$p > U_{\text{status quo}}$$

assuming:

$$U_{\text{winning}} = 1, \quad U_{\text{losing}} = 0$$

War depends not only on power, but also on:

- expectations;
- risk;
- satisfaction with the status quo.

### Why This Contradicts Neorealism:

This model assumes states can make a:  $\Rightarrow$  **trade-off between security and power**

But according to Kenneth Waltz:  $\Rightarrow$  **security is the highest end.**

States seek power mainly as a **means to security**, not as an end in itself.

Allowing states to risk survival for possible gains in power therefore conflicts with core neorealist assumptions.

### 2.0.11 Overall Conclusion

The traditional claim: *Bipolarity*  $\rightarrow$  *Stability* has several problems:

- **uncertainty does not necessarily cause instability;**
- leaders may react differently to uncertainty;
- strict neorealist logic can make bipolar systems stable only under very narrow power distributions;
- multipolar systems can remain stable through **blocking coalitions;**
- introducing probabilistic risk-taking creates assumptions that contradict neorealism itself.

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## Central conclusion

**The hypothesis that bipolar systems are more stable than multipolar systems does not logically follow from neorealism's own assumptions.**

### 2.1 Bipolarity and Stability

1. First, variation in the response to uncertainty violates the unitary rational actor assumption, which contends that important choices in international politics are driven by structural factors, not by considerations internal to the state.
2. Second, if different decision makers respond to uncertainty in different ways, then there is no reason to expect any empirical relationship between bipolarity and stability at all.
3. Third, if leaders differ in how they respond to uncertainty, then the third hypothesis (that states mimic one another) does not hold up.
4. Starting from the neorealist assumptions, we can show that it is logically true that more distributions of power are stable in a multipolar world than in a bipolar world.

### 2.2 History and Neorealist Empirical Claims

1. The international system was multipolar in structure from 1648 until the defeat of Germany in 1945. Thus, between 1648 and 1945 there were many major powers with no one or two predominating.  $\Rightarrow$  The bipolar system began in 1945 and lasted until about 1989.
2. Using Jack Levy's (1983) classification of great powers since 1492, we can determine whether the longevity of the bipolar system was comparatively long or short.  $\Rightarrow$
3. Another way to evaluate the stability of the international system is to examine the frequency of wars among the most influential states in the world
4. The UN Security Council (UNSC), then, by institutionalizing a multipolar decision-making structure, has provided a counterweight to bipolarity. This too may be an explanation for the long peace.
5. The average interval between general wars is thirty-four years; the longest interval is ninety-nine years, much longer than the so-called long peace. It appears, then, that the bipolar, long peace cannot be considered unusually long after all and that bipolarity is not a superior treatment for the disease of major power war than is multipolarity.



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### 3 The Power Transition

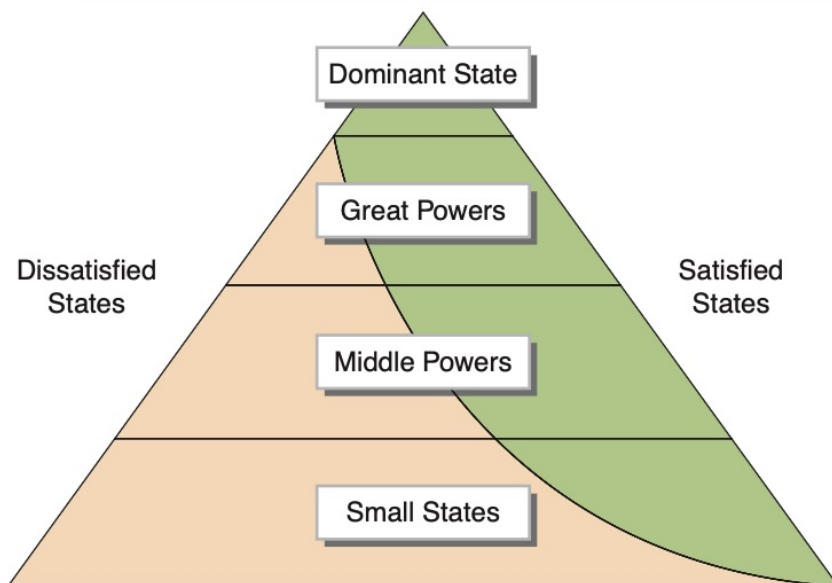
Building on the work of Edward Carr (1939, 1945) and Organski (1958) constructed what was perhaps the first challenge to realism that was neither idealistic nor normative.

- The international system is not anarchic.
- There is only one dominant state at any given time.
- Rather than wishing to maximize security or power, nations are interested in maximizing their **control over the rules and customs that govern international interactions** so that they can define the status quo according to their interests.

Bretton Woods Agreement  $\Rightarrow$  These agreements still maintain a rule-based and normative influence on the trading practices of their members.

**Dissatisfaction**  $\Rightarrow$  it is the more powerful dissatisfied states that represent the biggest threat to international peace and stability.

**FIGURE 5.5** The Power Transition Power Triangle



Power transition theory divides the world into two coalitions: (1) satisfied states and (2) dissatisfied states. The stronger a state is, the more likely that it is satisfied with the organization of the international system and the status quo that reflects that system's rules. Weaker states are more likely to be dissatisfied.

**Source:** Organski (1958).

Figura 1

#### 3.1 Dissatisfaction, the Status Quo, and War

Conflict arises when a dissatisfied state grows strong enough to challenge the authority of the hegemon. Because such a challenge concerns the very way in which international affairs are conducted, the ensuing conflict is fierce and costly.

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This time period during which the challenger roughly comes to equal and then surpass the dominant state in power is known as the power transition. It is the time when the threat of a major war is hypothesized to be at its peak. **Contrary to the balance-of-power perspective**, power transition and hegemonic stability theorists believe that major wars are most likely to occur when the power of the opposed states is about equal.

**According to these theorists, a balance of power promotes war.** They maintain that system-transforming wars—that is, wars that lead to a new power hierarchy and to new rules and norms—will occur only when the power of a challenger and the dominant state are about equal and the power of the challenger is increasing faster than that of the dominant state. These claims have been extended and shown to have **empirical strength** at the regional as well as the global level, so that regional hegemons apparently face the same pressures and the same sources of war as their global counterparts.

Threatening balance of power emerges as a result of differing rates of internal growth between a dominant state and a challenger state. These theories still give little attention to domestic politics per se, but they do recognize that internal factors shape rates of growth.

Power transition theory leads to the hypothesis that system-transforming, high-cost wars are especially likely when a dissatisfied challenger state achieves approximate power parity with the dominant, status quo-defending state.

Kim and Morrow have shown that the distribution of power at which the rivals will fight depends on their willingness to take the risks of waiting. The longer the challenger waits to attack, the higher is its probability of victory. This is true because the challenger's power is growing faster than the dominant state's power. Thus, the longer the challenger puts off a war, the greater will be the odds in its favor. However, the longer it waits, the longer it must endure the rules of international intercourse with which it is dissatisfied.

Kim and Morrow have shown that the interval during which the challenger is willing to fight expands as the expected costs of the war increase, as the challenger's dissatisfaction with the status quo increases, as the challenger's relative growth rate declines, and as the challenger becomes more risk acceptant.

How long the challenger and the dominant states will wait before fighting depends on their respective responses to risk, their relative rates of growth, the expected costs of the war, and their respective degrees of satisfaction with the status quo.

Differences in growth rates turn out not to be crucial empirically.

Power transitions per se cannot explain especially costly wars.

**FIGURE 5.6**

**Power Transition Theory and the Likelihood of War**

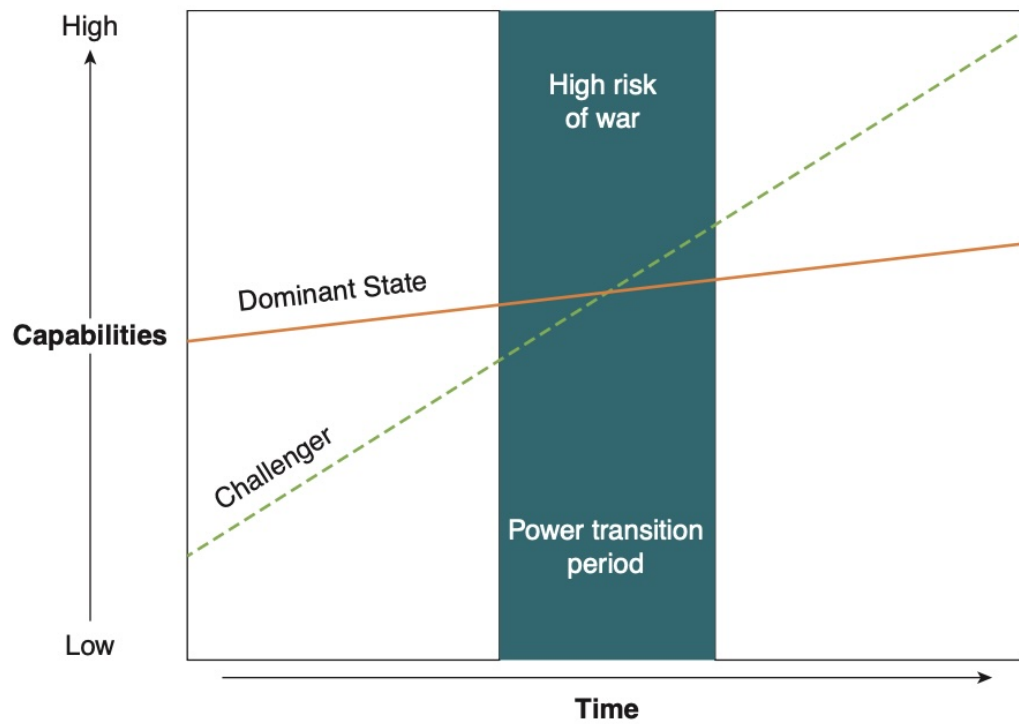


Figura 2

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## 4 Levy, n.d.

This makes it hard to argue that human nature and related factors are causes of war. The point is that these factors are constants and cannot explain the variations in war and peace over time and space (Waltz 1959, Cashman 1993).

Why does war occur at some times rather than other times, between some states rather than other states, under some political leaders rather than others, in some historical and cultural contexts rather than others, and so on? This differs from still a third question: How do we explain the origins of a particular war? Most international relations scholars (and particularly those in North America) focus primarily on the second question, explaining variations in war and peace. They leave the question of why war occurs at all to philosophers and biologists and leave the question of why a particular war occurs to historians.

Although **anarchy** may provide one persuasive answer to the question of the permissive causes of war, it is generally treated as a structural constant and consequently it cannot account for variations in war and peace.

### 4.1 The Levels-of-Analysis Framework

Waltz (1959) classified the causes of war in terms of their origins in the individual, the nation-state, and the international system  $\Rightarrow$  levels-of-analysis framework as an organizing device for the study of war.

In this sense the systemic level of analysis refers to explanations of patterns and outcomes in the international system; the dyadic level refers to explanations of the strategic interactions between two states; the national level refers to explanations of state foreign policy behavior; the organizational level refers to explanations of the behavior of organizations; and the individual level refers to explanations of the preferences, beliefs, or choices of individuals.

We cannot assume that correlations or causal connections at one level of analysis are necessarily valid at another level. It is conceivable, for example, that concentrations of power may promote peace at the dyadic level but war at the system level.

### 4.2 Systemic-Level Theories

The realist tradition has dominated the study of war since Thucydides and includes Machiavellians, Hobbesians, classical balance of power theorists, Waltzian neorealists, and hegemonic transition theorists. Although different realist theories often generate conflicting predictions, they share a core of common assumptions: the key actors in world politics are sovereign states that act rationally to advance their security, power, and wealth in a conflictual international system that lacks a legitimate governmental authority to regulate conflicts or enforce agreements.

- they use Prisoner's Dilemma and stag-hunt models
- The core proposition of realist theory is that the distribution of power, throughout the system or within a dyad, is the primary factor shaping international outcomes.

We should treat realism as a paradigm rather than as a theory, and focus instead on specific theories that generate more determinant, testable propositions.

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#### 4.2.1 Hegemonic Theory or Power Transition Theory

Hegemonic theory is a structural theory that incorporates power transition theory and hegemonic stability theory and that **downplays the importance of anarchy**.

Hegemons commonly arise and use their strength to create a set of political and economic structures and norms of behavior that enhance the stability of the system while advancing their own security. Differential rates of growth, the costs of imperial overextension, and the development of vested domestic interests lead to the rise and fall of hegemons, and the probability of a major war is greatest at the point when the declining leader is being overtaken by the rising challenger.

Power transition theorists disagree somewhat on the precise identity of hegemonic wars and the particular causal dynamics from which they arise.

#### 4.2.2 Balance of Power Theory

Balance of power theory is more concerned with explaining national strategies, the formation of blocking coalitions, the avoidance of hegemony, and the stability of the system than the origins of wars, which are underdetermined.

There is a major debate, however, between classical realists, who argue that stability is further supported by the presence of a multipolar distribution of power and a “flexible” alliance system (Morgenthau 1967, Gulick 1955), and neorealists, who argue that bipolarity is more stable than multipolarity (Waltz 1979, Mearsheimer 1990).

**Balance of power theory and power transition theory appear to be diametrically opposed**; the former argues that hegemony never occurs and that concentrations of power are destabilizing, and the latter argues the opposite.

#### 4.2.3 Realism and Liberalism

The relationship between economic interdependence and war is an old question that has attracted new attention in the past few years.

**Liberal economic theory of war:** Montesquieu [1777 (1748)] stated that “peace is the natural effect of trade,” and liberal economic theorists since Smith [1937 (1776)] and Ricardo [1777 (1817)] have argued that capitalist economic systems and the free exchange of goods in an international market economy are the best guarantors of peace.

**Realist:** they often argue that the effect of trade on war is small relative to that of military and diplomatic considerations. They also question the liberal assumption that trade is always more efficient than military coercion in expanding markets and investment opportunities and in promoting state wealth.

Whether the incentives for the gains from trade dominate the incentives for coercion or protection based on economic asymmetries, and whether the latter escalate to trade wars and militarized conflicts, are empirical questions that analysts have only recently begun to analyze systematically.

#### **Historical and empirical evidence of trade between enemies**

Although liberals and realists disagree on the effects of trade on war, **they appear to agree that trade and other forms of economic interchange between societies will cease or be drastically reduced once states are at war with each other**. Contrary to both liberal and realist expectations, however, **there are numerous historical cases of trade between enemies** during wartime, and a preliminary quantitative study suggests that war frequently

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does little to depress the volume of trade between adversaries (Barbieri & Levy 1997).

Need to incorporate domestic variables into their hypotheses

**States often hesitate to terminate trade with the enemy for fear that they will lose that trade to a third party**, who may be a greater economic or military rival.

These omissions have led all but the most committed neorealists to conclude that **systemic-level theories are theoretically incomplete and empirically inadequate**, in that **they leave too much of the variation in the outbreak and expansion of war unexplained**.

### 4.3 Social-Level Theories

Although interest in Marxist-Leninist theories has waned, there has been a tremendous growth of research on the relationships between regime type, particularly democratic regimes, and war (analyzed by Ray in this volume). Scholars have also devoted attention to the "diversionary" use of force for domestic political purposes, to the impact of ethnonationalism on international conflict, and to other domestic sources of international conflict.

"rally around the flag" effect (Mueller 1973).

This is the age-old "scapegoat hypothesis" or "diversionary theory of war" (Levy 1989a).

As Bodin argued, "the best way of preserving a state, and guaranteeing it against sedition, rebellion, and civil war is to...find an enemy against whom [the subjects] can make common cause" (quoted in Levy 1989a, p. 259).

research on the scapegoat hypothesis

The absence of significant findings regarding the relationship between internal and external conflict contrasts sharply with evidence of external scapegoating from historical and journalistic accounts and from a growing body of case-study evidence.

Most of these studies have focused on democratic regimes, partly because of the ease of measuring elite support levels but also because of the assumption that the greater political accountability of leaders in democratic states makes them more likely than authoritarian leaders to engage in external scapegoating.

These models help to explain "gambling for resurrection" through risky foreign policies by poor leaders who expect to be removed by their constituents (Downs & Rocke 1995).

This raises the question of how external actors perceive and respond to diversionary actions.

Marxist-Leninist models of imperialism, like models of scapegoating, implicitly assume that external expansion and the use of force serve the interests of the ruling class or elite but not those of society as a whole.

If the costs of aggressive foreign policies are too high—and we have enough examples of "imperial overstretch" to suggest that they sometimes are—it is not clear how elites maintain their power. As Snyder (1991) argued, groups concentrated enough to benefit from overexpansion are too narrow to control state policy, while those broad enough to control policy are too diffuse to reap benefits from overexpansionist policies.

For Snyder, this rationalist model of logrolling is not sufficient to explain overexpansion or the stability of the ruling coalition.

### 4.4 Individual-Level Theories

decision-making is characterized by "bounded rationality" **Assumptions:**

- 
- (a) that external and internal structures and social forces are not translated directly into foreign policy choices;
  - (b) that key decision-makers vary in their definitions of state interests, assessments of threats to those interests, and/or beliefs as to the optimum strategies to achieve those interests; and
  - (c) that differences in the content of actors' belief systems, in the psychological processes through which they acquire information and make judgments and decisions, and in their personalities and emotional states are important intervening variables in explaining observed variation in state behaviors with respect to issues of war and peace.

**Prospect Theory** one of the most recent attempts to apply a social-psychological model to international relations (Kahneman & Tversky (1979)).

Prospect theory assumes that people evaluate outcomes in terms of deviations from a reference point or aspiration level rather than in terms of net-asset levels.

This asymmetry of behavior with respect to gains and losses means that the way people frame their reference point in any given choice problem is critical.

#### 4.5 General Trends

- shift away from the systemic level: dissatisfaction with the failure of structural systemic models to explain enough of the variance in war and peace. This shift has led to rising interest in both dyadic-level behavior and societal-level explanatory variables.
- Whatever the relationship between concentrations of military and economic capabilities at the systemic level, there is substantial evidence that at the dyadic level an equality of capabilities is significantly more likely to lead to war.
- In the past decade most international relations theorists have moved beyond their earlier preoccupation with explanations at a single level of analysis and debates about which level provides the most powerful explanations. They now give much more attention to interaction effects among variables at different levels in the processes leading to war

### 5 One World Rival Theories

Snyder (2004)

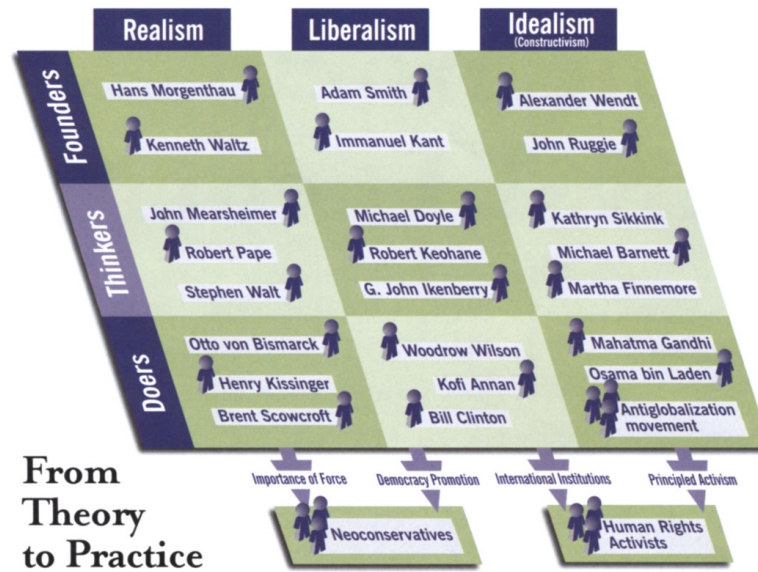


Figure 3

Realism instills a pragmatic appreciation of the role of power but also warns that states will suffer if they overreach. Liberalism highlights the cooperative potential of mature democracies, especially when working together through effective institutions, but it also notes democracies' tendency to crusade against tyrannies and the propensity of emerging democracies to collapse into violent ethnic turmoil.

Idealism stresses that a consensus on values must underpin any stable political order, yet it also recognizes that forging such a consensus often requires an ideological struggle with the potential for conflict.

It is harder for the normally state-centric realists to explain why the world's only superpower announced a war against al Qaeda, a nonstate terrorist organization. How can realist theory account for the importance of powerful and violent individuals in a world of states? Realists point out that the

Post-9/11 developments seem to undercut one of realism's core concepts: the balance of power.

When Germany unified in the late 19th century and became Europe's leading military and industrial power, Russia and France (and later, Britain) soon aligned to counter its power. Yet no combination of states or other powers can challenge the United States militarily, and no balancing coalition is imminent.

## 5.1 The Divided House of Liberalism

For its part, the Bush administration highlights democracy promotion while largely turning its back on the international institutions that most liberal theorists champion.

The belief that democracies never fight wars against each other is the closest thing we have to an iron law in social science.

Shortly before September 11, political scientist G. John Ikenberry studied attempts to establish international order by the victors of hegemonic struggles in 1815, 1919, 1945, and 1989. He argued that even the most powerful victor needed to gain the willing cooperation of the vanquished and other weak states by offering a mutually attractive bargain, codified in an international constitutional order.



## The Leading Brands

| Theories:                                                  | Realism                                                                                                                                                               | Liberalism                                                                                                                                                                       | Idealism<br>(Constructivism)                                                                                                                    |
|------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------|
| Core Beliefs                                               | Self-interested states compete for power and security                                                                                                                 | Spread of democracy, global economic ties, and international organizations will strengthen peace                                                                                 | International politics is shaped by persuasive ideas, collective values, culture, and social identities                                         |
| Key Actors in International Relations                      | States, which behave similarly regardless of their type of government                                                                                                 | States, international institutions, and commercial interests                                                                                                                     | Promoters of new ideas, transnational activist networks, and nongovernmental organizations                                                      |
| Main Instruments                                           | Military power and state diplomacy                                                                                                                                    | International institutions and global commerce                                                                                                                                   | Ideas and values                                                                                                                                |
| Theory's Intellectual Blind Spots                          | Doesn't account for progress and change in international relations or understanding that legitimacy can be a source of military power                                 | Fails to understand that democratic regimes survive only if they safeguard military power and security; some liberals forget that transitions to democracy are sometimes violent | Does not explain which power structures and social conditions allow for changes in values                                                       |
| What the Theory Explains About the Post-9/11 World         | Why the United States responded aggressively to terrorist attacks; the inability of international institutions to restrain military superiority                       | Why spreading democracy has become such an integral part of current U.S. international security strategy                                                                         | The increasing role of polemics about values; the importance of transnational political networks (whether terrorists or human rights advocates) |
| What the Theory Fails to Explain About the Post-9/11 World | The failure of smaller powers to militarily balance the United States; the importance of non-state actors such as al Qaeda; the intense U.S. focus on democratization | Why the United States has failed to work with other democracies through international organizations                                                                              | Why human rights abuses continue, despite intense activism for humanitarian norms and efforts for international justice                         |

Figura 4

### 5.2 Idealism

Idealism: the belief that foreign policy is and should be guided by ethical and legal standards.

**Constructivism is a new version of idealism:** holds that social reality is created through debate about values, often echoes the themes that human rights and international justice activists sound.

Perhaps most important, Europe's increasingly legalistic approach to international relations, reflected in the process of forming the European Union out of a collection of sovereign states, provides fertile soil for idealist and constructivist conceptions of international politics.

**Whereas realists dwell on the balance of power and liberals on the power of international trade and democracy, constructivists believe that debates about ideas are the fundamental building blocks of international life. Individuals and groups become powerful if they can convince others to adopt their ideas.**

Realists failed to predict the end of the Cold War, for example. Even after it happened, they tended to assume that the new system would become multipolar.

Likewise, the liberal theory of democratic peace is stronger on what happens after states become democratic than in predicting the timing of democratic transitions, let alone prescribing how to make transitions happen peacefully.

Constructivists are good at describing changes in norms and ideas, but they are weak on the material and institutional circumstances necessary to support the emergence of consensus about new values and ideas.

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With such uncertain guidance from the theoretical realm, it is no wonder that policymakers, activists, and public commentators fall prey to simplistic or wishful thinking about how to effect change.

## **6 Why "isms" Are Evil David Lake**

Lake, 2011

### **6.1 Central Argument and Purpose**

Lake's essay is a critique of how international studies is organized intellectually and professionally. His central claim is not that theoretical diversity is undesirable, but that scholars have turned theoretical traditions and epistemological preferences into academic "sects." Instead of using theories as limited tools for understanding specific problems, researchers often treat broad traditions such as realism, liberalism, constructivism, Marxism, neoliberal institutionalism, feminism, or the English School as competing intellectual religions. Each group tends to defend its own assumptions, produce research that confirms those assumptions, and debate rival traditions at the level of first principles. In Lake's view, this sectarian organization generates less understanding rather than more. It also distracts scholars from their fundamental social responsibility: improving knowledge of world politics and, where possible, identifying ways to promote more humane outcomes.

The problem is especially serious because the discipline does not possess a single, universal and empirically powerful theory of international politics. World politics is too complex, and existing knowledge is too incomplete, for one general framework to explain everything. Lake therefore urges intellectual humility. Scholars should accept that most theories are partial and contingent, specify the conditions under which they apply, and concentrate on mid-level explanations of concrete phenomena. He favors "analytic eclecticism": researchers should be willing to draw on different assumptions and theories when different problems require different tools. At the epistemological level, he makes a parallel argument. The divide between nomological and narrative forms of explanation is real and enduring, but neither approach is universally superior. Both can produce valid knowledge, and the relevant question is which approach is most illuminating for a particular research problem.

### **6.2 Theory: How Research Traditions Become Academic Sects**

Each research tradition contains a set of core assumptions concerning the relevant actors in world politics, their interests, the processes through which they make decisions, and the nature of political interaction.

International politics is an exceptionally complicated social system, so it is unsurprising that different approaches illuminate different parts of it. The discipline's weakness lies not in pluralism itself but in the professional practices that transform pluralism into sectarianism.

### **6.3 The first pathology: reifying research traditions**

The first pathology is the reification of research traditions. Scholars routinely organize literature reviews, courses, graduate seminars, handbooks, and disciplinary histories around familiar "isms." This has practical advantages because it provides a convenient map of a large literature, but it also creates artificial boundaries. Complex scholarship is reduced to a few recognizable schools,

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subtle differences within traditions disappear, and authors are classified according to labels they may not accept themselves. In the process, qualifications and subtleties are often lost. Scholars may see their own work as eclectic and nuanced while categorizing opponents as "realists," "constructivists," or "liberals." As a result, intellectual identities are partly imposed by others. The discipline collectively produces the very categories that then appear to be natural and independent objects.

#### **6.4 The second pathology: reification of canonical works and rewarding extremism**

Younger scholars learn that professional recognition may come from taking a distinctive sectarian position. New "isms" and specialized sections of professional become vehicles for status and intellectual entrepreneurship.

#### **6.5 The third pathology: confusing traditions with theories**

The third pathology is the tendency to mistake a research tradition for a complete theory.

Several distinct theories can coexist inside a single tradition—for example, offensive realism, defensive realism, and neoclassical realism. They share some core premises but differ in auxiliary assumptions.

Because traditions are often underspecified, they cannot be meaningfully "tested" as wholes. Yet scholars frequently stage empirical contests between traditions as if each generated clear predictions, producing debates in which each side can interpret evidence as confirmation.

#### **6.6 The fourth pathology: selective empirical focus**

The fourth pathology is empirical selectivity. Researchers tend to study the **topics, periods, and cases in which their preferred tradition performs well**.

This pattern can emerge naturally because scholars test theories where they initially expect them to work, while journals and publishers also favor positive findings.

The cumulative consequence is self-confirmation. Each tradition studies its strongest domain, finds supportive evidence, and then treats that evidence as proof of general explanatory power.

#### **6.7 The fifth pathology: the search for intellectual hegemony**

The fifth pathology is the aspiration of each research tradition to become the dominant scientific paradigm. Professional incentives reinforce this competition. If a tradition becomes dominant, its leading scholars gain status, influence, and control over disciplinary agendas. Because every group fears losing ground to its rivals, competition for hegemony resembles an arms race: even scholars who would prefer cooperation feel pressure to defend and expand their approach. The collective result is worse for everyone. Rather than acknowledging the limited scope of existing theories, research communities expend enormous energy debating assumptions. Comparable theories are not applied to the same phenomena.

#### **6.8 Lake's Alternative: Problems, Partial Theories, and a Common Lexicon**

Lake's preferred alternative is to reorganize scholarship and academic life around substantive problems rather than around intellectual sects. The guiding question would then be "What do we

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know about this problem?" rather than "What are the core assumptions of this school?" Such an organization would encourage scholars to compare explanations on the basis of their contribution to understanding a phenomenon instead of their loyalty to a tradition.

A central part of this alternative is what Lake calls an "embrace of partiality." His metaphor is the familiar image of several people touching different parts of an elephant: each theory may capture one part accurately, while no single theory describes the entire animal.

## 6.9 Interests, interactions, and institutions

Analytic eclecticism creates a possible communication problem: if scholars abandon fixed traditions, the field could become a "tower of Babel" in which theories are too different to compare. Lake therefore proposes a common lexicon built around three broad concepts: interests, interactions, and institutions. Any complete theory of politics must specify who the relevant actors are, what they want, how they interact, and the institutional environment in which interaction occurs.

This lexicon is deliberately neutral among traditions so that it can still be translated into the same basic questions about actors, interests, interactions, and institutions.

## 6.10 Epistemology: The Enduring Divide

Lake then turns from theory to epistemology. He identifies a deep divide between nomological and narrative forms of explanation. He does not believe that one epistemology will or should defeat the other. The discipline should therefore accept epistemological diversity.

## 6.11 The nomological approach

The nomological approach seeks generalizable explanations based on covering laws or theoretically specified relationships. It typically uses the hypothetical-deductive method: researchers derive falsifiable propositions of the form "if X, then Y" and test them using designs that approximate controlled experiments. True experiments offer the strongest internal validity, followed by quasi-experiments and then correlational studies such as regression analysis. External validity therefore rests on clearly specified scope and boundary conditions.

## 6.12 The narrative approach

The narrative protocol begins with a descriptive order that links events. It then constructs an interpretation of the historical facts.

Abduction.

The objective is to produce a **convincing and plausible account** of events.

Narrative explanations are often richer and more holistic than nomological models.

Their weakness is that the criteria for judging causal adequacy are more subjective.

## 6.13 Epistemological Sectarianism and Lake's Recommendations

The same pathologies that affect theory also affect epistemology.

Epistemological gatekeepers can influence hiring, resource allocation, publication, and access to professional networks, encouraging scholars to cluster with others who share the same standards

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of explanation. Lake sees no objective basis for declaring one epistemology universally superior. Scholars may simply find one form of explanation more intuitively satisfying than another, much as some people find beauty in mathematics and others in poetry.

## 6.14 Conclusion

Lake's alternative is more problem-centered.

The ultimate measure of success should be whether scholarship improves our understanding of world politics and contributes, where possible, to social progress.

# 7 Challenges to the Liberal Order: Summary

*David A. Lake, Lisa L. Martin, and Thomas Risse (2021)*

## 7.1 Introduction and Central Argument

The Liberal International Order (LIO) is under pressure from several directions at once. The authors emphasize that the postwar order has survived serious crises before, so its collapse should not be assumed.

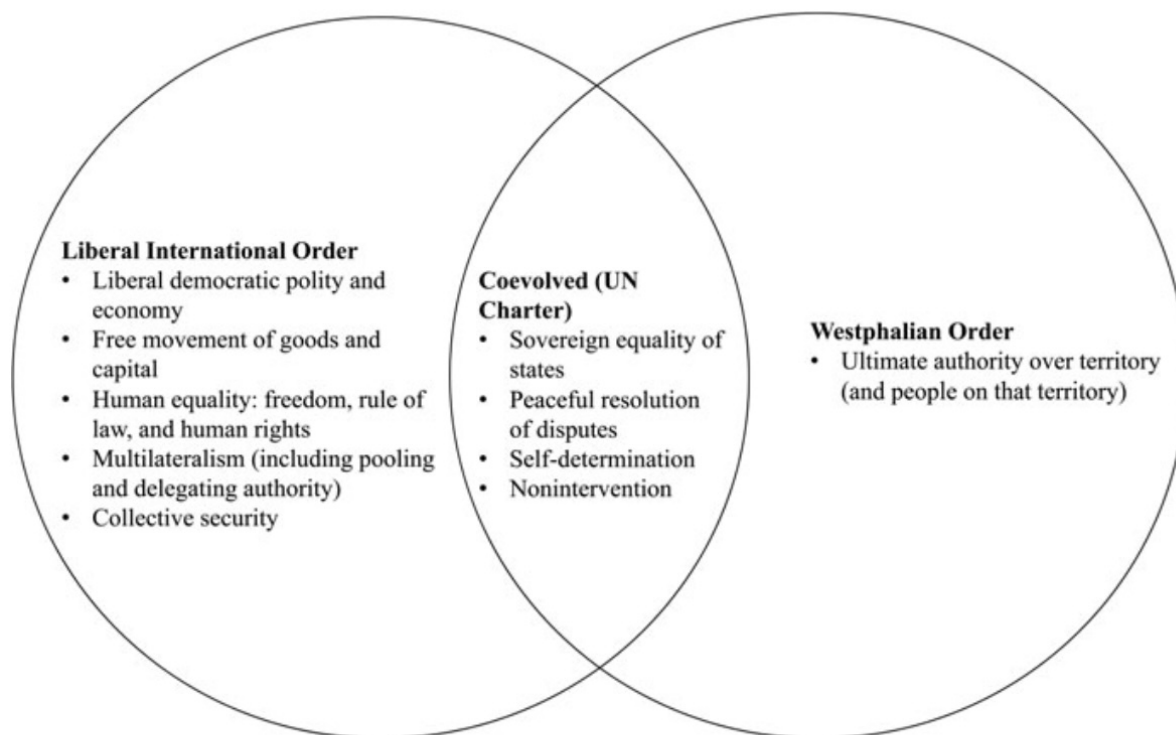
The LIO has structured relations among the capitalist, democratic, and industrialized states since the late 1940s and has had wider global effects. It is associated with unprecedented cooperation among North America, Western Europe, and Japan, the emergence of a pluralistic security community, expansion of trade and capital mobility, high economic growth, the diffusion of democracy, and the development of an international human-rights regime.

## 7.2 Order

An order consists of patterned or structured relations. The LIO is clearly rule-governed and sustained by coordinated action by both state and nonstate actors.

## 7.3 International and the Westphalian Order

The "international" component of the LIO has to be understood in relation to the Westphalian order. In the authors' usage, Westphalia is not literally a system created in 1648 but a later order centered on sovereign nation-states, sovereign equality, recognition by other states, and noninterference in domestic affairs. The LIO and the Westphalian order partly overlap and have coevolved since 1945. They share principles such as sovereign equality, peaceful settlement of disputes, self-determination, and nonintervention. At the same time, the LIO goes beyond Westphalia through principles such as human rights and forms of legitimate collective intrusion into domestic affairs.



**FIGURE 1.** *The LIO and the Westphalian order*

Figura 5

#### 7.4 Liberal: Political Liberalism

At its philosophical core, liberalism rests on universal human equality, freedom, and individual and collective self-determination. Political liberalism therefore implies the rule of law, representative government, political participation, and protection of individual rights.

Institutions such as the International Criminal Court and doctrines such as the Responsibility to Protect illustrate how the LIO can authorize constraints on domestic sovereignty in the name of universal rights.

#### 7.5 Economic Liberalism and Embedded Liberalism

A classical version favors market capitalism, free trade, international capital mobility, and equal treatment of foreign investment.

A second, historically important version is embedded liberalism. The postwar architects of the Bretton Woods system combined trade liberalization with domestic welfare states.

The distinction is important because economic liberalism does not automatically contradict Westphalian sovereignty.

The LIO broadly liberalized goods, services, and capital but never generally established free movement of labor outside the EU.

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## 7.6 Liberal Internationalism

The institutional dimension of the LIO is based on principled multilateralism. Multilateralism means more than coordination among several states: it means coordination according to generalized rules that apply across cases rather than ad hoc bargaining based solely on particular interests. The GATT, WTO and UN Charter exemplify this logic. Liberal internationalism also includes peaceful dispute resolution, the ambition to provide global public goods, security communities such as NATO, and multilateral arms-control and nonproliferation regimes.

### Tensions with Westphalia:

1. Authority is delegated supranational bodies
2. Majority voting
3. Dispute-settlement mechanisms
4. International courts.

## 7.7 Universalism and Selective Participation

The LIO contains a paradox. Because liberalism begins from universal equality, the order is in principle open to all states. Yet states can join important parts of the LIO without being liberal democracies.

The LIO is therefore best understood as an evolving order whose components vary in reach rather than as a single uniform system imposed everywhere by the United States.

## 7.8 Challenges from Within the Liberal Core

The most striking contemporary threats come not only from geopolitical rivals but also from the internal workings of liberalism itself. The authors identify several mechanisms through which the LIO generates opposition within its own core members.

1. Economic liberalism creates winners and losers. Trade openness, technological change, global production chains, and the financial crisis of 2008–2010 have produced geographically concentrated losses and contributed to rising inequality.
2. Political openness can be used against liberalism. Freedom of expression and the open architecture of the internet allow misinformation, foreign influence, and strategies of "truth subversion" to circulate widely.
3. Free-trade policies and supranational governance were sometimes insulated from popular pressure in order to prevent protectionism and secure long-term cooperation. Over time, however, this technocratic insulation excluded some constituencies and created resentment. International institutions appeared less responsive to citizens.
4. liberal universalism collides with national identity. Who belongs to the national community? Migration is a problem

## 7.9 Nationalist Populism and Political Realignment

These pressures converge in movements combining nationalism, populism, and authoritarianism. Nationalism prioritizes the interests and identity of a particular state; populism pits a supposedly

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homogeneous "people" against elites and pluralist institutions; authoritarianism rejects liberal constraints such as independent courts, a free press, and fair electoral competition.

### 7.10 External Challengers

- Climate change
- Distributional conflicts due to Climate change
- China: Its extraordinary economic growth was enabled by participation in the open international economy, yet China remains authoritarian and strongly defends sovereignty and noninterference.

### 7.11 The Erosion of Multilateral Institutions

Internal and external challenges converge most directly in attacks on multilateralism. Multilateral institutions have experienced crises before, including the collapse of the Bretton Woods monetary system and the US decision to invade Iraq without broad UN support. What appears different in the contemporary period is the breadth of skepticism and the willingness of major states to weaken institutions without a clear systemic necessity.

1. WTO crisis: Even before the recent crisis it struggled to negotiate large new trade agreements. The United States combined protectionist tariffs with a strategy of blocking appointments to the WTO Appellate Body, impairing enforcement.
2. Refugee crisis: The refugee regime illustrates a broader erosion of multilateral commitments. The principle of nonrefoulement and the 1951 Refugee Convention created legal obligations toward asylum seekers, yet receiving states have increasingly adopted restrictive or deterrent policies.

### 7.12 Sources of Resilience

1. the order has produced substantial benefits: reduced conflict among core members, economic growth, lower global poverty, and extensive international cooperation.
2. LIO has generated vested interests: Firms have built global investments and supply chains that depend on open trade and predictable international rules. The same interdependence that creates vulnerability can also reinforce support for openness.
3. the LIO institutions can outlast the circumstances that produced them and act as shock absorbers during crises.
4. **Legitimacy:** After decades of operation, many rules of multilateral cooperation have acquired a sense of normality and rightfulness. Practices that once required active justification can become taken for granted as normal components of international life.

**Accumulated normative capital**

**Political baseline**



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### 7.13 Four Analytic Blind Spots in IR Scholarship

1. **Exclusion**, stigma, and the threat of losing membership help enforce order. Exclusion is not merely a defect at the margins of the LIO.
2. **Orders Are Not Neutral:** distributional consequences and the fact that rules are written by particular actors for particular purposes. Cooperation can be Pareto-improving while still distributing gains unequally.
3. **Institutions Depend on Social Foundations:** Institutions survive because social groups invest political resources in creating and defending them. Institutional insulation may sometimes be necessary to protect long-term cooperation from short-term pressures.
4. **Domestic Politics Can Challenge the Order Itself:** IR scholarship paid little attention to the possibility that parties, protest movements, territorial cleavages, and mass political realignments inside core states could attack the international order itself.

### 7.14 USA and the Future of LIO

Question about American leadership.

- The LIO could survive because existing institutions and old and new stakeholders defend it.
- more traditional Westphalian order centered on sovereignty and noninterference.
- It could be transformed into a hybrid order that preserves economic openness and principled multilateralism while altering commitments to democracy, human rights, and international legal authority.

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## Part II

# Session 3

### Session 3, February 23: The strategic perspective

\*\*\* Bueno de Mesquita (2013)[Introduction]

- Bueno de Mesquita (2013)[Chapter 1]
- Bueno de Mesquita (2013)[Chapter 2]

## 8 Bueno de Mesquita, 2013 Introduction

### 8.0.1 Basic Principles

1. The actions that leaders take to influence events in the international arena are motivated by their personal welfare and, especially, by a desire to stay in office. Leaders' concerns for the national interest are subordinate to personal interests. If the two coincide, then so much the better; if they do not, leaders do what they believe is best for themselves even when doing so harms most citizens and, in that sense, the national interest.
2. International relations cannot be separated from domestic politics. Every foreign policy action is undertaken in the shadow of the domestic political consequences the action is expected to produce. Therefore, if a foreign policy is expected to achieve beneficial consequences for a nation in the long term but in the short term will result in the ouster of the leader, then that policy will not be pursued.
3. Relations between nations and between leaders are driven by strategic considerations. As such, foreign policy decisions are designed to influence international affairs and the leader's well-being. To be effective in this, foreign policies must be chosen with an eye toward the reaction they will create among friends and adversaries. The reaction expected from a policy choice is compared with the reaction anticipated from other policy options. Leaders pick the policy they believe will produce the best outcome for them, knowing that, at the same time, domestic and foreign rivals are choosing policies to enhance their own well-being.

### 8.0.2 Liberalism

Liberal theories emerged as a counterweight to the neorealist perspective. Unlike realist approaches, liberalism draws attention to the frequent and often long-standing occurrences of international cooperation. Indeed, a desire to explain such cooperation is its first point of departure from neorealism. Furthermore, for liberal theories, structural hierarchy, which implies the presence of an actor that can authoritatively enforce agreements between states (rather than anarchy, a system in which states must be able to help themselves because they cannot count on anyone else), is the central organizing principle of international politics. The presence of a hegemonic state (an overwhelmingly dominant power) helps enforce norms of conduct and maintain regimes. Norms are generally observed patterns of conduct.

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### 8.0.3 Constructivism

Constructivism, is a theoretical perspective that focuses on explaining how certain types objectives come into being or change. Constructivism began primarily as an attempt to theorize about the formation of identity, that is how we see ourselves.

Constructivism does not view decision makers as primarily strategic. Rather, leaders are thought initially to adopt a course of action for strategic reasons—to obtain legitimacy—but then to become caught up in socially accepted norms of conduct.

Unfortunately, much of the empirical research to evaluate this theory's conjectures is poorly designed to do so.

Thus, their research designs tend to unintentionally contain an antifalsification bias.

Recent efforts to evaluate constructivism in a manner more consistent with the scientific method tend not to find much support for constructivist hypotheses.

Constructivism leads to the expectation that preferences will converge among the members as they adopt shared norms and are subjected to pressures and persuasion. Nevertheless, König and Luetgert report that, "The results refute the claims of constructivists predicting that positions converge and increase the capacity to act due to common norms, rhetoric action or persuasion" (2005, 6).

### 8.0.4 A BRIEF HISTORY OF INTERNATIONAL RELATIONS THINKING

Wilson's idealism, the dominant approach to international affairs before World War II, painted a rosy picture of states cooperating with one another in promoting peace, democracy, and prosperity.

Today, realist ideas, in their turn, face significant challenges. These challenges reflect: (1) the insufficiency of realist theories to anticipate or explain the peaceful ending of the Cold War and the accompanying implosion of the Soviet Union and the unraveling of its Eastern European empire (Gaddis 1992); (2) the discovery that several of the most important realist propositions suffer from logical inconsistencies (Milner 1998; Powell 1994, 1999); (3) the discovery that key logically consistent realist propositions turn out to be falsified by the record of history; and (4) the growing evidence that the causes of and solutions to international conflict can be better understood, as urged by Russell and Wright, by looking within states (Bueno de Mesquita et al. 2003; Fearon 1994; Smith 1996).

The Treaty of Westphalia emphasized territoriality over personal loyalties as the foundation for international relations. It was primarily in this emphasis on the institutional importance of borders that the treaty broke with the feudal past.

The idea of territoriality has other significant implications. An important one concerns the central role that states play in international affairs. Because each state's territorial borders define a domain within which its rulers have sovereign authority over the use of force (Krasner 1999; Spruyt 1994), international law has come to view all states as legally equivalent entities. This, in turn, is a factor behind the realist concept of the state as a unitary actor. It is why international relations focus on states and not multinational corporations, ethnic groups, or other ways of dividing up the international pie.

His outlook embodies the idea that there should be no separation of powers, that the state's interests and the leader's interests are one and the same. In such a world, treating states as unitary actors (the king) makes perfectly good sense.

Central among these differences are the extent to which leaders are accountable to a small inner

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circle of supporters or to a broad constituency and the extent to which leaders insulate themselves from accountability to their core constituency.

**Iraq and the Realist View** At least in the years 2003-2007, American leaders who were concerned about advancing Iraq's reconstruction seem to have believed, in solid realist fashion, that American power was, by itself, enough to ensure that Iraq would follow the policy path prescribed by the United States.

Iraq's leaders would pay more attention to managing their relations with contending Iraqi factions such as those led by Muqtada al-Sadr (the anti-American cleric) and Grand Ayatollah Ali Sistani (the more moderate religious leader) than to implementing the policies promoted by the United States. Realist theory leaves little room for such a focus on domestic threats to political survival.

many foreign policy developments, from the collapse of the Soviet Union and the end of the cold war to the morass in Iraq, are at least as much the product of domestic politics as of international competition. To fix such problems, we have to think about the motivations and incentives of leaders and of rival politicians and about how we can alter their behavior based on responding to their motivations and incentives rather than worrying so much about the balance of power between states.

#### 8.0.5 Solving International Relation Puzzles

Each of these subjects, and many others, are explored in the chapters that follow. These issues are generally discussed in terms of four broad categories of problems: coordination, distribution, monitoring, and sanctioning. Coordination entails finding ways for states or leaders to act together in pursuit of common objectives. Distribution concerns the allocation of scarce goods among citizens, leaders, and states. Monitoring involves detecting situations in which one or another leader or state has cheated on an agreement. Sanctioning concerns punishing cases of cheating. These four generic issues are at the core of cooperation.

#### 8.0.6 Power, Preferences, and Perceptions: The Three Pillars of International Relations

International relations as a subject is primarily about the choices and actions that political leaders take in the name of their nation to influence how their state relates to other states.

In August 1991, for instance, hundreds of thousands of Russian citizens intent on deflating a coup in progress gathered in Moscow's Red Square. Those who gathered there believed that they could help shape the course of events. They acted on this perception by mobilizing the power they had in numbers to display their preference.

**Power:** Ultimately, power is about mobilizing resources to alter the behavior of others. Power is an instrument for promoting and achieving goals.

**Preferences:** Foreign policy goals and the ways nations interact with one another are reflections of the preferences, or desires, of key foreign policy leaders and those constituents whose support they require to stay in office. The preferences of constituents are important because if a leader's preferences are sufficiently inconsistent with the wants and desires of his or her core constituents, then the leader runs the risk of being overthrown. Such a risk emanates from two sources. First, opponents capable of jeopardizing a leader's authority may arise from within the state, as is true when there is a revolution, coup, or electoral defeat.

In addition, opponents may arise from outside the state.

**Perceptions:** Leaders may misjudge the amount of resources or degree of power they can

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mobilize on behalf of their nation or miscalculate the level of political support that will follow from their pursuit of articulated preferences.

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## 9 Bueno de Mesquita, 2013 Chapter 1, Evaluating Arguments about International Politics

Theories are important in helping us sort out which facts are essential in understanding international affairs.

Every theory should be susceptible to being falsified by evidence and should be evaluated in terms of its logical consistency.

In keeping with the first principle of wing walking, a theory should not be abandoned before there is substantial evidence in favor of an alternative explanation.

You might think that a review of the history of lots of past events and circumstances is the road to understanding.

Explanations, however, are not strings of facts. Explanation requires theory.

### 9.1 Constructing Theories

constructing theories  $\Rightarrow$  assumptions

1. Assumptions are the principal means by which theorists simplify reality.
2. Assumptions limit the domain of circumstances that the theory is capable of addressing
3. A good starting place to judge a theory's value is to evaluate whether its assumptions contradict one another—that is, whether there are internal inconsistencies.

**Judging Theories:** Perhaps the most influential international relations theorist of the post-World War II decades, Hans Morgenthau.

**Truth and Falsity in Assumptions:** So while true and false refer to internal consistency,, useful or trivial refers to its empirical value.

The value of one or another assumption is a practical matter; if an assumption adds to the theory's predictive ability more than it takes away, then it is useful.

**The First Principle of Wing Walking** If you are out on the wing of an airplane in flight, don't let go of what you are holding on to unless you have something better to hold on to.

**The Case Study Method and Testing Theories** When cases are selected because they are consistent with a particular claim, they are not a fair test of the accuracy of the claim.

**Selection Bias:** selection of cases was driven by ex post knowledge of the value on the dependent variable.

The principle of random case selection has been well established among statisticians for over a century.

Remember that theories are about relationships among variables, not about constants.

**Example:** Commonly, the researcher selects a case with a known cooperative outcome and then looks for the existence of an international regime or organization that can be said to have fostered the cooperative outcome. Perhaps the author is correct in the assessment of the role of the regime, but this does not at all tell us whether similar regimes also operated in settings that did not lead to cooperation between states.

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**A Standard for Comparing Theories** This means we choose one theory over another if it clearly outperforms the competing theory (Popper 1963; Laudan 1977; Lakatos 1978).

### **The Scientific Method**

1. Scientific analysis requires logical consistency
2. Competing arguments can be evaluated through experiments that control for confounding, alternative explanations.
3. Randomness ensures that the tests control for the possible effects of other factors.
4. Tests must also be replicable;

**When a Theory Is Wrong** A theory is more or less parsimonious depending on how many facts it explains compared with the number of assumptions it requires to make predictions. In general, the more events or facts a theory can explain with a limited set of assumptions, the greater the potential usefulness of the theory and the greater its parsimony.

**Scientific Theories Must Be Falsifiable** It is essential that a theory seeking the imprimatur of science be susceptible to possible falsification.

### **Practical use of Theories**

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## 10 Bueno de Mesquita, 2013 Chapter 2, The Strategic Perspective

The strategic perspective  $\Rightarrow$  1- foreign policy is part of normal domestic politics 2- any national leader faces a difficult problem in balancing the interests of constituents and the desires of foreign rivals.

Four basic categories of international problems arise: (1) coordination, (2) distribution, (3) monitoring, and (4) sanctioning. Each of these is molded internally by agency problems.

Rather than speaking of governments in categorical terms such as democracy, monarchy, and autocracy, we use two crucial domestic factors to differentiate them: (1) the size of the selectorate (those with a say in choosing leaders) and (2) the size of the winning coalition (those in the selectorate whose support is essential to keep a leader in office).

Polities that rely on a large winning coalition emphasize producing public goods over private rewards for coalition members. They produce greater prosperity, more efficient governance, and low rates of corruption; their leaders stay in office for a relatively short time.

Polities that rely on a small winning coalition and a large selectorate, such as autocracies with rigged elections, tend to produce high degrees of kleptocracy, poor public policies, and high levels of corruption and rent-seeking; their leaders last in office for a very long time.

States with large-winning-coalition systems are more likely to enjoy not only prosperity but also peace, especially with one another, while states with small-winning-coalition systems tend not only to be poor but also to experience lots of wars with other states, as well as undergoing revolutions, civil wars, and coups d'état.

States with large-winning-coalition systems differ from states with small-winning-coalition regimes in their use of foreign aid, military intervention, warfare, and a host of other critical choices in international affairs.

### 10.1 International Politics: Domestic Politics with a Twist

There is at least one critical difference between domestic and international politics. In the arena of purely domestic affairs, political leaders need not worry that their actions will prompt a foreign government to jeopardize their hold on power.

In domestic politics leaders select policies (including foreign policies) and actions designed to keep them in office.

In international affairs, leaders must worry that their foreign policies not only may mobilize domestic opposition capable of overthrowing them but also may irritate a foreign rival, sparking attack and possible defeat. That distinction is central to the principles of international politics (Putnam 1988).

#### 10.1.1 Example: The Afghan Taliban's Problem in 2001

Afghanistan's Taliban leaders drew important support from Osama bin Laden and others in Al Qaeda's terrorist network, and Al Qaeda had turned Afghanistan into their home base. For the Taliban to break with them would surely have aroused an active effort by Al Qaeda and its allies to depose the Afghan rulers and replace them with others more likely to cooperate. Yet the United States and its key allies were visibly banding together after September 11, 2001, threatening to overthrow the Taliban government unless it broke with bin Laden. The Taliban chose to gamble that the American threat was less dangerous than the risks associated with



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breaking with Al Qaeda.

### 10.1.2 Example: The Israeli Prime Minister's Problem

Without pro-settler policies, it is difficult for any Israeli prime minister to stay in office.

Given that Israel's proportional representation electoral system encourages small, fringe parties and given that the conservative Likud Party and the more centrist Kadima Party both rely on support from religious parties to muster a majority in the Knesset, we know that these parties cannot hold office if they alienate the pro-settlement religious party voters.

Almost certainly all parties to the dispute want a peaceful settlement more than they want war but they cannot agree on the contents of such a settlement (Fearon 1995).

### 10.1.3 Who and What to Study in International Affairs

1- Coordination entails finding ways for states or leaders to act together in pursuit of common objectives. Neither the Israelis nor the Palestinians want to collide; they would all like to coordinate on peace.

2- Distribution concerns the allocation of scarce goods among citizens, leaders, and states.

3- Monitoring involves putting into place the means to detect whether one or another leader or state has cheated on an agreement.

4- Sanctioning concerns punishing cases of cheating and is always susceptible to the parties deciding to renegotiate their agreement because punishing the cheater can be costly for the compliant signatory or signatories too.

International treaties provide a common means of addressing these problems and represent an important feature of international efforts at cooperation.

principal agent problem between the leaders who negotiate and the constituents.

We often don't have enough information to sort out whether our leaders are faithfully serving our interest.

Associated with the principal-agent problem, we as citizens may face another generic problem tied to monitoring and sanctioning our leaders (Aggiungo io, selection problems nel scegliere i leaders).

### 10.1.4 The Strategic Perspective

Lots of evidence has been compiled that shows international law and international organizations tend to be pretty ineffective when the stakes are high and national leaders are disinclined to abide by common norms of action.

### 10.1.5 Domestic Theories of International Affairs: A First Look

The actions of leaders are incentive compatible with their desire to stay in power and control revenue allocation.

James Fearon (1994), Alastair Smith (1998), and others suggest that democratic leaders are more likely than autocrats to carry out the foreign policy threats they make because of their domestic political **audience costs**.

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Schultz (1998, 2001) shows another feature that follows from having a domestic audience and thus audience costs: because of the risk of losing office following an unsuccessful foreign policy adventure, there is a **selection effect**.

→ **audience costs** ⇒ **selection effect**.

Democratic leaders, facing a legitimate and vocal opposition, are less likely to select risky foreign policies than are autocrats.

Democrats are much more likely to win the wars they start than are autocrats, not just because they are generally better at fighting wars but because they cannot afford to lose if they hope to get reelected.

**Domestic Theories of International Affairs: Example** Schultz's reasoning offers a compelling explanation for the appearance, and disappearance, of a bipartisan American foreign policy.

Typically, American foreign policy is thought of as nonpartisan and as driven by efforts to advance the national interest. Rarely, however, is there much effort to explain why partisanship should not be as important in foreign policy decisions as it is in the routine domestic choices of political leaders.

If the incumbent party and its leaders select a foreign policy that is unpopular or that is believed will be unsuccessful, then they can anticipate that the other party's leaders and candidates will see an opportunity to win votes by opposing the majority party's foreign policy.

## 10.2 Selectorate Theory

The selectorate theory represents one version of the strategic perspective.

In selectorate theory, leaders build a coalition of supporters among the selectorate. The selectorate (S) consists of those who have at least a nominal say in choosing leaders and are eligible to become members of a winning coalition. The winning coalition (W) is the subset of the selectorate without whose support an incumbent cannot be sustained in office.

**Leaders attempt to retain the loyalty of their supporters by giving them more benefits than any domestic political opponent can credibly promise to deliver.** Rewards come in two varieties:

(1) private goods:

Private goods are rewards that benefit only those who get them—that is, members of the leader's essential coalition of supporters.

Examples might include privileged access to government contracts, exploitation of a black market, or protection against prosecution.

(2) public goods.

Public goods are government policies and programs that all people benefit from whether they are in the leader's inner circle or not.

Examples of public goods include national defense, free speech and free assembly, public parks, equal protection under the law, and free access to education.

The selectorate theory's five rules of governance are as follows:

1. Depend on as few key people to keep you in power as possible.

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2. Draw that small group of essential coalition members from as large a pool of people as possible.
  3. Tax people as much as possible, subject to the constraints that they continue to work and pay taxes rather than take siestas, and that they are not made so miserable that they decide it is worthwhile to risk revolting rather than continue to live with the existing political system.
  4. Reward your essential backers just enough so they stick with you rather than shopping around for a new leader who might do more for them.
  5. Don't spend resources on benefiting the general population when those resources are needed to keep the loyalty of the members of your essential coalition.

When domestic institutions constrain a leader to require a broad base of support private rewards are an inefficient way to retain power (de Tocqueville 2000; Lake and Baum 2001; Bueno de Mesquita et al. 2003; Bueno de Mesquita and Smith 2011). Democratic leaders would have to spread these rewards across so many people that each would receive too little for the benefits to influence their loyalty to the incumbent.

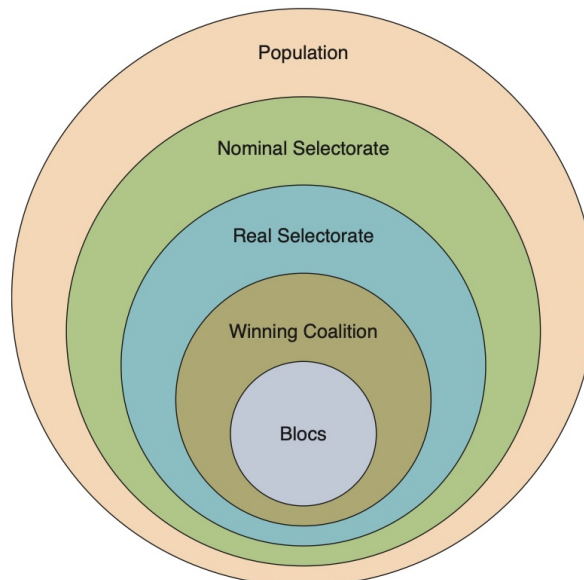
When political institutions compel a leader to depend on many supporters so that a bundle of public goods is the reward for retaining the incumbent, **the institutions of governance induce weak loyalty to the incumbent.**

Conversely, when a leader needs backing only from a few people to stay in power, the few are expected to be loyal both because they are well rewarded with private benefits and because they face a high risk of losing those privileges if a challenger topples the incumbent regime.

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**FIGURE 2.2** Governance Institutions

Governance Dimensions: Nested Selectorate Institutions



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**Figura 6**

Historically, we have spoken of categorical types of regimes, like democracies or autocracies. In practice, no two governments are alike. All political systems have two institutional characteristics that describe how they retain and select their leaders.

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When  $W/S$  is small, as in a rigged election autocracy, then there is a **strong loyalty norm** that makes it easy for leaders to survive in power and exert great discretion over revenue as explained next.

**Examples: Egypt vs HCina and Syria vs Nigeria** For example, China and Egypt both had winning coalitions with a size that was close to 0 percent of the adult population, yet Egypt back then had a larger real selectorate than China relative to their adult populations. This means that both regimes, as we will see, were heavily oriented toward private goods but that leaders had more discretion over revenue in Egypt than in China. All else being equal, then, Egypt's then leader Hosni Mubarak had a better chance of remaining in power against an ordinary political challenge than did China's then incumbent president Hu Jintao.

Syria and Nigeria differ markedly. Nigeria has a smaller selectorate than Syria but depends on a much larger winning coalition. This means that the loyalty norm is stronger in Syria than in Nigeria. That makes the preparedness of the winning coalition's members to take extraordinary actions on behalf of the incumbent regime more robust in Syria than in Nigeria.

**Examples: Putin** Putin needed support from only half the members of parliament to get their legislative program through the Duma and, in a two-party race, each candidate needed only half the voters to support him to be elected, making the maximum minimal winning coalition in Russia 25 percent  $[0.5 \text{ (voters per seat)} \times 0.5 \text{ (number of seats)}]$ . With more than two parties (and there were seven parties contesting the 2011 Duma election), the actual minimal winning coalition was smaller.

### 10.3 Public and Private Goods: Who Gets Rewarded as $W$ and $S$ Change?

$W$  = Winning Coalition, it is the subset of the selectorate without whose support an incumbent cannot be sustained in office.

$R$  = Total revenues

$p$  = price of public goods

$g$  = mix of public goods

$z$  = each coalition member's private goods benefits

$$z = (R - p * g) / W$$

The odds of being in a successor coalition are the ratio  $W/S$ , which in this case is  $100/1,000,000$ , or  $1/10,000$ .

The expected value of the prospective defector's share of the private goods to be dispensed by the successor regime is only 1000.

$$\frac{\text{total revenues}}{\text{number of winning coalition}} * \text{probability of belonging to the coalition} =$$

$$\frac{R}{W} * \frac{W}{S} = \frac{1,000,000,000}{100} * \frac{100}{1,000,000} = 1000$$

The incumbent can keep the difference between the 10 million per supporter that could be distributed, and the something above 1,000 per supporter that needs to be distributed.

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It is easy to see that as long as the incumbent beats that expectation and provides public policies that are not much worse than those proposed by the challenger, the would-be defector can be kept happy and loyal.

### 10.3.1 Conclusions

1. **the greatest incumbency advantage in using private goods to satisfy constituents belongs to the leaders of political systems that have small winning coalitions and large selectorates.**
2. **Supporters in a large-coalition public-goods-oriented setting receive the benefits of public goods even if their leader is replaced by a challenger, such as after an election. This means that they can support a challenger with little consequence since they are getting few private gains in any event.**

### 10.3.2 Leader Survival

Autocracy and democracy are fundamentally different in their consequences even though all leaders are assumed to want the same thing (to keep their jobs and have discretion over as many resources as possible). Democratic politics in selectorate theory is a competition in competence to produce public goods; autocratic politics centers on the purchase of the loyalty of key supporters through bribery, corruption, and rent seeking.

### 10.3.3 Conclusion

The selectorate theory logically implies several basic principles of politics that are applied repeatedly throughout this book. The most important of these principles are as follows:

1. Regimes with large winning coalitions focus on effective policies, including foreign policies. When leaders' policies do poorly, they either switch them or pour more resources into trying to make them succeed.
2. Regimes with small winning coalitions tolerate failed domestic and foreign policies better than do regimes with large coalitions because in small-coalition settings loyalty to a leader depends more on receiving private rewards than public benefits. As a consequence, leaders mostly continue on their policy course even when their policies are failing. They do not change course as quickly as large-coalition leaders, and they do not put extra resources into trying to make the policies, including foreign security and trade policies, succeed under most circumstances.
3. The likelihood that a leader survives in office despite failed policies increases as  $W/S$  decreases (so that the polity becomes more autocratic) and decreases as  $W/S$  increases (so that the polity becomes more democratic).
4. As  $W/S$  increases, leaders must spend more revenue to maintain loyalty among their coalition members and, as a result, these leaders have proportionately fewer revenue sources at their discretionary use than do those who depend on a small coalition drawn from a large selectorate.
5. Corruption and kleptocracy (governing by theft) increase in prominence as  $W$  gets smaller, especially when  $S$  also gets larger.

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6. The foreign policies of small-coalition leaders are more heavily driven by the pursuit of opportunities for enrichment through territorial conquest, tribute, and the like rather than the pursuit of policy compliance from foreign rivals.
  7. The foreign policies of large-coalition leaders are more heavily driven by the pursuit of policy compliance by foreign governments than by the pursuit of enrichment.
  8. When leaders can change political arrangements, they prefer to decrease the size of their coalition and increase the size of the selectorate.
  9. When coalition members can change institutions (e.g., through coups), they always prefer to increase the ratio  $W/S$  and may, depending on circumstances, prefer to do so by increasing  $W$  more quickly than  $S$  or decreasing  $W$  more slowly than  $S$ .
  10. When people who are not in the coalition have the opportunity to change institutions of government (e.g., through revolution or civil war), they always prefer to increase  $W$  and to increase  $W/S$ .

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## Part III

# Session 4

### Session 4, March 2: Bargaining theory of war

\*\*\* Lake (2010)

- Fearon (1995)
- Sechser and Fuhrmann (2013)
- Powell (2004)

## 11 Two Cheers for Bargaining Theory David A. Lake

Despite its prominence, however, bargaining theory is an inadequate explanation of the Iraq War.

1. First, bargaining theory assumes that states are unitary actors. As the Iraq case demonstrates, domestic political actors played an important role in driving the United States and Iraq to war.
2. Second, bargaining theory is now modeled in two-player games. In the Iraq War, this analytic simplification masks important dynamics.
3. Third, bargaining theory assumes that a war is over once a settlement is reached. The postwar peace is an important additional stage of conflict that needs to be integrated into the bargaining framework.
4. These deviations from rationality suggest possible gains from integrating bargaining theory with the sorts of cognitive biases identified by scholars in an earlier literature on misperception.

### 11.1 The Bargaining Theory of War

on average it can do no better state might prefer a solution at its ideal point

If fighting is costly for at least one state, there must exist a bargaining range that will leave both sides better off than war.

In summary, bargaining theory implies that war is always a failure, an inefficient way to settle disputes.

War occurs, in turn, when:

- (1) commitments are not credible

This is most clear when the distribution of capabilities between the parties is shifting. The state that is growing stronger will have an incentive to demand a more favorable division of the issue in the future.

- (2) states possess private information about their costs of fighting and incentives to misrepresent that information.

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Because negotiating is always better than fighting, actors typically have incentives to reveal their private information- signal their type- to their opponent. In some circumstances, however, revealing private information may undermine a state's ability to prevail if war occurs, creating an incentive not to reveal or even to misrepresent that information.

(3) states are uncertain over their probability of victory.

## 11.2 Bargaining and the Costs of the Iraq War

Iraq's supposed WMD programs were the *casus belli*, they were the precipitant and not the underlying issue, and are better thought of as one source of bargaining failure.

The most plausible interpretation of the issue under dispute is that the United States and Iraq were different visions for the future of the region.

The most fundamental insight of bargaining theory is that, because war is costly, there must exist a negotiated outcome that will leave both sides better off than actually fighting. The first step in assessing the theory, therefore, is to determine whether the war was indeed costly and expected to be so, whether a bargain was possible, and whether there were viable alternatives to war.

### 11.2.1 The Cost of War

- Monetary expenses for the war
- In addition, the United States has suffered enormous costs to its international reputation by launching a preventive war without the support of the international community.
- estimates of casualties range from 100,000 to 600,000 deaths

### 11.2.2 Was a Bargaining Possible?

The notion that the Bush administration desired a war because of its hawkish preferences rests on two incorrect suppositions.

1. First, for this explanation to be true, the Bush administration would have had to have been insensitive to or insulated from the costs of war to the United States as a whole.
2. Second, for the explanation to hold, the expected benefits from demonstrating the usability of force would have had to exceed the actual costs of the fighting.

A second possible explanation for the conflict is that the Bush administration, again, wanted war in order to construct a viable democracy in Iraq, demonstrate that such a regime could thrive in the Middle East, and undercut support for Islamic fundamentalism.

Nonetheless, it is not clear why war itself was necessary to bring about a democratic regime. Forcing the internal collapse of Saddam's regime, stimulating a coup, or perhaps even supporting a domestic insurrection might have been more effective at lower cost. Indeed, given the sectarian violence that broke out immediately after the war and the hardening of religious and ethnic groups that followed, a successful democratic transition might have been more feasible in the absence of direct U.S. intervention.

Saddam was no doubt less sensitive to the costs of fighting than the average Iraqi. His effective costs of fighting were less than those for the country as a whole. But given his likely defeat and



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high probability of punishment for himself, his family, his clan, and his political support base bargaining seemed a feasible option.

### **11.2.3 Alternatives to War**

1. the United States sought to contain and deter Baghdad through a combination of continued sanctions designed to coerce Iraq's compliance with UN resolutions and explicit threats that any Iraqi use of WMD would provoke devastating retaliation.
2. the United States pursued a policy of forcible inspections. This strategy promised to be an expanded version of the sanctions and inspections regime imposed after 1991.
3. the United States aimed to stimulate regime change from within Iraq. Shiites in the south were encouraged by Washington to rise up against the Baathist regime. In the absence of external support, they were brutally crushed.

## **11.3 The Problem of Credible Commitment**

### **11.3.1 Incredible Saddam**

In Iraq, it was not present WMD programs that truly mattered, but future capabilities and intentions that created the problem of credible commitment.

The core issue, as a result, was not Iraq's present WMD capacity, but how WMD, if produced, would affect the likely bargains between the two countries at some future date.

### **11.3.2 The Problems of Prior Beliefs and Multiple Audiences**

Although bargaining theory highlights the critical commitment problem behind the war, it cannot explain why Iraq was seen as more threatening in 2003 than in 1998 and more threatening than other rogue regimes. The Iraq War calls attention to where prior beliefs come from, how they vary, and perhaps how they may be affected by groupthink within more or less closed circles of decision-makers.

This should direct future scholarly attention to understanding the origins of prior beliefs that, in turn, magnify or mitigate problems of credible commitment.

The puzzle is deepened once one understands that Iraq had already dismantled its WMD programs during the 1990s. The real question is what prevented Iraq from credibly signaling the United States that it did not have the capacity to develop or transfer WMD?

Of these players, Saddam was actually more concerned with his domestic competitors and Iran than with the United States.

1. Saddam had actually used chemical weapons against internal enemies.
2. Subsequently, the regime believed that the perception that it still possessed WMD could deter future internal rebellions, even though such weapons had limited military utility.

The United States never seriously considered that Saddam's unwillingness to open his country to inspection might be directed at his domestic and regional opponents rather than at Washington.

Overall, it was the inability of Iraq to commit to a limited bargain that helped drive the United States to war. Theory is useful in revealing the underlying logic of the bargaining failure in this

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case, but the difficulty in sending a sufficiently large signal to the United States rested on the multiactor environment.

#### 11.4 Information Asymmetries in the United States and Iraq

**Contrary to expectations, there was relatively little private information in this case.** The U.S. war plan was widely discussed in news reports, and there was no doubt about the likely outcome. The USA signaled its plans clearly. With victory all but certain, the United States was unwilling to settle for anything short of Iraq's complete capitulation, most likely entailing the exile of Saddam and his extended family and his replacement by a new regime of the Bush administration's choosing.

Nonetheless, private information mattered in two distinct ways, neither of which is anticipated by present bargaining theory.

Based on the United States' withdrawals from Lebanon in 1984 and Somalia in 1993, and its early termination of the Persian Gulf War in 1991, Saddam believed that the Bush administration was bluffing.

No one risked telling Saddam what he did not want to hear.

On the U.S. side, in turn, the Bush administration likely underestimated its own costs of war. Whether this was strategic or sincere remains difficult to disentangle.

Notably, the outrage of the administration at Army Chief of Staff Gen. Eric Shinseki's realistic estimate of the number of troops eventually necessary for the occupation discouraged other knowledgeable individuals from coming forward with facts that challenged the administration's estimates.

Regardless of the administration's motives, the American public appears to have accepted the administration's position that the costs of war would be low.

Together, Saddam's belief that the United States was bluffing and the Bush administration's position that the costs of war would be low prevented an effective bargain from being realized.

#### 11.5 Postwar Governance Costs

As discussed above, a class of bargaining models explains extended wars as a process of revealing information. These models, however, add little directly to scholars' understanding of conflict dynamics in Iraq. Given its quick and decisive nature, the "war" phase of the conflict did not reveal much new information.

1. First, the Bush administration assumed that inside the heart of every Iraqi was a "small d" democrat yearning to be free. As Cheney stated, "I really do believe that we will be greeted as liberators."
2. Second, the Bush administration failed to anticipate the decrepit state of Iraq's infrastructure, thus rendering moot its early estimates that oil revenues would quickly begin to flow and pay for the occupation. Under international sanctions and threatened by domestic unrest, the regime withdrew from detailed management of the economy in the 1990s, focusing on its immediate survival.
3. Third, the Bush administration failed to plan for the tensions that were released between religious groups once the Sunni-dominated government was defeated.

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4. Finally, the administration incorrectly expected that Iraqi military and police forces would remain intact to provide political stability after the war.

Alternatively, had the administration understood that securing the peace would be far more expensive than winning the war, it might not have launched the invasion, or it would have been willing to accept a compromise short of removing Saddam from power.

## **11.6 Domestic Politics and War**

It is highly unlikely that domestic interests were determinative in the war. Special interests do not appear sufficient to have caused the Iraq War.

If domestic interests were driving the United States to war, the expected outcome was that Iraq would have offered Washington a better deal.

## **11.7 Analytic Lessons Learned: Toward a Behavioral Theory of War**

1. First, as the Iraq War makes blindingly obvious, the postwar governance costs of imposing one's will on the defeated enemy must be incorporated into the victor's cost of fighting.
2. Second, bargaining theory has been developed as a two-player game, mainly for reasons of technical tractability. Theorists are aware that most conflicts involve more than two parties.
3. Third, although the subject of the most public furor and ire before the war, special interests are in some ways the simplest amendment to bargaining theory suggested here.
4. Finally, the most severe challenge to bargaining theory arises from the cognitive and decision-making biases that were so evident in the Bush administration and in Saddam and his regime.

The informational imperfections appear to have been about, for the United States, its own costs of fighting and, for Iraq, easily knowable elements of the Bush administration's resolve and military strategy.

Prospect theory predicts that decision-makers are risk averse in the domain of gains and risk acceptant in the domain of losses. In addition, prospect theory posits that decision-makers use "prototype heuristics," a form of stereotyping in which salient examples from a larger class are assumed to be overrepresented in the category. This can lead to "attribute substitution," in which favored outcomes are judged to have lower costs and higher benefits than they actually possess.

Framing also mattered. As noted, the United States confronted a loss of future influence in the Persian Gulf. As prospect theory would predict, the administration was willing to run high risks in an effort to disarm Iraq once and for all.

A behavioral theory of war should retain the core insight of bargaining theory that war is fundamentally strategic, with conflict dependent on the interaction of the choices of two or more actors, and a failure of bargaining.

## **11.8 What or Who Failed? Policy Lessons from the Iraq War**

1. From a policy perspective, first, the administration failed to pursue alternatives that might have revealed information about Iraq's weapons capabilities. Although this does not resolve

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the issue of future intentions, the window for diplomacy was significantly larger than the administration led Americans and others to believe.

2. Second, the administration grossly underestimated the costs to the United States of fighting the war. Most egregiously, it utterly failed to consider the costs to the United States of governing Iraq after deposing its leadership.
3. Finally, concluding that the probability of victory was high and the costs of war were low, the administration demanded too much of Iraq, including the creation of a new state premised on a liberal ideology of democracy and free markets that conflicted with traditional political institutions and cultures in the region.

## 11.9 Conclusion

Because Saddam could not credibly commit to a skeptical Bush administration that he would refrain from developing WMD in the future, the United States eventually chose a preventive war to foreclose the possibility that Iraq would compete with it for influence in the region at some later date.

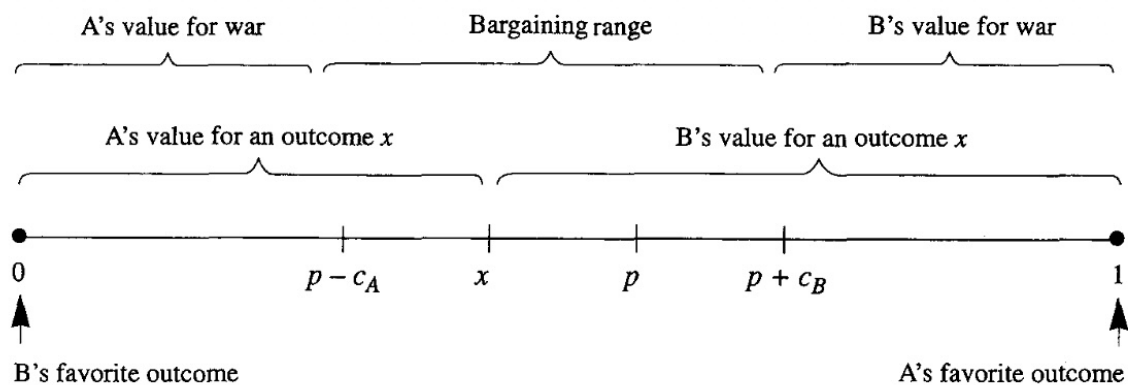
## 12 James D. Fearon – Rationalist Explanations for War

### 12.1 Central Puzzle and the Bargaining Framework

The article asks how war can arise between genuinely rational, unitary states whose leaders understand the costs of fighting. Fearon distinguishes this question from explanations based on irrationality or domestic political pathologies. His goal is narrower and foundational.

The key move is to treat war as a bargaining problem. Suppose two states dispute an issue that can be divided along a continuous interval. If state A wins a war with probability  $p$  and both states pay positive costs of fighting, then war is a costly lottery. A's expected payoff from war is  $p$  minus its costs, while B's is  $1-p$  minus its costs. Because both sides lose something by fighting, there normally exists a set of peaceful divisions that gives each side more than its expected payoff from war. This set is the bargaining range. In the risk-neutral case, the width of the range is essentially the sum of the two sides' costs of war. Risk aversion makes the peaceful range even larger.

This result shifts the explanatory burden. It is not enough to say that a leader expects the benefits of war to exceed the costs. Even if war has positive expected utility, both sides should still prefer a bargain that reproduces the expected distributional outcome without paying the costs of combat. War is *ex post* inefficient, and this inefficiency normally creates an *ex ante* space for agreement. A coherent rationalist theory of war must therefore explain why states cannot locate or agree on a settlement inside that range.



**FIGURE 1.** *The bargaining range*

Figura 7

## 12.2 Why Standard Rationalist Arguments Are Incomplete

Fearon evaluates several familiar explanations.

The central question, then, is what prevents states in a dispute from reaching an ex ante agreement that avoids the costs they know will be paid ex post if they go to war?

1. First, **anarchy** by itself is insufficient. The absence of a world government may permit the use of force, but **it does not explain why states choose an option that destroys resources when mutually preferable bargains are available.**
2. The **security dilemma** similarly can generate fear, arms races, and competition, but unless one specifies how the absence of enforceable commitments blocks a peaceful bargain, the argument does not solve the bargaining puzzle.

Security dilemma: the fact that under anarchy one state's efforts to make itself more secure can have the undesired but unavoidable effect of making another state less secure.

3. Second, the standard **preventive-war** argument is incomplete. A declining state may fear that a rising state will become stronger and exploit it later. But this immediately raises a bargaining question: why cannot the rising state make concessions today and promise future concessions sufficient to induce the declining state not to attack? The problem is not power shifts in themselves. Preventive war becomes a genuine rationalist explanation **only when** the changing balance of power creates a **commitment problem**—when the rising state cannot credibly commit not to use its future strength to revise the agreement.
4. Third, positive **expected utility** for war is not enough. Two states can both believe that war is worthwhile relative to the status quo and **still possess a bargaining range that would make both better off.**
5. Finally, **issue indivisibility** is logically capable of eliminating the bargaining range, but Fearon treats it as empirically less compelling. Most international disputes are multidimensional, and side payments, issue linkages, partitions, alternation, or lotteries can often create intermediate outcomes. When issues appear indivisible in practice, the deeper cause may be nationalism, domestic political constraints, or some other mechanism rather than a natural indivisibility of the issue itself.

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## 12.3 Private Information and Incentives to Misrepresent

Fearon's first major mechanism combines private information with strategic incentives to misrepresent it. Leaders may possess information about military capabilities, tactics, resolve, or the value they attach to the disputed issue that the opponent does not know. This can create divergent estimates of the likely outcome of war or of the opponent's willingness to fight. Yet simple uncertainty is not sufficient: **because war is costly, rational states have incentives to reveal information to avoid an inefficient conflict.**

The problem is that bargaining creates incentives to bluff. This logic explains why rational miscalculation can persist.

States can in principle communicate with each other and so avoid a costly miscalculation of relative power or will. The cause of war cannot be simply lack of information, but whatever it is that prevents its disclosure. I argue that the fact that states have incentives to misrepresent their positions is crucial here, explaining on rationalist terms why diplomacy may not allow rational states to clarify disagreements about relative power or to avoid the miscalculation of resolve.

The same reasoning applies to disputes about relative power. Conflicting expectations can shrink or eliminate the apparent bargaining range, but rational actors must have some basis for holding different beliefs. Private information about capabilities is one source. Yet the critical mechanism is again the difficulty of credibly revealing that information. The article therefore recasts many traditional claims about miscalculation as specific bargaining failures produced by asymmetric information and incentives to dissemble.

## 13 James D. Fearon – Rationalist Explanations for War

### 13.1 The central puzzle and Fearon's objective

Fearon begins from a simple but fundamental puzzle: wars are costly, risky, and destructive, yet they repeatedly occur. Existing explanations can be divided into three broad families. One attributes war to irrationality, psychological biases, or pathologies among leaders. A second focuses on domestic political distortions, in which leaders may enjoy the benefits of war while shifting much of its cost onto soldiers and citizens. Fearon concentrates on a third possibility: whether war can occur even when states are treated as rational, unitary actors whose leaders take the costs and risks of fighting seriously.

This question matters not only for the study of war but also for neorealist international relations theory. If war cannot be explained among rational unitary states, then the roots of conflict must lie primarily in individual or domestic-level defects rather than in the international system itself. Fearon's aim is therefore to identify the set of rationalist explanations that are both logically coherent and empirically plausible.

His central criticism of much of the existing literature is that it asks the wrong question. It is not enough to show that war might have a positive expected value, that states live under anarchy, that one state is declining, or that leaders can miscalculate. Because fighting is costly, rational states should normally have an incentive to search for a negotiated settlement that gives both sides more than they expect to obtain from war after subtracting the costs of fighting. A satisfactory rationalist theory must therefore explain why such a bargain cannot be located or credibly implemented before the war begins.

Fearon reviews five familiar rationalist arguments:

1. anarchy

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2. positive expected utility from war
  3. preventive war
  4. miscalculation caused by incomplete information
  5. disagreement about relative power

Fearon argues that the first three do not directly solve the bargaining puzzle. The last two move closer to a solution but are incomplete unless one explains why diplomacy cannot reveal the relevant information.

The article ultimately identifies two major mechanisms capable of explaining rational war: **private information combined with incentives to misrepresent it**, and **commitment problems**.

A third possibility, **issue indivisibility**, is logically possible but is treated as less compelling empirically.

### 13.2 War as a bargaining failure

The key theoretical move is to treat war as an inefficient bargaining outcome rather than simply as another policy option. Fearon distinguishes between *ex ante* and *ex post* efficiency. A war can be attractive to a state before fighting if the expected gains exceed the expected costs. Yet war remains inefficient *ex post* as long as the parties incur positive costs in obtaining an outcome that, in principle, could have been allocated through negotiation without paying those costs. Even a “wanted” war therefore poses a rationalist puzzle.

Suppose two states, A and B, bargain over an issue represented by the interval  $[0, 1]$ . State A prefers outcomes closer to 1, while B prefers outcomes closer to 0. If war occurs, A wins with probability  $p$  and B with probability  $1 - p$ . Let  $c_A$  and  $c_B$  denote the costs of war to A and B. In the simplest risk-neutral formulation, A’s expected payoff from war is

$$p - c_A,$$

while B’s expected payoff is

$$1 - p - c_B.$$

A peaceful settlement  $x$  is preferable to war for A when

$$x > p - c_A,$$

and preferable for B when

$$1 - x > 1 - p - c_B,$$

which is equivalent to

$$x < p + c_B.$$

Therefore every agreement in the interval

$$(p - c_A, p + c_B)$$

is preferred by both states to war. This interval is the **bargaining range**. Its width is  $c_A + c_B$ : the costs of war create a wedge within which mutually beneficial settlements exist.

Fearon's intuitive example is a dispute over a division of 100 dollars. If each side has a 50 percent chance of winning all 100 dollars in war but must pay a cost of 20 dollars to fight, each has an expected war payoff of 30 dollars. Any negotiated split giving each side more than 30 dollars is therefore better than war. The exact distribution of gains can be contentious, but the existence of a bargaining range means that disagreement over distribution alone cannot explain why rational actors pay the additional costs of war.

This result depends on several assumptions, but Fearon argues that they are relatively weak. The states must recognize that there is some true probability of victory, they must be risk-neutral or risk-averse rather than strongly risk-loving, and the issue must allow a sufficiently continuous range of settlements. **Risk aversion actually enlarges the set of bargains preferable to war, because a certain compromise is more attractive relative to a risky all-or-nothing contest.**

The implication is crucial: the fact that a leader believes war has positive expected utility does not by itself explain war. Even if both states prefer fighting to the status quo, there may still be negotiated settlements that both prefer to fighting. The appropriate question is therefore not "Why might war be attractive?" but **"Why do states fail to reach an agreement inside the bargaining range?"**

### 13.3 Why standard explanations are insufficient

#### 13.3.1 Anarchy

Under anarchy, no sovereign can automatically punish states for using force, and each state must provide for its own security. Fearon accepts that this condition is fundamental to international politics, but he argues that the usual formulation is incomplete. Saying that **nothing prevents states from fighting does not explain why they choose a costly option when mutually preferable bargains should be available.**

The same criticism applies to standard versions of the **security dilemma**. One state's defensive measures may threaten another, encouraging arms races and spirals of fear, but this still does not explain why rational states cannot bargain around the danger. To turn anarchy into a true rationalist explanation, one must identify a specific mechanism through which the absence of enforcement makes a mutually preferred bargain impossible to sustain.

Fearon later provides such a mechanism through commitment problems.

#### 13.3.2 Preventive war

A common argument holds that a declining state may rationally attack a rising state before the balance of power shifts further against it. Fearon notes that this reasoning also skips the bargaining question. If the rising power wants to avoid being attacked while it is still relatively weak, why can it not compensate the declining power with present or future concessions? **The important issue is not the power shift itself but whether the rising state can credibly commit to respect a bargain after it becomes stronger. Preventive war is therefore best understood as a commitment problem, not simply as a consequence of changing relative power.**



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### 13.3.3 Positive expected utility

The claim that leaders fight whenever the expected benefits of war exceed the expected costs similarly fails. Positive expected utility can make war preferable to the status quo, but it does not show that war is preferable to every possible negotiated settlement. As long as the issues are sufficiently divisible and war is costly, the bargaining range persists.

### 13.4 Issue indivisibility

Issue indivisibility is the third logically coherent route to rational war identified by Fearon, but he regards it as empirically weaker than the two main mechanisms. If an issue can take only a small number of discrete outcomes, it is possible that none lies inside the bargaining range. A dispute over which prince occupies a throne, for example, may appear inherently all-or-nothing.

Fearon nevertheless stresses that most international disputes are multidimensional. States can often use side payments, link several issues together, divide territory, alternate control, or devise probabilistic arrangements. Historically, rulers bought and sold territory, and even seemingly indivisible issues can sometimes be transformed into divisible bargains. **If intermediate agreements are politically impossible, the deeper explanation may lie in nationalism, domestic institutions, legitimacy, or other mechanisms rather than in the physical nature of the issue itself.** Thus issue indivisibility can explain war in principle, but one should first ask why the parties cannot construct a divisible settlement.

### 13.5 Private information and incentives to misrepresent

The first major mechanism begins with incomplete information. Leaders may possess private information about their military capabilities, war plans, the reliability of allies, their willingness to endure costs, or the value they attach to the disputed issue. This can lead states to disagree about the probable outcome of war or to misjudge an opponent's resolve.

**Private information alone is not enough. If both states genuinely want to avoid the costs of war, they should have incentives to reveal information** that would prevent a disastrous miscalculation. The real question is why such information cannot be credibly communicated.

Fearon's answer is that bargaining also creates incentives to **misrepresent**. A state that appears stronger or more resolved can obtain a better deal, so weak or low-resolve states may bluff. Conversely, states may hide genuine capabilities or plans because revealing them would sacrifice military advantages. As a result, messages are strategically distorted and cannot automatically resolve uncertainty.

#### 13.5.1 Disagreement about relative power

A well-known argument, associated with Geoffrey Blainey, holds that wars often begin when states disagree about their relative strength. If both sides are optimistic about victory, their reservation values may overlap so little that the perceived bargaining range disappears. Yet Fearon asks how two fully rational actors can sustain incompatible estimates of the same military contest.

Under a strict rationalist interpretation, conflicting estimates must arise from different information. If two rational actors possessed the same information, they should reason toward the same probability assessment. Differences produced merely by cognitive limitations, nationalist

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enthusiasm, or inability to process complex evidence are better understood as bounded-rationality explanations rather than pure rationalist ones.

States clearly do possess private military information. The problem is that, in principle, they could share it. Therefore the causal chain must include an explanation for why credible disclosure fails. Incentives to hide capabilities, exaggerate strength, preserve surprise, or avoid exposing strategy provide that missing link.

The Russo-Japanese War of 1904 illustrates the argument. Russian leaders were highly confident that Russia would defeat Japan and therefore resisted Japanese proposals concerning Korea and Manchuria. Japanese leaders were much less pessimistic about their own prospects because they possessed better information about Japanese military reforms, intelligence, and Russian weaknesses in Northeast Asia. Japan could not simply announce that its forces were stronger than Russia believed: Moscow would have had little reason to trust the claim. Nor could Japan reveal the operational information supporting its confidence without undermining the military advantage itself. The bargaining failure thus reflected both private information and the strategic difficulty of credibly revealing it.

### 13.5.2 Miscalculation of resolve

A related explanation concerns uncertainty about willingness to fight. State A may challenge an interest of state B because it mistakenly believes B will not resist. Fearon lists familiar examples: German uncertainty about Russian and British resolve in 1914, Hitler's expectations concerning Britain and France, Japanese assessments of U.S. willingness to fight in 1941, North Korea's expectations about American intervention in 1950, and U.S. uncertainty about Chinese intervention in Korea.

A simple bargaining model clarifies the logic. A challenger chooses how much of the status quo to revise, while the target can accept the revision or fight. Under complete information, the challenger will normally demand just enough to leave the target indifferent between acceptance and war, avoiding conflict. Under incomplete information about the target's costs or resolve, however, the challenger faces a trade-off: a larger demand yields greater gains if accepted but also increases the probability that the target will fight. If the challenger's own costs of war are not too high, its optimal strategy may rationally involve a positive probability of war.

This shows that war does not require disagreement about relative power. Even if both sides agree about military capabilities, uncertainty about how much the opponent values the issue can be sufficient. But again, the explanation is incomplete unless one explains why the target cannot simply communicate its resolve.

### 13.5.3 Cheap talk and costly signaling

**If statements are costless, the problem is severe.** This is the logic of *cheap talk*: when all actors would like to send the same intimidating message regardless of their true type, the message carries little information.

Signals become more informative when they are costly in ways that low-resolve states are less willing to bear. Many credible signals are costly precisely because they entail the risk of escalation.

Mobilizing forces, building weapons, signing alliances, stationing troops abroad, risking international reputation, or creating domestic political audience costs can make threats more credible.

The July 1914 crisis illustrates these dynamics. German leaders received warnings that Russia might fight if Austria-Hungary moved against Serbia, but they discounted verbal statements

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because Russia had an obvious incentive to bluff. At the same time, German leaders had incentives to conceal the extent of their support for Austria-Hungary, partly because open disclosure would make Germany appear responsible for escalation and could affect domestic and British opinion. Misrepresentation on both sides made clear communication difficult. As mobilizations and other costly signals accumulated, backing down became harder and the risk of war rose.

Fearon also emphasizes **reputational mechanisms**. A state may fight today because conceding would reveal that its costs of fighting are high, inviting future challenges. War itself can then serve as a costly signal of resolve. Similarly, a rising power may use conflict to demonstrate capabilities that others underestimate. These mechanisms are not irrational: they arise because information valuable in bargaining is private and because actors have strategic reasons to conceal or distort it.

## 13.6 Commitment problems

The second major mechanism can produce war even under complete information. The parties may know each other's capabilities, preferences, and intentions and still fail to reach peace because they cannot **credibly commit to uphold an agreement**. **Here anarchy matters in a precise way: no external authority can enforce promises when one side later acquires an incentive to defect.**

Fearon discusses three forms of commitment problem: preemptive war caused by first-strike advantages, preventive war caused by shifts in relative power, and bargaining over strategically important territory that changes future bargaining power.

### 13.6.1 Preemptive war and first-strike advantages

Fearon uses the analogy of two gunslingers. Both prefer mutual peace to a gunfight, but each would most prefer to kill the other by surprise. If neither can commit not to exploit an opportunity for a first strike, peaceful coexistence may be unstable even though both would prefer it to mutual fighting.

In international politics, this logic can arise when military technology or geography provides a large advantage to attacking first. Let  $p_f$  be A's probability of victory if it strikes first and  $p_s$  its probability if it strikes second. A strong first-strike advantage means  $p_f > p_s$ . Peaceful agreements are self-enforcing only if both states prefer to respect them rather than defect by attacking. In the risk-neutral case, the effective bargaining range exists only when:

$$p_f - c_A < p_s + c_B.$$

If the first-strike advantage becomes sufficiently large relative to the costs of war, the interval of self-enforcing bargains can disappear. Importantly, mutually preferable agreements may still exist abstractly; the problem is that neither state can credibly promise not to exploit the advantage of attacking first.

Fearon is cautious about the empirical importance of the pure preemption mechanism. Even in 1914, when leaders often believed that striking first conferred significant advantages, they did not generally behave as if war were inevitable regardless of diplomacy. First-strike advantages may therefore be more important as an aggravating factor: they narrow the set of enforceable bargains and make informational problems and costly signaling more dangerous.

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### 13.6.2 Preventive war as a commitment problem

Preventive war is more empirically significant. Suppose A is rising and will be more powerful tomorrow, while B is declining. Even if A promises today not to exploit its future strength, that promise may be incredible because once the power shift occurs A will have an incentive to demand more. B therefore evaluates not only the present status quo but also the less favorable bargain it expects to face in the future.

This reframes preventive war. The declining state does not necessarily attack because it expects the rising state to invade later. It may attack because it expects future peace to occur on much worse terms. War today can be rational if the future shift in bargaining power is sufficiently large relative to the costs of fighting and if the rising state cannot credibly limit its future demands.

The logic helps explain why simple power-transition arguments are incomplete. **Power shifts cause war only when they generate a commitment problem.** If the rising state can credibly transfer resources, limit its future power, or otherwise compensate the declining state, war may be avoided. Fearon notes that the historical practice of compensation in classical balance-of-power politics can be interpreted as an attempt to reduce preventive incentives.

The origins of World War I contain this logic. German and Austro-Hungarian leaders worried about the rapid growth of Russian power. Their concern was not only that Russia might eventually attack, but that a stronger Russia would possess greater bargaining leverage in the Balkans and the Near East, potentially threatening the internal stability of Austria-Hungary. Russia could not credibly promise that, once stronger, it would refrain from using this leverage. Preventive motives therefore made German leaders more willing to accept the risks of escalation in 1914, even if Fearon does not claim that this mechanism alone caused the war.

### 13.6.3 Strategic territory and appeasement

A similar commitment problem arises when the object being negotiated is itself a source of military or economic power. Territory may contain resources, defensible positions, transportation routes, or strategic depth. A small concession can therefore change the future distribution of power and alter subsequent bargaining.

Suppose one state is willing to make a limited territorial concession to avoid war. If receiving the territory would make the other state much stronger, however, the recipient may later use its new advantage to demand still more. The recipient cannot credibly commit not to exploit the shift, so the weaker state may rationally reject even a limited concession and choose war instead. What appears to be issue indivisibility may actually be a commitment problem.

Fearon illustrates this with the 1939 Winter War. Stalin sought territorial adjustments and islands near Leningrad that the Soviet Union regarded as strategically important. Finnish leaders feared that making these concessions would improve the Soviet position and allow Moscow to press for additional gains later, especially given Soviet behavior in the Baltic states. If Stalin could not credibly commit to stop after the initial concessions, Finland could rationally reject an agreement that both sides might otherwise have preferred to war. The resulting conflict therefore demonstrates how strategic territory can make appeasement difficult even when neither side positively desires a costly war.

## 13.7 Conclusion and implications

Fearon's article advances two principal conclusions. First, because war is costly and risky, negotiated settlements that both sides prefer to fighting should exist under broad conditions.

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Rationalist theories cannot simply assume a deadlock in which war is the only mutually acceptable option. The existence of a bargaining range is the starting point for analysis.

Second, the most coherent rationalist explanations for war identify mechanisms that prevent states from locating or implementing agreements in that range. The two central mechanisms are **information problems**—private information about capabilities or resolve combined with incentives to misrepresent—and **commitment problems**—situations in which one or both states cannot credibly promise to respect an agreement in the future. Issue indivisibility is possible but is often better understood as the consequence of deeper political or commitment mechanisms.

These mechanisms do not imply that irrationality or domestic politics are unimportant. Fearon explicitly argues the opposite: **clarifying what rational unitary actors should be able to achieve makes it easier to identify where bounded rationality, nationalism, regime incentives, or other domestic factors are doing explanatory work.**

For example, if disagreements about military strength were driven mainly by rational private information, leaders should update their beliefs about an opponent's capabilities when that opponent takes unexpectedly tough bargaining positions. Fearon notes that historical evidence of such updating about capabilities is difficult to find, even though updating about resolve appears much more common. This observation leaves substantial room for bounded rationality in empirical explanations of war.

A second limitation is that anarchy and private information are pervasive features of international politics, while war is relatively rare. Fearon accepts this point. The two mechanisms are not by themselves predictions that war must occur; rather, they are foundational causal logics. Specific models must identify the variables that activate them in particular settings—for example, the size and speed of a power shift, the costs of war, the size of a first-strike advantage, the strategic value of territory, or the distribution of private information.

The broader theoretical implication is a demanding standard for explanations of war. A proposed cause such as multipolarity, offensive advantage, failure to balance, or changing relative power is not yet a complete rationalist explanation. To show how it causes war among rational unitary states, one must demonstrate how it generates either an information problem that cannot be resolved without risk or a commitment problem that makes peaceful bargains unenforceable. In this sense, Fearon's bargaining framework reorganizes a large and fragmented literature around a common question: if peace would save both sides the costs of fighting, what specific strategic obstacle prevents them from reaching it?

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## 14 Robert Powell – The Inefficient Use of Power: Costly Conflict with Complete Information

### 14.1 The Inefficiency Puzzle

Powell studies a broad political puzzle: actors sometimes use costly forms of power even though they could, in principle, reach an agreement that leaves everyone better off. Examples include war, civil war, coups, revolutions, policy insulation, and other forms of coercion. The use of power consumes resources, so the total benefits available before conflict are larger than those remaining afterward. The central question is therefore why bargainers sometimes fail to reach a Pareto-superior settlement before power is used.

1. **Powell concentrates on commitment problems that can produce bargaining breakdown even under complete information.**
2. The actors may know each other's preferences, capabilities, and options perfectly, yet still be unable to sustain an efficient agreement because future incentives make promises incredible.

### 14.2 A Common Commitment Problem Across Political Settings

The common structure is dynamic. Actors bargain over a flow of benefits rather than a single one-time pie. They cannot fully commit today to how future benefits will be divided, and the amount each actor can guarantee itself through the use of power changes over time. When the strategic environment shifts rapidly, an agreement that is attractive today may cease to be incentive-compatible tomorrow. This makes efficient bargaining dynamically inconsistent.

Powell illustrates the mechanism through several existing models. In Acemoglu and Robinson's work on political transitions, rich and poor factions compete for control. A temporarily powerful faction may be bought off only if transfers continue for several periods. Yet when political or economic conditions change, the faction promising future concessions gains an incentive to renege. Anticipating this, the temporarily strong faction may prefer a costly coup or revolution now.

Fearon's model of secessionist civil war has a similar logic. When the government is temporarily weak, rebels have a window of opportunity. The government would like to offer enough regional control to induce peace, but the rebels' value of fighting may exceed what can be transferred in a single period. A sufficient concession therefore requires a multi-period promise. If the government is likely to become strong again, however, it will later prefer to retract the concessions. Knowing this, the rebels fight while the opportunity exists, even though both sides would prefer an enforceable peaceful arrangement.

De Figueiredo's model of policy insulation provides a domestic analogue. A politically weak party that happens to be in office may deliberately make its policy difficult and costly to reverse. Such insulation is inefficient, but the party expects to lose power and cannot trust its opponent to preserve the policy later. The ability of the future majority to overturn today's policy makes reciprocal restraint difficult to sustain.

Powell's own preventive-war model shows the same pattern in international politics. A declining state bargains with a rising state whose probability of military victory increases over time. The rising state would prefer to promise the declining state a favorable territorial settlement in order to avoid war. Yet as the rising state grows stronger, its payoff from fighting increases and it becomes less willing to respect the earlier bargain. If the change in power is sufficiently large and rapid, the declining state rationally prefers to fight before its position worsens.

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### 14.3 The General Mechanism: Shifts in Bargaining Power

Across these cases, a temporarily weak actor needs to buy off an adversary that currently possesses a valuable option to use power. Because the use of power is costly, there are enough total resources to make peaceful accommodation desirable. The difficulty is that resource constraints often prevent the needed compensation from being paid immediately. The transfer must instead be spread across a concession phase lasting several periods.

During this concession phase, the strategic environment may change. The actor that is weak today may become strong tomorrow. Once stronger, it can secure a better outcome by abandoning the promised transfers. Since the future beneficiary anticipates this, the promise is not credible today. Thus the problem is not ignorance about future power: all changes can be common knowledge. Nor is it simply impatience. The breakdown comes from the interaction of limited current transfers, inability to commit to future transfers, and a sufficiently rapid shift in the distribution of bargaining power.

This is why complete information does not guarantee efficiency. In a static bargain, knowing all payoffs would normally allow the actors to divide the surplus. In a changing environment, however, the allocation that would induce restraint today may require behavior tomorrow that will no longer be optimal for the actor making the promise. The use of power becomes a way to lock in an outcome before the strategic balance changes.

### 14.4 The Inefficiency Condition

Powell formalizes the argument in a two-player stochastic game. A stochastic game differs from a standard repeated game because the strategic environment can move among different states. Each actor has a minmax payoff in every continuation game: the minimum payoff it can guarantee itself regardless of what the opponent does. Powell treats these minmax payoffs as a measure of relative bargaining power because they capture what an actor can lock in through its own actions.

The core inefficiency condition states, in substance, that an efficient path cannot be sustained when at some point an actor can guarantee itself more by deviating than it can receive while continuing to cooperate. One useful interpretation is a 'lock-in' condition: if one actor's current guaranteed payoff plus the discounted amount the other actor can guarantee itself in the next period exceeds the total flow of benefits available, both claims cannot simultaneously be satisfied. There is then no efficient equilibrium at that point.

A second and especially intuitive interpretation compares the expected shift in an actor's minmax payoff with the bargaining surplus. If the expected increase in one side's guaranteed future payoff is larger than the surplus generated by avoiding costly conflict, no feasible sequence of transfers can keep both sides satisfied. In less formal terms, large and rapid changes in relative power can make all equilibria inefficient. The speed and magnitude of the change matter because they determine how quickly today's credible concessions become tomorrow's unattractive promises.

A third interpretation emphasizes the limit on credible transfers. An actor can compensate its opponent partly in the current period and partly through promised future transfers. Yet future promises are bounded by what the promisor will voluntarily honor once the strategic environment changes. If the opponent's current minmax payoff exceeds the sum of what can be transferred now and what can credibly be promised later, the use of power cannot be bought off.

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## 14.5 Stable Environments and the Broader Contribution

Powell contrasts stochastic games with infinitely repeated games. In an ordinary repeated game the strategic environment does not change: the same stage game recurs indefinitely. Because continuation values remain stable, there are no large jumps in minmax payoffs to undermine future cooperation. If actors are sufficiently patient, standard folk-theorem results therefore allow efficient equilibria. This comparison underscores that the source of inefficiency in Powell's argument is not repetition itself but rapid movement in the distribution of bargaining power.

The broader contribution is to unify diverse literatures. Coups, revolutions, civil wars, preventive wars, and policy insulation can all be understood as manifestations of the same commitment problem. A temporarily favorable opportunity to use power becomes attractive when an opponent cannot credibly promise the concessions required to make restraint worthwhile over time. The article therefore generalizes the bargaining logic of commitment problems beyond international war.

Powell also identifies an agenda for future research. His general model treats shifts in power largely as exogenous: governments become strong or weak, parties gain or lose office, and military balances change. Explaining the microfoundations of those shifts—why they occur, how quickly they occur, and when political actors can influence them—is essential for determining where the inefficiency mechanism should be most important empirically. The main theoretical lesson nevertheless remains clear: costly conflict does not require hidden information. Even with complete information, rapid changes in relative power combined with limited commitment can make efficient bargaining impossible.



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## 15 Sechser & Fuhrmann – Crisis Bargaining and Nuclear Blackmail

### 15.1 Research Question and Main Argument

Sechser and Fuhrmann ask whether nuclear weapons give states an advantage when they try to compel other states to make concessions.

1. **Deterrence:** seeks to prevent an opponent from changing the status quo.
2. **Compellence:** seeks to make an opponent take an action, reverse a policy, or relinquish something it already possesses.

A common view holds that nuclear weapons cast a **Devo ritornare su questo punto** ⇒ **'looming shadow'** over crisis bargaining. Because nuclear states can inflict extraordinary destruction, targets should be more willing to comply with their demands. The supposed advantage may be greatest when only the challenger has nuclear weapons, because the target cannot retaliate in kind. Some scholars further claim that the effect does not require an explicit nuclear threat: simple possession of a nuclear arsenal may increase the challenger's leverage.

The authors reject this logic. Their central claim is that nuclear weapons are uniquely poor instruments of compellence. Successful compellent threats are especially plausible when a challenger can

- credibly threaten to seize the disputed object by force
- when carrying out the threatened punishment would impose relatively low costs on the challenger

Nuclear weapons satisfy neither condition.

### 15.2 Why Nuclear Weapons Are Weak Compellent Tools

1. **Nuclear weapons are not useful tools of conquest.** Many compellent disputes concern territory, cities, or other objects that the challenger wants to acquire. Conventional military forces can threaten to take and hold such objects, which may induce a target to concede rather than fight a losing war. Nuclear weapons, by contrast, are designed for destruction.
2. **Punishment:** Instead, a nuclear state might hope to coerce a target by threatening to attack the target's valued possessions. A challenger could threaten to incinerate a target state's capital city, for example, unless it relinquished a disputed territory. But this possibility highlights a second limitation of nuclear weapons: **the costs of executing nuclear punishment likely would be tremendous.** The state would provoke an international backlash, potentially triggering economic sanctions and international isolation, encouraging nuclear proliferation, and provoking other states to align against it. Indeed, **the fact that the challenger has already lived without the item for some period of time suggests that it could continue to do so, even if it would rather not.**

Deterrence and compellence should have different nuclear dynamics: When a state's **survival** is directly threatened, **the enormous costs of nuclear use may still be acceptable**, making a deterrent threat credible. Compellent demands usually involve objectives that are valuable but not vital.

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### 15.3 Problems in Earlier Research

The article argues that previous studies often cannot answer the comparative question properly. Many qualitative studies select only famous nuclear crises, especially Cold War episodes involving the United States. Such designs lack a nonnuclear comparison group, so they cannot establish whether nuclear states are more successful than comparable nonnuclear states. Selecting famous or prolonged crises may also overrepresent failed coercive threats, because successful threats often end crises quickly and quietly.

Existing quantitative datasets create a different problem. Datasets such as International Crisis Behavior and Militarized Interstate Disputes contain many episodes in which no compellent threat was made at all. They also often classify battlefield victories as crisis successes. This confuses brute-force achievement with coercive success. For the authors, a successful threat is one that obtains compliance without the challenger having to carry out major military force. The 1991 Gulf War illustrates the distinction: the coalition won militarily, but the prewar ultimatum compelling Iraq to leave Kuwait failed because Iraq refused and war followed.

### 15.4 Research Design and Measurement

The dataset contains interstate compellent threats from. The dataset includes nuclear and nonnuclear challengers, famous and obscure crises, and cases in which nuclear weapons were or were not discussed.

The dependent variable, compellence success, equals one only when the target voluntarily complies with all of the challenger's demands and the challenger does not need to use military force to obtain the outcome. Roughly 30 percent of the threats in the dataset meet this standard. The main explanatory variables measure whether the challenger possesses nuclear weapons, whether the target is nuclear armed, and the interaction between the two. The authors also test alternative measures such as arsenal size, nuclear superiority, the nuclear capability ratio, and the numerical difference in arsenal size.

The statistical models control for important alternative explanations.

- Conventional capability matters because a state with superior nonnuclear military power may be more coercively effective regardless of its nuclear arsenal.
- The stakes variable distinguishes demands over territory or leadership from lower-stakes disputes.
- Probit models estimate the probability that a compellent threat succeeds, with clustered standard errors to account for repeated observations of some country pairs.

### 15.5 Empirical Findings

- **The results provide no support for the claim that nuclear weapons improve compellent bargaining performance.**
- nuclear states do not gain a reliable advantage even when the target lacks nuclear weapons.
- The conclusion remains unchanged when nuclear power is measured in different ways.
- Larger arsenals, nuclear superiority over the target, nuclear capability ratios, and absolute differences in arsenal size do not provide robust evidence of a compellent advantage.

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The central empirical result is therefore not simply that explicit nuclear threats rarely occur, but that possession itself does not appear to cast the coercive shadow claimed by the nuclear-blackmail argument.

## 15.6 Limitations, Implications, and Conclusion

- This study demonstrates that nuclear weapons do not have the coercive leverage that their extraordinary power might suggest.
- Weapons that are exceptionally powerful may be politically unusable when carrying out the threat would impose enormous costs on the coercer or fail to deliver the object being demanded.
- The study cannot evaluate whether **explicit** nuclear compellent threats would work better, because leaders have almost never made clear, unambiguous threats to use nuclear weapons in support of compellent demands.
- The analysis focuses on peacetime threats and therefore leaves **open whether nuclear weapons might have greater compellent value once a war has already begun.**
- The theoretical implication is broader than nuclear politics:

$$\textit{destructive capability} \neq \textit{coercive leverage}$$

- The **practical implication** concerns proliferation fears. **Policymakers** often warn that new nuclear states would be able to blackmail weaker neighbors. The historical record examined here provides little support for that fear.

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## Part IV

# Session 5

### Session 5, March 9: Domestic theories of war

\*\*\* Bueno de Mesquita (2013) Chapter 6

- Allison (1969)
- Bueno De Mesquita and Smith (2012)
- Putnam (1988)
- Bendor and Hammond (1992)

## 16 Bueno de Mesquita, 2013 Chapter 6, Domestic Theories of War

1. War is correctly viewed as ex post inefficient from the perspective of national welfare; however, it can be efficient for leaders, especially those who head a small-coalition, autocratic government.
2. When domestic politics plays a part in shaping demands for war, it can increase the credibility of threats, reduce the likelihood of threats, and alter the path of conflict escalation.
3. Domestic politics alter the subject matter of war. Domestic accountability makes the pursuit of policy concessions and regime change focal issues for democracies. In autocracies, the focal issues for which wars are fought involve resource acquisition and territorial conquest.
4. Democrats try harder to win the wars they fight than do autocracies, and democracies are more selective about their preparedness to fight. Selection effects identified by examining domestic politics fundamentally alter the trajectory of conflict from what is expected if we take the view that states are unitary actors.
5. Weakness, a characteristic of terrorists and of many small states, may encourage otherwise peacefully inclined people to become unusually aggressive because they bring few bargaining chips to the negotiating table.

### 16.1 The Domestic Politics of International Crises

1. **Kosovo (1999):** NATO bombed Serbia to force Milošević to stop the expulsion of the predominantly Muslim Kosovo Albanians. The intervention was not prompted by an existential threat to NATO countries, although the refugees would have imposed a major burden on neighboring states.
2. **Bosnia (1995):** Through Operation *Deliberate Force*, NATO intervened to stop Serbia's involvement in ethnic cleansing in Bosnia. The text presents this as another intervention that cannot be explained solely by national security or the balance of power.

Here we have examples in which, as Fearon (1995) suggests, war might be ex post inefficient for the countries involved but, as Chiozza and Goemans (2004) note, war might not be inefficient for the individual leaders choosing between war and the peace of appeasement.

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## 16.2 Ex-post Efficient War: Falkland Islands

1. Little economic value
2. Little political value
3. Possible diplomatic alternative: couple of billion dollars to convince Argentines to not fight

She made a wise decision for her, not for Britain.

Thatcher chose to fight spending a couple billion dollars to defeat Argentina.

Why did this make sense? Thatcher turned her career around by defeating Argentina.

After becoming prime minister in 1979, Thatcher launched a major economic reform in Britain to try to turn its economy around. In the short term, her economic program and her fights with trade unions led to recession and high unemployment. In the wake of the economic downturn, she became extremely unpopular.

Autocrats are much less sensitive to military defeat.

## 16.3 Audience Costs: Cuban Missile Crisis

The planning for the invasion Kennedy backed the invasion but withheld American air cover, which had been promised to the Cuban ex-patriots who led the landing on Cuba. The invasion was a total failure.

This and President Kennedy's weak performance at a summit meeting with Khrushchev convinced the Soviet leadership both that Kennedy could be pushed around and that they could place offensive nuclear missiles on Cuba.

- **September 1962:** The Soviets began deploying nuclear-armed missiles in Cuba. However, these missiles did not fundamentally alter the balance of power.
- **October 14:** The Soviet buildup of an offensive capability was discovered, leading the United States to impose a naval quarantine of Cuba.
- **October 24:** Soviet ships stopped short of the quarantine line rather than confront the US Navy. As we now know, the Soviets had nuclear-armed submarines available in case of a confrontation.
- **Between October 24 and 27:** Khrushchev sent a private letter to Kennedy stating that the Soviet Union's need for weapons in Cuba would disappear if the US government pledged not to invade the island.
- **October 27:** Khrushchev's private letter was followed by a public demand that the United States remove its offensive missiles from Turkey.

President Kennedy responded to the first, private message by demanding that the missiles in Cuba be made immediately inoperable.

Privately Robert Kennedy informed the Soviet leadership that the United States would remove its missiles from Turkey in the future.

- **October 28:** Premier Khrushchev publicly announced that the USSR would withdraw its missiles from Cuba.

The missiles on Cuba had not fundamentally altered the balance of power.

The president

1. Was concerned that if he did not take strong action he would be impeached.
2. mid-term elections were only a few short weeks away.

The public declarations that Kennedy made are examples of what James Fearon (1994) calls audience costs.

Kennedy had a domestic price to pay if he backed down after making public threats about an (unexpected) offensive weapons buildup on Cuba.

According to the model, high audience costs make it hard for democratic leaders to back down after a severe public declaration such as Kennedy made. We will also see that the difficulty in backing down can make crises less likely to occur and can make nondemocratic adversaries more likely to back down themselves if they are threatened.

## 16.4 Model

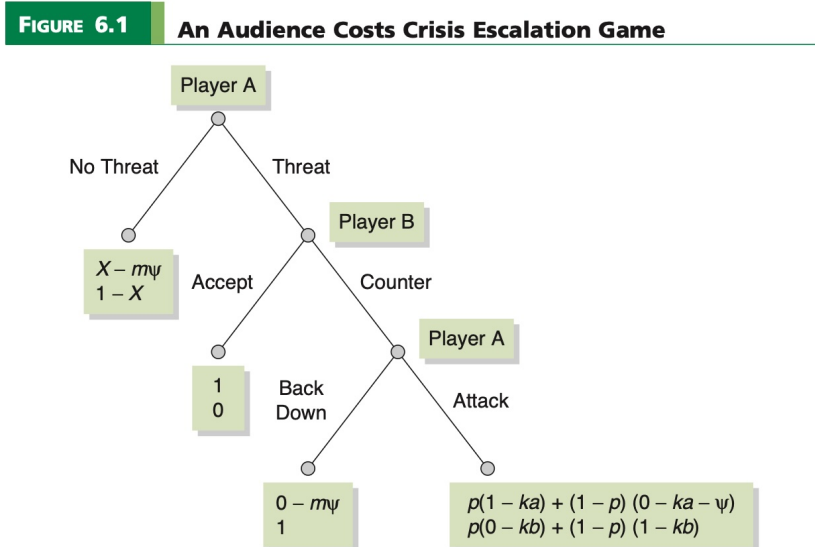


Figura 8

- Let  $0 \leq m \leq 1$ : the variable  $m$  measures the degree of domestic policy inadequacy (the general risk of not being reselected) based on prior job performance.
- $\Psi$  is the cost to a leader of being turned out of office: a constituency- or audience-imposed cost.

It measures the audience costs associated with the leader's choices in the game since loss of office is the cost the selectorate can impose on a leader who fails to deliver the benefits they seek.

- $X$  is the value of the status quo to player A.
- $p$  is the probability that A wins if A attacks B.
- $k_a$  and  $k_b$  are A's and B's expected costs from war.

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- Assumptions: winning a war or making a successful threat ensures remaining in office. Losing a war ensures losing office. Backing down after threatening war or not threatening war implies that the loss of office depends on the degree to which the leader's record is considered inadequate ( $m$ ).

$\Psi$  and  $m$  are both domestic features in the crisis decision-making game and so **are not part of a realist perspective**.

#### 16.4.1 Solving when $\Psi = 0$ and $m = 0$

Backward induction reveals that A will attack rather than back down if A has threatened and if  $p > k_a$ .

B can be expected to counter under two circumstances:

- (1) if A is expected to back down (B believes  $p < k_a$ )
- (2) if B believes A will attack but B believes that  $1 - p > k_b =$  B's expected chance of winning  $1 - p >$  B's expected costs from a war ( $k_b$ ).

A initiates a threat only if:

*A believes that B believes  $1 - p < k_b$*

*B will not counter*

*A believes  $X + k_a < p$*

X is so bad that it is worth gambling on a war

In each instance, we see that:

$p \uparrow \Rightarrow \uparrow$  *Probability A makes a threat*

$p \uparrow \Rightarrow \uparrow$  threaten and more likely to fight if B makes a counter demand instead of backing down

#### 16.4.2 Solving when $\Psi > 0$

Holding everything else constant, increased audience costs changes the size of the fraction that  $p$  must be larger than in order to attack rather than back down.

If  $m$  is sufficiently large, then the leader of A is prepared to attack even with a small chance of winning as this is its best shot at salvaging his or her reelection prospects.

So good prior policy performance can offset the incentive to attack even when audience costs are high.

We learn from audience costs two important things: each pulling in opposite directions with regard to settling disputes.

- that democrats are less likely to make idle threats
- democrats might attack even when their chances of victory are low

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## 16.5 Crisis Selection in Democracies and Autocracies

As Schultz (1998, 2001) has noted, audience costs lead to interesting selection effects in terms of what we actually get to observe in the world.

A legitimate opposition is absent from audience-costs models.

In Schultz's formulation

- because the opposition party is interested in gaining electoral advantage, it opposes foreign policies the incumbent proposes if the opposition deems the policy likely to fail.
- When the foreign policy is thought to have a good chance of success, the democratic opposition backs it to minimize the electoral advantage gained by the incumbent's party.

When the opposition supports the incumbent's foreign policy, this support credibly conveys "high resolve" to the foreign opponent. This has two effects: (1) it encourages the democratic incumbent to press ahead with his foreign policy and (2) it discourages the rival from believing that internal dissension in the democracy will weaken the democratic leader's resolve to fight.

The audience-costs literature offers an explanation for differences in the crisis behavior of autocrats and democrats. It helps us understand selection effects that shape what we actually observe in the international arena.

## 16.6 Diversionary War

Smith (1996, 1998) developing a model in which audience costs are an endogenous, strategic element of the political environment.

In Smith's model, leaders can use their private information to manipulate policy, choosing, for instance, diversionary war tactics designed to draw attention away from their previous policy failures (the variable  $m$  in the game in figure 6.1). Other models, such as those by Slantchev (2006) and Ashworth and Ramsay (2011) further develop these themes.

In the Ashworth-Ramsay model, for instance, leaders have private information about their nation's prospects in war ( $p$  in figure 6.1). That information can be used to extract a substantial concession from the foreign rival who wishes to avoid the costs of war ( $kb$ ). But the fact that the initiation of conflict could extract a significant concession to appease the initiator means that the prospective initiator also has incentives to create a crisis when her private information does not support a strong expectation of victory.

Ashworth and Ramsay report that under optimal conditions, citizens always punish leaders if they initiate a crisis and then back down. Whether leaders are punished if they back down rather than going to war, however, depends on the value of the status quo and on the costs of war, much as we saw in the game in figure 6.1.

Gaubatz (1991), Fordham (1998), and Smith (2004), for example, show that war timing by democratic leaders is strongly influenced by where they are in their election cycle, their reelection prospects, and the electoral rules under which they operate.

Conconi, Sahuguet, and Zanardi (2010) show that democratic term limits lift some of the constraints on war fighting that otherwise characterize reelection-motivated choices in democracies.

Morrow focused on arms control negotiations between the United States and the Soviet Union, demonstrating that when the US economy faced high inflation or high unemployment (i.e.,  $m$  is large in figure 6.1), the president was prepared to grant greater concessions to the powerful



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Soviet Union in arms control talks to offset his domestic economic shortcomings and to improve the odds of a negotiated resolution of important, contentious foreign policy issues.

Tarar focuses on what makes a diversionary threat into a meaningful signal of leader competence. He argues that the rival must be sufficiently strong that the conflict actually tests competence, and the leader must place a sufficiently high value on retaining office. Tarar's model helps make sense of seemingly competing empirical patterns.

### 16.6.1 The Resurrection Hypothesis - Downs and Rocke (1995)

When leaders face a military defeat and anticipate being ousted, extreme efforts are actually a rational response.

Such leaders lose nothing by fighting on and stand to gain much if luck should turn their way.

**Example: Tet Offensive during Vietnam War** US military and political leaders believed that they had already punished the North Vietnamese regime to such an extent that it was no longer capable of launching a military offensive. Likewise, the American public had become convinced that the war in Vietnam was virtually won. And, in fact, the Tet offensive was a considerable military rout. But just by the very fact that they were able to launch the offensive at all, the North Vietnamese pulled off a stunning political and propaganda victory that resurrected their hopes and led, ultimately, to a negotiated resolution of the Vietnam War that was very favorable to the North Vietnamese side.

**Example: Iraq 2003** Bluffing about WMD weapons, Saddam might have hoped to convince the opposition in the United States to oppose going to war given the high expected costs in terms of casualties.

Saddam Hussein may have decreased the odds of an invasion by raising the specter of an unconventional war.

When a country demonizes an adversary, this helps mobilize domestic political support for the use of force, thereby increasing the chances of victory against the adversary. However, demonizing an enemy also motivates that adversary to try harder to win.

### 16.6.2 Pacific Dove Hypothesis

There is a hypothesis, known as the pacific dove hypothesis (Bueno de Mesquita and Lalman 1992) that is closely associated with the logic of the resurrection hypothesis.

**Dove:** prefers to resolve disputes through negotiation rather than trying to coerce an adversary.

**Pacific Actor: Bueno de Mesquita and Lalman (1992)** if attacked, prefers to surrender.

If a state—or nonstate actor such as a terrorist group—is a pacific dove and if it is uncertain of its foe's type (dove or hawk, pacific or aggressor), then the weaker the pacific dove is relative to its opponent, the higher the probability that it will launch an attack in an effort to extract a surrender from that opponent.

The logic undergirding this seemingly counterintuitive claim is developed in a model known as the **international interaction game**.

The international interaction game assumes that there is a first-strike advantage, which might be small or large, and that this **first-strike advantage can create a commitment problem** that makes efforts to negotiate risky.

Negotiations do not look that attractive to the weak pacific dove because its weakness means it lacks leverage.

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Giving up the first-strike advantage and facing the danger of being forced to cave in looks bad too.

For the weak pacific dove the best prospect is to attack and hope that its stronger rival is not motivated to fight back.

This is the only way that a weak pacific dove can derive benefits from the situation.

Bueno de Mesquita and Lalman (1992) tested the pacific dove hypothesis on all European disputes across almost 200 years of history. Although there are just forty instances of pacific doves in that analysis, they found that they behaved as predicted.

That pacific doves are more likely to engage in violence when they are weak rather than strong raises difficult questions about conflict resolution.

**Both hawks and weak pacific doves (but not powerful pacific doves) behave in the same way when they are sufficiently uncertain of the response they can expect if they pursue peaceful solutions to their disputes.**

## 16.7 Selectorate Theory and the Conduct of War

Small-coalition leaders look for valuable territory to acquire or treasure that they can capture for their own domestic use.

For democratic regimes < wars are directly or indirectly about policy issues. Either they fight to extract concessions or to impose regime change in order to put in power someone who will grant the desired policy concessions.

**Take Away:** We see that the reasons behind militarized disputes, both those that become wars and those that fall short of open warfare, are different depending on the accountability of the regime to a larger or smaller audience.

**Selectorate Theory + Audience Cost Model:** Selectorate theory provides a substantive underpinning that is coalition-dependent behind the reason for fighting: democrats need to provide adequate public goods, including foreign policy concessions from adversaries, in order to stay in office. Autocrats need to provide resources with which to pay off cronies. Otherwise, members of their coalition will switch their loyalty to someone better able to provide private rewards.

This regime-type distinction turns out to have implications for decisions to fight or not and for differences in the effort made to win once war is underway.

### 16.7.1 War-Selection Calculations

Well-established empirical regularity that democrats, with their dependence on a large coalition, tend to win the wars they fight.

Major reason that democrats do so well in war is that they are highly selective about the wars they fight, choosing to negotiate when the odds of victory in war are not substantial.

## 16.8 Selectorate Theory and War Effort

Let's see the logic and the evidence to **explain the effort democracies make when a war turns out to be harder** to win than expected.

Let's suppose, as before, that we have two countries, *A* and *B*, either on the verge of war or already at war. For the sake of argument, we will assume that *A*'s leadership depends on a large

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coalition of backers and that  $B$ 's does not.

The leaders of both  $A$  and  $B$  have access to money, such as government revenue, with which to pay for public and private goods. We will call this resource pool  $R$ . The leader of  $A$  can choose to distribute all of  $R$ , in the limiting case, to the winning coalition or allocate some or all of it to the war effort. Let  $R_{\text{coalition}}$  denote the resources distributed to the winning coalition and  $R_{\text{war}}$  the resources allocated to the war effort. The budget constraint is

$$R = R_{\text{coalition}} + R_{\text{war}}. \quad (1)$$

In the extreme case, suppose that the leader of  $A$  knows that the country can defeat  $B$  with certainty if all available revenue is allocated to the war effort:

$$R_{\text{war}} = R \Rightarrow \Pr(A \text{ defeats } B) = 1. \quad (2)$$

Conversely, if no additional resources are allocated to the war effort because  $R$  is retained to provide private benefits to key backers, the war will certainly be lost:

$$R_{\text{war}} = 0 \Rightarrow \Pr(A \text{ defeats } B) = 0. \quad (3)$$

1.  $V$  public good of victory and any other policy gains it implies.
2.  $r$  total value of private benefits that can be extracted from the vanquished state and distributed among the victor's coalition members.  $W$  the size of the victor's winning coalition. The private benefit received by each coalition member is  $r/W$ . (we assume that every member of the victor's winning coalition receives an equal share of these private gains).

A victory total value:  $V + r/W - k$  ( $k$  is the cost of war).

The smaller the leader's winning coalition the more acceptable it can be to lose a war rather than spend the coalition's money on victory.

That is, to fight to victory, spending all of  $R$  in the process—rather than lose while keeping  $R$ —the following must be true:

$$V + \frac{r}{W} - k \geq \frac{R}{W} - k \quad \Rightarrow \quad V \geq \frac{R - r}{W}. \quad (4)$$

**Thus: if  $A$  is democratic,  $A$  will value victory relative to keeping revenue much more than will  $B$  if  $B$  is autocratic.**

### 16.8.1 Evidence for the War Effort Logic

**FIGURE 6.2**

#### **Military Expenditure, Regime Type, and Duration of War**

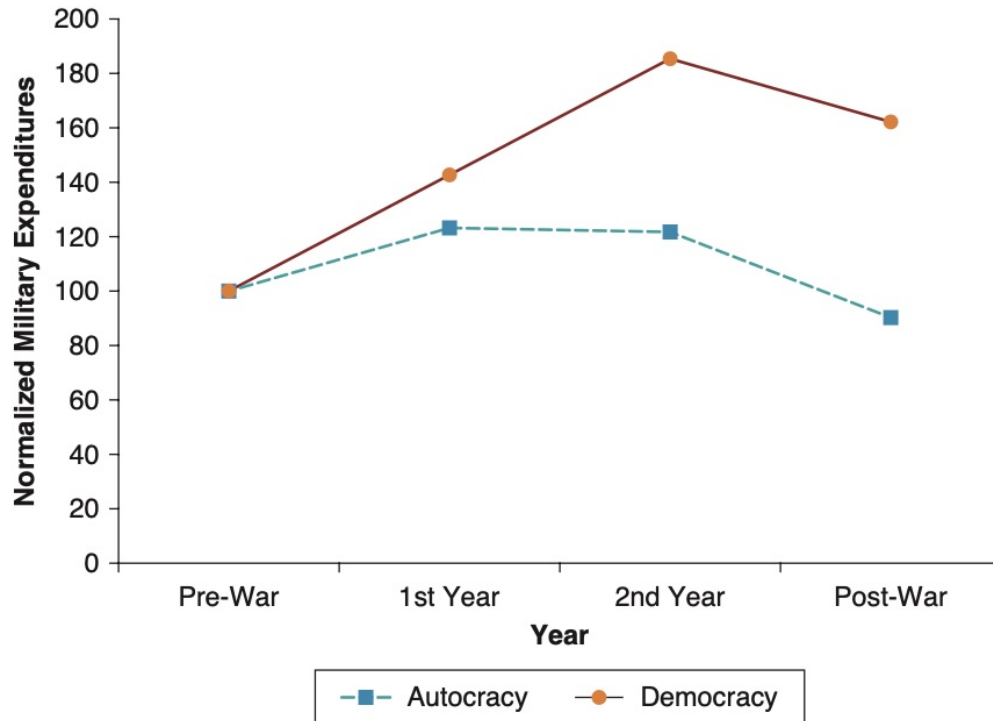


Figura 9

This figure shows that democrats facing a prolonged war increase their effort tremendously.

Figure 6.2 also shows us what happens after the war is over. Democrats cut back modestly on military spending, while autocrats return to their baseline level or even below. The systematic evidence supports the war effort logic

### 16.9 War Effort, War Loss, and Leader Deposition

Since victorious democrats are more likely to depose and replace vanquished rivals than are victorious autocrats, small-coalition dictators must be especially nervous about defeat at the hands of a democrat.

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## 17 Allison – Conceptual Models and the Cuban Missile Crisis

### 17.1 The problem of conceptual lenses

Allison uses the Cuban Missile Crisis not only as an important historical case but also as a way to investigate how analysts explain governmental behavior. His central claim is methodological: explanations of foreign policy are never produced from facts alone. Analysts approach evidence through implicit *conceptual models* that determine which facts appear important, what counts as a puzzle, which causal mechanisms deserve attention, and what kind of answer will count as an explanation. Different conceptual lenses can therefore generate different explanations of the same event without any change in the underlying historical evidence.

The article advances three general propositions:

1. Analysts of foreign and military policy normally rely on implicit conceptual models.
2. Most conventional analysis is dominated by what Allison calls the *Rational Policy Model* (Model I), in which a national government is treated as a unified actor selecting actions in pursuit of strategic objectives.

**Strategic Choice** Model I imagines a single chess player choosing moves strategically.

3. Two alternative perspectives—the *Organizational Process Model* (Model II) and the *Bureaucratic Politics Model* (Model III)—can reveal determinants of governmental behavior that Model I obscures.

**Organizational Routines, Model II:** asks whether apparently coherent moves are instead generated by semi-independent organizations, each operating according to its own routines.

**Political Bargaining, Model III** asks whether the moves are the result of bargaining among several players who share control over the pieces and pursue partly different objectives.

The three perspectives are illustrated by applying each to the same central question: why did the United States respond to Soviet missiles in Cuba with a naval blockade rather than with another policy?

### 17.2 Model I: Rational Policy

Model I treats foreign-policy behavior as *national choice*. The basic actor is a **unitary national government**. The key elements are therefore goals and objectives, available options, expected consequences, and value-maximizing choice.

The model's dominant inference pattern runs backward from observed action to purpose. If a government performed action *X*, the analyst asks what objective would make *X* a reasonable or optimal means. Explanation consists in reconstructing the rational connection between national objectives and the chosen action. Different analysts may disagree about national objectives or constraints, but they frequently share the assumption that an important foreign-policy act is a calculated response by a unified state.

#### 17.2.1 Interpretation of the Cuban Missile Crisis

The model generates straightforward comparative propositions. If the costs of an option rise, or its probability of success falls, that option should become less likely.

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Applied to the Cuban Missile Crisis, Model I depicts the blockade as the result of a systematic comparison of alternatives. The United States considered several broad courses of action. Doing nothing was rejected because the missiles were seen as militarily and politically significant and because failure to respond would undermine the credibility of American commitments. Pure diplomatic pressure appeared too slow and might force Washington into politically damaging concessions. A secret approach to Castro could not solve the problem because the missiles were controlled by the Soviet Union.

This first cut is powerful because it imposes coherence on the crisis.

### 17.3 Model II: Organizational Process

Model II opens the governmental "black box". A government is not one actor but a conglomerate of large organizations. Leaders formally sit at the top, but most information, planning, preparation, and implementation are performed by organizations that possess established missions, routines, procedures, and repertoires. What Model I calls a national "choice" is therefore often better understood as an *organizational output*.

Large organizations are indispensable because governments must monitor many problems and perform complex tasks simultaneously. They divide broad problems into narrower responsibilities and assign them to specialized units. This produces competence and regularity, but it also produces *parochial priorities*. An organization tends to perceive problems through its own mission and capabilities. It develops standard operating procedures (SOPs) that allow ordinary members to handle recurring situations without reconsidering every problem from first principles. Complex actions are implemented through programs that coordinate many routines. Consequently, what leaders can actually order is constrained by the programs already available: governments can usually choose effectively only among actions for which organizations possess some existing capability and repertoire.

Model II therefore emphasizes continuity. The best clue to what an organization will do at time  $t$  is often what it was doing at  $t - 1$ . Organizational behavior changes incrementally because routines, budgets, professional norms, equipment, and division of labor cannot be redesigned instantly. Search is generally problem-directed and local: when performance falls below acceptable levels, organizations look first for solutions near existing routines. Learning and change occur, but they are usually gradual and shaped by existing organizational capacities.

#### 17.3.1 Interpretation of the Cuban Missile Crisis

This perspective changes the interpretation of the missile crisis. Soviet behavior need not be explained entirely by a single strategic calculation. Details of missile deployment, construction, camouflage, and military procedure may have reflected familiar Soviet organizational routines developed for other contexts and transferred to Cuba. Likewise, American intelligence did not simply "decide" when to discover the missiles. Detection depended on organizational procedures, reconnaissance routines, interpretive categories, and the availability of information through established channels.

The blockade itself also illustrates the autonomy of organizational implementation. Presidential leaders could decide on a quarantine in broad terms, but the Navy had to convert that political decision into an operational program. The resulting action was not infinitely adjustable to presidential wishes. Allison recounts the tension between Secretary of Defense Robert McNamara and Admiral George Anderson over how the blockade would actually be conducted. The episode illustrates Model II's central point: even at the height of a crisis, implementation reflects organizational routines that political leaders cannot simply rewrite at will.

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Model II thus qualifies the rational-choice story. Leaders may choose among broad alternatives, but the menu itself is organizationally generated, information is filtered through organizational channels, and execution is shaped by SOPs. Apparently puzzling details may therefore be explained not by grand strategic objectives but by the mundane fact that an organization did what it already knew how to do.

## 17.4 Model III: Bureaucratic Politics

Model III shifts from organizational routines to political bargaining. The leaders at the top of governmental organizations are not a single team with one objective. They are individual players occupying different positions, carrying different responsibilities, perceptions, interests, and commitments. Governmental action is therefore often a *political resultant*: an outcome produced by "pulling and hauling" among players rather than a solution deliberately selected by a unified actor.

The model starts from three conditions.

1. Power is shared among several participants; those participants disagree about what should be done; and the stakes are important enough that they fight to influence the decision.
2. Position matters because responsibilities shape perceptions and priorities. Military chiefs, diplomats, intelligence officials, and political advisers confront different organizational demands and therefore tend to define problems differently.
3. Vertical position: Presidents, cabinet chiefs, senior staff, and lower-level officials face different constraints. Presidents must preserve flexibility and decide among competing claims; chiefs must build coalitions and secure presidential attention; lower-level officials struggle to place issues and proposals on the agenda.

Bureaucratic politics takes place through established **action channels**: regular procedures that determine who participates in which decisions, at what stage, with what information and authority.

A player's influence depends not only on formal position but also on bargaining advantages, expertise, control of information or implementation, access to the president, personal skill, willingness to use political resources, and the intensity of the player's preferences.

### 17.4.1 Interpretation of the Cuban Missile Crisis

The third cut at the Cuban Missile Crisis explains the blockade as the product of coalition formation inside the Kennedy administration. Important advisers initially favored different options. The Joint Chiefs and several senior figures strongly supported an air strike. McNamara increasingly regarded a blockade as a more controllable alternative.

A decisive coalition gradually formed around McNamara, Robert Kennedy, and Sorensen. Meanwhile, advocates of an air strike included figures whose style and relationship with the president made their recommendations less persuasive to him.

The final choice therefore cannot be reduced to a neutral ranking of fixed alternatives.

An outcome can be coherent enough to count as government policy without having been intended in all its details by any one participant.

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## 17.5 Overall implications

Allison does not argue that one model is universally correct and the others false. Rather, each highlights one class of determinants while holding others in the background. Model I emphasizes pressures and incentives in the international strategic environment. Models II and III examine the internal governmental machinery through which those pressures are perceived and converted into action. They are not mutually exclusive, and a fuller theory would need to specify which kinds of decisions are best explained by which mechanisms and how the mechanisms interact.

The broader lesson is a demand for analytical self-consciousness. Researchers should identify the assumptions embedded in their explanations rather than treating one conceptual lens as natural or neutral. The same event can look like a rational choice, an organizational output, or a political resultant depending on the model used. Models II and III are particularly useful as correctives to the tendency to infer large purposes from large events. They can improve explanation and prediction by directing attention to organizational capabilities, routines, intra-governmental disagreement, and bargaining.

At the same time, Allison recognizes limitations. Model I can rationalize almost any observed action if objectives are freely reconstructed. Model II risks explaining the present too heavily by the past and needs a better account of organizational change. Model III can become extremely complex and informationally demanding. The article therefore ends with a research agenda rather than a finished synthesis: foreign-policy analysis should make its conceptual models explicit, derive propositions more systematically, and combine strategic, organizational, and political variables in ways that improve both explanation and prediction.



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## 18 Bendor and Hammond – *Rethinking Allison's Models*

### 18.1 Purpose and general critique

Allison's study of the 1962 Cuban missile crisis, published as "Conceptual Models and the Cuban Missile Crisis" (1969) and as *Essence of Decision: Explaining the Cuban Missile Crisis* (1971), is a landmark in our discipline's analysis of bureaucracy's role in foreign policy making.

Bendor and Hammond revisit Graham Allison's *Essence of Decision* more than two decades after its publication.

Allison showed how explicit models could generate alternative explanations of the same foreign-policy event and helped move the study of bureaucracy away from purely descriptive accounts.

Their concern, however, is that the three models have problems. The article therefore evaluates the models primarily as theories rather than reassessing the historical record of the Cuban Missile Crisis.

They develop five broad criticisms:

1. The assumptions underlying Allison's models are often unclear.
2. Many propositions are not logically derived from those assumptions.
3. Some important propositions, especially in Model II, are logically wrong.
4. The models do not strike an appropriate balance between simplicity and complexity: Model I is too thin, whereas Model III is too thick.
5. Allison sometimes misrepresents the intellectual traditions from which the models are supposedly drawn.

### 18.2 A typology of policymaking models

|                                           |                      | DECISIONMAKERS<br>ARE  |                      |                        |  |
|-------------------------------------------|----------------------|------------------------|----------------------|------------------------|--|
|                                           |                      | Perfectly rational     |                      | Imperfectly rational   |  |
| Single Decisionmaker                      | 1a                   | 1b                     | 2a                   | 2b                     |  |
|                                           | complete information | incomplete information | complete information | incomplete information |  |
| Many Decisionmakers,<br>same goals        | 3a                   | 3b                     | 4a                   | 4b                     |  |
|                                           | complete information | incomplete information | complete information | incomplete information |  |
| Many Decisionmakers,<br>conflicting goals | 5a                   | 5b                     | 6a                   | 6b                     |  |
|                                           | complete information | incomplete information | complete information | incomplete information |  |

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## Figura 10

The typology demonstrates that Allison's models combine several dimensions at once, making it hard to know which assumption drives a particular prediction.

Model I appears to assume a single, perfectly rational actor, often with complete information. Models II and III are harder to classify. Model II is associated with bounded rationality and organizational routines, but Allison also introduces conflicting organizational goals. Model III clearly contains multiple actors with conflicting goals, yet it is ambiguous about whether those actors are fully rational or boundedly rational. It also incorporates misperception, incomplete information, bargaining, foul-ups, and incrementalism. As a result, Models II and III overlap analytically more than Allison's presentation implies. Before combining them, the authors argue, one should clarify exactly what each assumes.

### 18.3 Model I: an unfairly weak version of rational choice

Bendor and Hammond argue that Allison's Model I is not a fair test of rational-actor analysis because it is an unnecessarily primitive version of rational choice. Rationality does not require a single goal. Showing that missile deployment was not optimal for every subsidiary goal does not prove those goals were irrelevant.

The model is also excessively static. Allison's rational actor chooses once at a single moment, whereas real foreign-policy decisions have consequences across time.

Likewise, Model I largely neglects uncertainty.

Most importantly, **Allison neglects strategic interaction**. In international relations, the strongest justification for treating states as unitary rational actors is precisely that doing so allows the analyst to study strategic relations among states. Yet Allison's formal statement of Model I resembles individual decision theory, in which an isolated actor selects the best option from a fixed menu. Crisis bargaining is instead a game.

The authors therefore reject the common lesson that the Cuban crisis proves the weakness of unitary rational-actor explanations. Allison's particular version of Model I was so underdeveloped that it should have been expected to perform poorly.

### 18.4 Model II: routines do not necessarily imply simple behavior

Allison moves from the plausible claim that individuals use simple decision rules and SOPs to the stronger claim that organizational behavior will therefore be simple, rigid, incremental, and predictable. The authors argue that this inference is invalid. Complex behavior can emerge from simple rules, especially when many rules interact.

Allison also underestimates the positive functions of organizations. Simon and March did not view routines merely as constraints. Division of labor, specialization, redundancy, and organizational procedures can compensate for the cognitive limitations of individuals. Organizations can process more information and perform more complex tasks than any single member. Therefore SOPs *enable* action as well as constrain it.

The proposition that organizational behavior at  $t + 1$  will be only marginally different from behavior at  $t$  is consequently too strong. Stable routines can generate nonlinear or surprising aggregate outputs.

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## 18.5 Model III: bargaining, hierarchy, and excessive complexity

The authors' central criticism of Model III is that Allison treats bargaining as pervasive without explaining when superiors actually need to bargain with subordinates. The president possesses formal authority, appoints senior officials, and can in principle dismiss them. Why, then, must policy always be the result of bargaining among quasi-independent players? Bureaucratic-politics theory should identify the conditions under which hierarchy fails to produce command and bargaining becomes necessary.

Bendor and Hammond identify two especially important **sources of subordinate influence**:

1. First, subordinates may possess political support outside the executive branch which makes it costly for the president to override them.
2. Second, subordinates may enjoy informational or technical advantages.

**Limits:** Yet these advantages are variable. Presidential attention, alternative information channels, clear preferences, and control over appointments can reduce subordinate power. Bureaucratic politics should therefore be treated as conditional rather than universal.

Hierarchy itself is insufficiently theorized in Allison's Model III. Organizational structure determines who communicates with whom, which comparisons are made, which issues reach senior decision makers, and in what sequence alternatives are evaluated. Different hierarchies can therefore produce different policies even with identical actors and preferences. The interaction between formal authority and specialized expertise is a central feature of bureaucracy, but Allison does not develop it systematically.

The famous proposition that "where you stand depends on where you sit" also has ambiguous theoretical status. Position can influence preferences, but individuals are not reducible to their offices, and the proposition needs conditions and mechanisms if it is to be testable. More broadly, many Model III propositions are not clearly deduced from the model's premises.

Finally, Model III includes so many variables—positions, personalities, perceptions, bargaining advantages, organizational interests, deadlines, coalitions, personal commitments, and much more—that it risks becoming an "analytical kitchen sink." A useful model must simplify. If a theory contains almost every potentially relevant feature of a case, it may describe events richly but cannot generate clear, falsifiable predictions. The authors suggest concentrating on a smaller number of structural variables, especially hierarchy, authority, expertise, informational asymmetry, and external political support.

## 18.6 Conclusion

*Essence of Decision* taught scholars to formulate explicit alternatives and to ask how different assumptions produce different explanations. But the actual models require substantial reformulation.

Their final assessment is fivefold. Allison's models do not accurately represent all the literatures on which they are based; Model I does not give rational choice a fair test; the assumptions separating Models II and III are ambiguous; important propositions are not rigorously derived, and some are incorrect; and empirical support for a proposition teaches little about a model if the proposition is not logically connected to that model. The article therefore calls for models that are explicit enough to reveal their assumptions, simple enough to yield deductions, rich enough to capture relevant strategic and organizational processes, and precise enough to be tested.

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## 19 Bruce Bueno de Mesquita and Alastair Smith — *Domestic Explanations of International Relations*

### 19.1 From unitary states to political leaders and institutions

Bueno de Mesquita and Smith review the growth of research linking domestic politics to international relations. Their central claim is that foreign policy cannot be adequately understood by treating states as unitary actors with a single national interest.

The political-economy approach assumes that leaders generally want to remain in office. The relevant domestic constituency varies across systems. Foreign policy must therefore be incentive-compatible with the political requirements leaders face at home. This is what connects domestic institutions to war, crisis bargaining, nation building, foreign aid, and economic sanctions.

### 19.2 Audience costs and international disputes

A major strand of the literature examines *audience costs*: domestic political penalties that leaders may suffer if they publicly escalate a dispute and then back down

1. Fearon's model.
2. Later work endogenizes audience costs rather than assuming them.
3. Smith links them to voters' uncertainty about leader competence and to reelection incentives.
4. Slantchev shows that audience costs need not rise monotonically with democracy.
5. Ashworth and Ramsay frame the problem in terms of moral hazard, asking how citizens optimally constrain leaders who may bluff to extract concessions.
6. Schultz adds a domestic opposition party: because an opposition can criticize weak foreign-policy initiatives, its support or silence can itself convey information about the government's resolve.

### 19.3 The democratic peace

The most famous empirical regularity associated with domestic institutions is that democracies rarely fight wars against one another. The article reviews several explanations. Normative theories argue that democracies internalize habits of compromise and extend them to relations with other democracies. Institutional theories instead focus on incentives and selection effects.

Selectorate theory helps explain why democracies are unattractive targets for other democracies. Both sides would need high confidence of victory, a condition that is difficult for two opponents to hold simultaneously. Democracies therefore tend to negotiate rather than fight one another.

The review also discusses competing arguments involving issue salience, capitalism, leader experience, and the personal consequences of losing office.

### 19.4 Diversionary conflict

Domestic political weakness can also affect the timing and form of foreign policy. Diversionary-war arguments propose that leaders may initiate international confrontations to improve domestic standing. Research shows that election cycles, reelection prospects, term limits, and economic

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conditions can alter incentives for international action. Yet poor domestic conditions do not mechanically cause war. A politically vulnerable leader may instead make concessions in negotiations if an international agreement can generate political benefits at home, while foreign opponents may strategically accommodate a vulnerable but powerful state to avoid being targeted. Models centered on leader competence clarify these mixed findings. International conflict can serve as a signal of competence only under certain conditions, for example when the opponent is strong enough that success is informative and when the incumbent values remaining in office sufficiently. The domestic-international linkage therefore produces conditional predictions rather than a simple claim that unpopular leaders start wars.

## 19.5 Nation building and foreign aid

The domestic perspective generates pessimistic expectations about externally imposed democratization. Democratic interveners are accountable to their own constituents and therefore seek foreign policy outcomes those constituents value. If the preferences of citizens in the target state conflict with the intervener's preferred policies, installing a fully accountable democracy can undermine the intervener's objectives. A dependent autocratic regime may be easier to influence because its leader needs to satisfy only a small coalition and can exchange policy concessions for resources used to reward supporters.

This logic also **explains patterns of foreign aid**. Aid involves donor leaders, donor constituents, recipient leaders, and recipient citizens. Donor governments provide aid when the foreign-policy concessions they can purchase are worth more politically than alternative domestic uses of the resources. **Autocratic recipients are often attractive bargaining partners because they can trade policies for resources without needing broad domestic approval**. Aid can therefore enhance the survival of autocrats and may do little for ordinary citizens.

The literature reviewed by the authors finds strong connections between strategic interests, aid allocations, voting in international organizations, and access to IMF or World Bank resources. In this framework, aid is often better understood as a tool for buying policy compliance than as an instrument designed primarily for development.

## 19.6 Economic sanctions

The sanctions literature illustrates the importance of strategic selection. Simply asking how often imposed sanctions "work" is misleading. If a threatened sanction would be sufficiently painful, the target may concede before sanctions are imposed; the most effective sanctions therefore disappear from datasets of actual sanctions. Conversely, governments may impose weak sanctions that they know are unlikely to compel because imposing them yields domestic political benefits, such as appearing firm or satisfying interest groups.

Domestic institutions also affect the political consequences of sanctions. Leaders are not equally vulnerable to economic pain, because different regimes distribute costs differently and leaders depend on different constituencies.

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## 20 Putnam – *Diplomacy and Domestic Politics: The Logic of Two-Level Games*

### 20.1 Domestic-international entanglement

Putnam's starting point is that domestic politics and international relations are mutually entangled. Asking whether domestic politics determines international relations or the international system determines domestic politics is therefore misguided; both causal directions operate under different conditions. The theoretical challenge is to explain when and how they interact. Putnam develops the metaphor of the *two-level game* to show how national leaders must negotiate simultaneously with foreign counterparts and with domestic constituencies.

**Example: 1978 Bonn Economic Summit** The United States sought more expansionary policies from Germany and Japan, while Germany and Japan pressed the United States to address inflation, the dollar, and energy consumption. In each country, important domestic factions already favored policies demanded from abroad but lacked sufficient power to enact them alone. International pressure strengthened those factions, while domestic divisions made international concessions politically possible. The agreement succeeded because pressures at the two levels reinforced one another.

This example exposes the limits of both the "Second Image," in which domestic politics causes international behavior, and the "Second Image Reversed," in which international pressures cause domestic outcomes.

### 20.2 The two-level game

At *Level I*, national negotiators bargain with one another over an international agreement. At *Level II*, domestic groups, parties, legislators, bureaucracies, and other constituents decide whether the agreement is politically acceptable and, where necessary, formally ratify it. Domestic bargaining shapes the **mandate and constraints of international negotiators** before and during Level I, while expectations about international bargaining affect domestic coalitions.

Internationally, the leader seeks an agreement with foreign counterparts. Domestically, the same leader must maintain a coalition capable of accepting or **ratifying** that agreement.

Voluntary defection occurs when an actor knowingly violates an agreement it could have honored.

Involuntary defection occurs when a negotiator genuinely supports an agreement but cannot obtain domestic ratification or implementation.

### 20.3 Win-sets and ratification

The core concept is the *win-set*. For a given country, the Level II win-set is the set of all possible Level I agreements that would obtain the necessary domestic approval. International agreement is possible only where the win-sets of the negotiating states overlap.

Win-set size has two crucial effects.

1. First, larger win-sets make international agreement more likely because they increase the range of deals that can be ratified on both sides.
2. Second, however, a small win-set can create international bargaining power. A negotiator may credibly say, "I would like to concede, but my domestic constituents will not accept it." **Domestic weakness can become international strength.**

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Perceptions of win-sets are also strategically important. Negotiators may exaggerate domestic opposition in order to resist concessions, while foreign governments try to estimate which claims about domestic constraints are genuine.

## 20.4 1. Determinants of win-set size: preferences and coalitions

1. **No Agreement:** If the costs of no agreement are low for important domestic groups, those groups will demand more from an international bargain and the win-set will be smaller.
2. **Homogeneous Interests** On some issues, interests are relatively homogeneous and actors mainly disagree over how much to demand from abroad: there are domestic "hawks" and "doves."
3. **Heterogeneous Interests** On other issues, interests are heterogeneous, so different groups care about different components of a package. Heterogeneity can actually facilitate international cooperation: a policy unacceptable as a single issue may become ratifiable when linked to another issue that benefits the opposing domestic coalition.

This possibility produces *synergistic linkage*. International negotiations can alter domestic coalitions by bundling issues in new ways. International commitments supply domestic factions with leverage and allowed governments to present a broader package of reciprocal concessions.

4. **The relative political power of domestic groups** Groups that are more organized, intense, or institutionally privileged may constrain ratification disproportionately. Because the composition of the active constituency differs across issues, a country's win-set is not a fixed national characteristic.

## 20.5 2. Domestic institutions and ratification rules

1. **Formal ratification requirements** can directly change win-set size. Requiring a simple majority generally creates a larger win-set than requiring a two-thirds majority or unanimity. Stronger ratification hurdles can therefore strengthen a negotiator's international bargaining position but also increase the chance that no agreement will survive Level II.
2. **Informal Institutions:** Party discipline, coalition rules, legislative procedures, bureaucratic authority, and traditions of consensus shape what leaders can plausibly deliver.
3. **State strength** A state whose **central executive is insulated from domestic pressure** has a large win-set because the leader can ratify many agreements.

That autonomy facilitates international cooperation, but it can weaken bargaining leverage: the executive cannot credibly claim that domestic actors prevent it from making concessions.

4. **Real negotiations may involve more than two levels.** An international agreement can require approval by a national legislature, parties within a coalition, administrative agencies, regional governments, or organized interests (European Union i.e.).

## 20.6 3. Level I strategies: changing the other side's win-set

The third determinant concerns strategies used by international negotiators. A negotiator does not merely observe the foreign win-set; he or she may try to alter it. Side-payments, issue linkage, threats, symbolic gestures, and selective concessions can be targeted at politically pivotal

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groups in the other country. Successful diplomacy therefore requires knowledge of the opponent's domestic politics.

This creates the possibility of transnational alliances. A foreign negotiator may effectively cooperate with domestic groups inside the other state that favor the same international agreement. Such alliances need not be formal. International pressure can supply arguments and resources to domestic minorities, while domestic actors may actively invite foreign pressure to strengthen their own position.

## 20.7 Reverberation

Putnam calls the effect of international pressure on domestic preferences and coalitions *reverberation*. Foreign demands do not simply constrain a fixed domestic game; they can change it. At Bonn, external pressure strengthened domestic supporters of fiscal expansion in Germany and Japan and supporters of energy reform in the United States.

Reverberation can be material or cognitive:

- Materially, international offers or threats can alter domestic costs and benefits.
- Cognitively, information and arguments from foreign governments or international institutions can persuade undecided actors, legitimize a policy, or strengthen a domestic minority.
- Positive reverberation expands the win-set and facilitates cooperation.
- Negative reverberation produces backlash and shrinks the win-set, especially when pressure comes from a distrusted adversary.

The concept is theoretically important because it **prevents analysts from modeling domestic and international politics as independent sequential games**. If international strategies can reshape domestic preferences, then Level II outcomes are not exogenous inputs into Level I bargaining.

## 20.8 The role of the chief negotiator

For analytical simplicity, the basic model initially treats the chief negotiator as an honest representative of domestic constituents. Putnam then relaxes this assumption. Leaders have their own preferences, political ambitions, reputations, and investments in domestic coalitions. The principal-agent relationship between leaders and constituents therefore matters.

A negotiator may value an international agreement because it enhances domestic political standing, may oppose an agreement that would disrupt an existing support coalition, or may hold personal policy preferences that differ from the median domestic actor.

The **leader** also normally possesses an **effective veto**: even an agreement that could be ratified may never be submitted if the negotiator dislikes it.

Existing domestic coalitions create "fixed investments". A deal that requires a leader to abandon core supporters and construct a new coalition can be politically costly even if a theoretical majority exists for ratification. Consequently, simple median-voter models may misrepresent the constraints facing actual negotiators. The identity and coalition of the leader matter.

The gap between leader and constituent preferences also creates additional international leverage. If foreign negotiators know that domestic constituents strongly favor an agreement while the



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leader is reluctant, they may exploit the leader's vulnerability. Conversely, a domestically weak leader facing hard-line constituents may gain bargaining power by credibly claiming that only a favorable agreement can survive politically.

**International negotiators bargain not only with one another but also, indirectly, with each other's domestic coalitions.**

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## Part V

# Session 6

### Session 6, March 16: Psychological theories of war

\*\*\* Levy (2023)

- Stein (2023)
- Yarhi-Milo (2013)
- Holmes and Yarhi-Milo (2016)
- Kertzer and Tingley (2018)

## 21 Stein – Perceiving Threat: Cognition, Emotion, and Judgment

I briefly define the two key terms

- Threats
  - (a) Verbal threats are conditional statements designed to signal the capacity and intention to inflict harm if desired results are not forthcoming. Verbal threats usually take the form of if-then statements.
  - (b) Physical
- Perception: Understanding the meaning of threats is mediated by the perception of the target.

Perception is the process of apprehending by means of the senses and recognizing and interpreting what is processed.

### 21.1 Hiding Psychology: Structural Explanations of Threat Perception

Central to many rationalist accounts of threat perception is the argument that leaders perceive threat and go to war because they do not have complete information.

Only in the last several decades have scholars begun to look seriously at intention as a source of threat that is independent of military capabilities and build models that focus explicitly on perception of intention in their explanations of the causes of war (Walt, 1985). This strand of scholarship produced what is generally considered "rationalist" models of deterrence and of war where signaling and credibility are the core analytic puzzles (Schelling, 1960, 1966; Fearon, 1995).

**As Jervis (1976, 2002, 2017) signals that are sent acquire meaning when they are perceived.**

Five sets of variables complicate threat perception: - changing balances of power and the attendant difficulty the sender faces in making commitments credible to the perceiver - security and status dilemmas that make intentions difficult to read and threats difficult to assess

- Institutional Interests, Political System.

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Organizational and bureaucratic politics can produce pathologies where advisers structure problems in ways that increase their importance and push hard for solutions that advance their institutional interests. These institutional interests can generate and benefit from either a heightened or reduced level of threat perception.

A related but distinct argument focuses on organizational failure, on the inability of large and complex organizations to get information up the chain of command to leaders in a timely way.

- political culture. Threat perception is socio-cultural:

Domestic society and its accompanying identities influence how a state's decision makers perceive threat. Identity conditions threat perceptions so that the material balance of power becomes less important (Rousseau, 2006).

Threat becomes culturally routine and embedded in political institutions, and it acquires an almost taken-for-granted quality. Under these conditions, collective threat perceptions become highly resistant to change.

- the violation of norms:

Finally, scholars have identified the breaking of norms as a critical signal that elevates threat perception.

Violating norms and breaking rules by one increases the perception of threat by the other because, at a minimum, it makes behavior less predictable (Cohen 1978).

## 21.2 Psychological Explanations of Threat Perception

Lake (2010): the key information failures were rooted in cognitive biases in decision making, not intentional misrepresentations by the opponent. Both the United States and Iraq engaged in self-delusions, biased decision making, and failures to update prior beliefs that are inconsistent with the assumption that actors will seek out and use all available information.

In most fields, Kahneman, Sibony, and Sunstein conclude, "a judgment may never be evaluated against a true value and will at most be subjected to vetting by another professional who is considered a respect-expert".

Arguments of "misperception" and "miscalculation" are built on the assumption that "accurate" perception and calculation are possible, that there is some standard, some boundary, that separates inaccuracy from accuracy.

## 21.3 3. Cognitive Patterns and Heuristics

Political psychologists drew on the **cognitive revolution** to inform their study of inference, estimation, judgment, and decision-making by political leaders engaged in interactive bargaining with others even as they negotiated domestically with important constituencies.

Because their rationality is bounded, people use cognitive short cuts and heuristics to simplify complexity, manage uncertainty, process information, and make inferences.

People need simple rules of information processing and judgment that are necessary to make sense of environments that are both uncertain and complex.

**Simplifying complex environments:** Political leaders trying to assess a threat need to make a very complex world somewhat simpler. To do so, they unconsciously strip the nuance, the context, the subtleties out of the problems they face, to build simple frames.

**Maintaining Consistency: Deny and Discount:** People strongly prefer consistency, that

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they are made uncomfortable by dissonant information, and that they consequently deny or discount inconsistent information to preserve their beliefs.

Threat perception and assessment resemble forecasting; they generate an assessment of what others are likely to do in the future.

Much of the work of experts have questioned how well cognitive psychology results travel into international politics. In a study by Tetlock (Tetlock, 2005) experts on foreign policy generally continue to defend the forecasts they had made, even after what they expected did not happen. Tetlock finds a relationship between the size of the mistakes and the activation of defenses. The more confident experts were in their original forecast, the more threatened they were when they were faced with disconfirming evidence, and the more motivated they were to use one or more of the seven defenses to preserve their beliefs.

Yet conservatism does not hold unconditionally: change is partly a function of the rate at which discrepant information occurs, and how diagnostic the information is.

Tetlock classified foreign policy experts as "foxes" or "hedgehogs." Hedgehogs know "one big thing" extremely well and extend what they know into other domains of foreign policy analysis.

Foxes, on the other hand, know many small things, are generally skeptical of grand overarching schemes, stitch together assessments with different threads of knowledge, and are skeptical of prediction in world politics.

Foxes do much better at short-term forecasting within their broad domain of expertise than do hedgehogs. The more knowledge hedgehogs have, the better equipped they are to defend against inconsistency. Foxes are more likely to admit they are in error in their threat assessment.

**Predisposition to negativity:** negative events are more salient, potent, dominant in combinations and generally efficacious than positive events.

Scholars constructed a comprehensive list of cognitive shortcuts and heuristics, all the biases predisposed leaders to believe the hawks. Basic psychological impulses incline national leaders to exaggerate the threatening intentions of adversaries.

Some evidence suggests political orientations are the consequence of psychological traits.

Time sensitivity also affects the strength of sensitivity to threats. Temporal sensitivity may be partly explained by temporal construal theory, especially by its proposition that proximate events are treated with greater "concreteness", leading to greater attention to their probabilities.

**The fundamental attribution error:** people generally tend to use double standards in making attributions. People exaggerate the importance of dispositional over situational factors in explaining the behavior that they dislike by others but explain the behavior that they like by others by their circumstances rather than by their character.

**Actor-Observer Bias:** people tend to over-emphasize the role of a situation in their own behaviors and under-emphasize the role of their own attributes.

**The implications:**

- people generally will tend to perceive the threatening behavior of others as intentional and systematically overestimate the threat.
- They also minimize the threat that others may perceive in their own behavior.

**Example: North Korea** When the government of North Korea makes a threatening statement, leaders in Washington see that threat as a function of the kind of regime that Pyongyang is, but explain their own response as evidence of the difficult situation that they confront.

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Fundamental attribution error + the actor-observer bias  $\Rightarrow$  patterns of escalating threat perception and the dynamics of the spiral model that occur when the security dilemma is acute.

## 21.4 Assessing Threat: Making Probability Estimates

Tetlock  $\Rightarrow$  because we are fundamentally deterministic thinkers with an aversion to probabilistic strategies that accept the inevitability of error.

Kahneman  $\Rightarrow$  People generally think in causal and narrative ways rather than in statistical terms.

To make matters worse, people tend to be overconfident in the estimates that they generate.

Experts tend to overestimate the likelihood of threat, for example, because they can easily imagine the causal pathways to war, a highly salient occurrence that they have likely experienced or studied (Tversky and Kahneman, 1983; Koehler, 1996). They pay less attention to the threats that did not lead to war and to the frequency of threats over an extended period of time.

Cognitive psychology has identified heuristics and cognitive patterns that people use in environments of both risk and uncertainty that can impair processes of probability estimation and threat perception.

Heuristics are convenient short-cuts or rules of thumb for processing information. Two of the best-documented heuristics directly related to estimating the likelihood of threats are representativeness and anchoring.

Decision makers tend to overweight low probabilities and underweight high probabilities within a normal distribution.

Decision makers tend then to give more weight to the utility of a possible outcome when probabilities are high or low, when they should give equal weight to both.

**Loss aversion:** Kahneman and Tversky (1979) argue first that the pain of a loss is greater than the pleasure of an equivalent gain.

**Overconfidence:** tendency toward optimism that blocks disconfirming evidence.

Tetlock  $\Rightarrow$  In world politics, feedback is generally slower and more ambiguous, leaving greater scope for people to reinforce rather than adjust their prior beliefs and avoid revising their estimates.

**Improving Assessment:** Tetlock: The primary attributes of "superforecasters" are open-minded thinking and the belief that forecasting is a skill to be cultivated.

Training can improve performance in forecasting as people become better at distinguishing signals from noise.

## 21.5 Emotion and Threat Perception

No longer do we think of thinking and feeling as separable processes, but rather as deeply intertwined, with profound implications for the way we understand perception both as process and as outcome.

**Emotion and Cognition:** There is growing consensus that emotion is first, because it is automatic and fast, and, operating below the threshold of conscious awareness, it plays a dominant role in shaping perception.

How do neuroscientists analyze the relationship between emotion and cognition? Dual-process: Implicit systems are automatic, fast, evolved early, use parallel processing, have high capacity,

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are not reflexive, and are effortless

explicit systems are conscious, controlled, relatively slow, evolved late, use sequential processing, are limited by attentional and working memory resources, and are effortful.

It is extraordinarily difficult, Kahneman concludes, for the second system to educate the first.

**Emotion, appraisal and perception:** One approach treats emotion as information that stimulates appraisal. Emotions carry information to people about their unconscious processes, which then become conscious thoughts and feelings and affect their perceptions and beliefs.

**Evolution and Emotion:** evolutionary psychologists have long seen emotions as adaptive programs of action that evolved over time to ensure survival and reproduction. They understand emotions as superordinate programs that gather information from the environment and organize the raw data of experience prior to conscious processes of thought.

People are programmed to detect threat because these rapid and efficient judgments about the significance of threat are important for survival.

Political and social psychologists see evolutionary arguments as necessary but not complete. It is social context which makes emotions meaningful.

Physiological processes are layered by social knowledge, which shapes the appropriateness of anger and fear and the perception of threat. It is in this sense that emotions need to be conceived not only as an individual but also as a socially constructed process.

### 21.5.1 Fear and threat perception

Six emotions—joy, fear, anger, disgust, sadness, and surprise—are widely considered to be basic in that facial displays of these emotions are recognized across cultures.

Among these six "basic" emotions, the impact of fear is the most directly related to threat perception and the most widely studied. Fear has been central to the study of foreign policy and international politics.

**Neuropsychologists and behavioral economists treat fear very differently** Fear is an aversive emotion that is evoked when people sense an immediate physical or psychological threat and when they are uncertain about whether they can cope.

A novel context with high **uncertainty is especially likely to increase the feeling of fear** and the perception of threat. Fear is the product of evolved sensory mechanisms that operate unconsciously and consciously to **sound an alarm** of imminent threat and danger.

fear influences how people think as well as how they feel. It **interrupts normal cognitive processes and heightens attention to threat**, which in turn can intensify perception of threat and set off a spiraling up of fear. It also **inhibits complex cognitive processing**.

Neuroscientists have now demonstrated that **fear conditioning may be permanent**, or at least far longer lasting than other kinds of learning. Fear may last longer than the threat and can become a learned response that is embedded over time. Fear also has a social and political dimension.

**Humiliation and threat perception:** When people perceive threats as humiliating, they are likely to become angry and may seek revenge if they have the capacity to do so.

**Anger and threat perception:** Anger reduces information seeking and attention to disparate cues and is likely to provoke an aggressive response.

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## 21.6 Perception of the Credibility of Threats

The credibility of threats is a function of the perceptions of the target of the threat driven by cognition and emotion.

Petersen, 2015: Physically stronger males are more receptive to threats and more inclined to support the use of force in international conflict.

**Kertzer et al., 2021:** Some evidence **contradicts** theories that consider **audience costs** an important determinant of the credibility of a threat; publics in democracies tend to see their own governments as less likely to stand firm than their authoritarian counterparts .

**Mercer, 2010; Yarhi-Milo, 2014:** Research also demonstrates that **credibility is emotional as well as cognitive**. The belief that another's threat is credible depends on the selection and interpretation of evidence and on the assessment of probability, both of which rely in part on emotion.

**Leaders' perceptions are a function in large part of the emotional salience of information as well as organizational responsibility and experience.** Leaders pay **selective attention** to especially vivid evidence that becomes especially salient in face-to-face communication.

Vividness refers to the emotional interest of information, as well as to its concreteness and imaginability and the sensory, spatial, and temporal proximity of information.

**Israeli and American estimation of Iran nuclear bomb development:** Emotion can be understood as an assimilation mechanism that influences the selection and interpretation of evidence in threat perception. In 2009, Israeli and American leaders had access to almost all the same data and evidence on Iran's nuclear program; there was extensive intelligence sharing among the two countries.

Yet American officials estimated a much longer time horizon—five years—for the development of a nuclear weapon by Iran than did Israel's officials who estimated a year or two. The difference in threat perception is not explainable by the evidence but by the higher emotional loading of the likelihood of an Iranian bomb for Israel's leaders that shaped threat perception.

Thinking and feeling outside the laboratory cannot be directly observed, but scholars can draw on archives, documents, diaries, leaked cables, interviews, and polls to assess what leaders and publics feel, what they perceive, and what they think.

**Levy, 1997:** more challenging will be integrating psychological theories into broader theories of international relations. Central will be the "aggregation problem", or aggregating individual decision makers' perceptions when they interact collectively in decision-making units.

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## 22 Holmes and Yarhi-Milo: The Psychological Logic of Peace Summits

### 22.1 Empathy as a mechanism of diplomatic bargaining

Marcus Holmes and Keren Yarhi-Milo ask why some high-level peace summits succeed while others fail even when the material and strategic setting is broadly similar. Their answer highlights *empathy*: the ability to understand another person's cognitive and affective state without necessarily sharing it, approving it, or sympathizing with it. Empathy therefore has no necessary moral content. It can support cooperation, but it can also be used strategically to understand an opponent's priorities, intentions, and likely behavior.

The authors distinguish cognitive empathy, which concerns understanding another person's perspective and intentions, from affective empathy, which concerns understanding and responding to another person's emotional state. Empathy is also related to, but distinct from, trust. It is difficult to judge whether someone is trustworthy without understanding how that person sees the situation, yet empathy can also reveal that an interlocutor is untrustworthy.

In negotiation, empathy helps actors distinguish stated positions from underlying interests, identify what the other side can actually concede, and determine whether negotiations are being conducted in good faith. This is essential for discovering a zone of possible agreement. A negotiator who cannot understand the counterpart's perspective may treat a symbolic demand as material, misread a concession, or fail to recognize a trade that would benefit both sides.

### 22.2 Conveyed empathy and face-to-face interaction

A central contribution of the article is the distinction between possessing empathic capacity and *conveying* it. Empathic capacity may be a relatively stable personal trait, but it has little diplomatic effect unless the other side perceives it. Leaders infer empathy from expressive behavior in face-to-face interaction: tone, facial expression, posture, eye contact, gestures, mimicry, emotional reactions, and language. These cues can provide information that formal diplomatic statements do not.

This yields the first hypothesis: leaders use beliefs about another leader's empathic capacity as information about whether that leader intends to negotiate in good or bad faith. All else equal, perceived good-faith intentions make agreement more likely, whereas perceived bad faith makes non-agreement more likely. Emotional expression is therefore not simply "noise" to be removed from diplomacy; it can communicate sincerity, priorities, and the importance attached to particular issues.

### 22.3 Relational empathy and mediation

In entrenched conflicts, the protagonists may be unable or unwilling to empathize directly. Holmes and Yarhi-Milo therefore introduce *relational empathy*. A mediator can establish an empathic relationship with each side separately and then transmit each protagonist's perspective to the other. If both parties believe that the mediator understands their interests, fears, and political constraints, they are more willing to reveal genuine priorities. The mediator can then correct misunderstandings and identify a bargaining range that the disputants cannot locate themselves.

This produces the second hypothesis: mediators who understand both sides and credibly convey each side's perspective to the other are more likely to generate relational empathy and reach



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agreement. This role is broader than simple mediator trustworthiness. A mediator can be imperfectly trusted yet still be regarded as someone who understands both parties and can interpret their positions accurately.

## **22.4 Camp David 1978: Carter's relational empathy**

The authors compare the successful 1978 Camp David summit among Jimmy Carter, Anwar Sadat, and Menachem Begin with the failed 2000 summit involving Bill Clinton, Yasser Arafat, and Ehud Barak. Both involved high-stakes territorial disputes, deep mistrust, and a Democratic U.S. president acting as mediator, making the contrast useful for assessing the proposed mechanism.

At Camp David I, Carter initially hoped that direct interaction would improve relations between Sadat and Begin. Instead, their meetings quickly became hostile, and the two leaders could barely negotiate face to face. Carter therefore separated them and became the principal channel between the two sides. His role was not limited to carrying proposals. He repeatedly explained each leader's political constraints, motivations, and private flexibility to the other. He reminded Sadat of Begin's ideological and domestic constraints and explained to Begin the political risks Sadat had accepted by visiting Jerusalem and representing broader Arab interests.

Carter was effective because both leaders increasingly believed that he understood them. With Sadat, this relationship developed relatively easily. With Begin it was harder, but emotionally significant interactions – including the Gettysburg visit and Carter's personal appeal concerning their grandchildren near the end of the summit – strengthened Begin's sense that Carter understood the human consequences of war and peace.

This relational understanding helped Carter identify the actual bargaining structure. He concluded that Sadat's central objective was the return of Sinai and that Begin might ultimately accept withdrawal and the removal of settlements there, whereas pressing Begin for comparable concessions on the West Bank, Gaza, or Jerusalem was unlikely to succeed. Empathy thus helped Carter distinguish core interests from bargaining style and public rhetoric and to identify a package that other participants had not initially recognized as feasible.

The authors do not claim that empathy alone caused the agreement. Strategic interests, bargaining power, and domestic politics all mattered. Their point is that these factors had to be interpreted and translated into a workable deal, and Carter's empathic mediation made that translation possible.

## **22.5 Camp David 2000: failure to build relational empathy**

Camp David II displayed the opposite pattern. Barak and Arafat entered with different expectations and deep suspicion. Their direct interpersonal relationship was poor, and Barak often avoided direct contact with Arafat. Palestinian negotiators interpreted aspects of Barak's behavior as evidence that he did not understand or respect their political needs, while Israeli and American participants often viewed Arafat as evasive and unwilling to state clearly what he would accept.

The absence of direct empathy could have been compensated for by an effective mediator, but Clinton did not create the same relational bridge that Carter had built. Although Clinton was widely regarded as an empathic politician, empathy is contextual and must be perceived by the specific interlocutor. Palestinian participants increasingly believed that Clinton and his team understood Israeli constraints better than Palestinian ones, particularly on Jerusalem, sovereignty, and the political meaning of concessions. As a result, Clinton was less able to serve as a trusted interpreter of each side's underlying interests.

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The summit therefore suffered from a relational and informational problem. The participants struggled to distinguish genuine bottom lines from bargaining positions, and no mediator successfully convinced both parties that the other's interests were being accurately understood. Even if Arafat was never prepared to sign a final agreement, the authors argue that the theory still applies: his failure to convey empathic engagement would have signaled the absence of good-faith bargaining. If he was willing to bargain, the failure of relational empathy still reduced the chance that a mutually acceptable package would be found.

## **22.6 Conclusion**

Holmes and Yarhi-Milo argue that diplomatic outcomes cannot be explained only by material power, fixed interests, or formal bargaining strategies. Face-to-face interactions influence how leaders interpret those interests and whether they believe counterparts are sincere. Empathy can reveal priorities, clarify intentions, and help actors recognize agreements that would otherwise remain hidden. Where direct empathy is impossible, a skilled mediator can create relational empathy by understanding both sides and translating their perspectives to one another.

Empathy does not guarantee a fair or durable agreement, and it cannot create a bargaining range when none exists. Its importance is instead causal and informational: it affects whether leaders correctly perceive the bargaining opportunities that do exist. The article therefore integrates individual psychology and social relations into the study of diplomacy and shows why mediator behavior can be decisive even when structural conditions remain unchanged.

## **23 Kertzer and Tingley: Political Psychology in International Relations – Beyond the Paradigms**

### **23.1 The transformation of political psychology in IR**

Joshua Kertzer and Dustin Tingley review the changing role of political psychology in international relations (IR). Their organizing claim is that psychological research in IR has changed because the broader discipline has changed. Earlier reviews were often structured around grand theoretical paradigms such as realism, liberalism, and constructivism, asking what psychology could contribute to each. Contemporary IR is less dominated by these “isms,” less centered exclusively on interstate war, and more methodologically eclectic. Political psychology has followed the same trajectory: it is increasingly problem driven, spans a wider range of substantive areas, and uses a broader set of methods.

The authors identify several reasons for renewed interest in psychology. First, major political developments generated questions that invited psychological explanations: terrorism and radicalization after 9/11, intelligence and planning failures surrounding Iraq and Afghanistan, public backlash against globalization and trade, and renewed attention to individual leaders. Second, IR increasingly shifted toward micro-level approaches and causal mechanisms. Even macro-level theories require assumptions about individual decision making, and scholars interested in mechanisms therefore often encounter psychological processes. The spread of inexpensive survey experiments also made it easier to investigate public attitudes relevant to foreign policy. Third, the traditional opposition between psychology and rational choice weakened. The rise of behavioral economics demonstrated that psychologically realistic assumptions could be incorporated into models of strategic choice rather than treated simply as irrational deviations from them.

This change means that psychology is no longer best understood as a “theory of errors.” Psychological mechanisms can explain systematic preferences, emotions, identities, learning processes,

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and social interactions, not merely mistakes relative to a rational benchmark. At the same time, much contemporary IR work uses psychological ideas without explicitly labeling itself political psychology.

## 23.2 A data-driven map of the field

Rather than relying only on a subjective literature review, Kertzer and Tingley analyze author-selected classifications for manuscripts submitted to *International Studies Quarterly* between 2013 and early 2017. Their figures show both the methodological diversity of political-psychological research and its uneven distribution across substantive topics.

Methodologically, political psychology submissions are much more likely than other IR submissions to use experiments and surveys. Experiments are particularly distinctive: roughly 30% of political psychology submissions used experimental methods, compared with only a small fraction of submissions overall. Yet political psychology is not methodologically narrow. Case studies remain common, and researchers also use statistics, interviews, archival evidence, content analysis, and interpretive techniques. The field therefore combines the laboratory and survey traditions of psychology with the historical and qualitative traditions of IR.

Substantively, political psychology remains strongly represented in international security and foreign policy, reflecting its historical roots in deterrence, perception, and foreign-policy decision making. It is also active in IR theory, political sociology, human rights, identity, contentious politics, diplomacy, and public opinion. The most striking area of overrepresentation is public opinion: a large share of political-psychological submissions study citizens' attitudes toward international issues.

By contrast, psychology remains relatively underrepresented in international political economy (IPE), international organizations, international institutions, international law, foreign investment, development, monetary politics, and global governance. Kertzer and Tingley do not interpret this pattern as evidence that psychology is irrelevant to these topics. Instead, the gaps identify promising areas for future research because institutions and economic policies ultimately depend on human judgments, identities, and preferences.

## 23.3 From cold cognition to hot cognition

The first major new direction is a shift from “cold” cognition toward “hot” cognition. Earlier psychological research in IR was deeply shaped by the cognitive revolution and the heuristics-and-biases tradition. It emphasized how decision makers process information, simplify complex environments, misperceive probabilities, and rely on frames or reference points. This work remains important, but newer research pays much greater attention to emotion and affect.

Researchers increasingly distinguish between specific emotions, such as fear, anger, anxiety, humiliation, and pride, because these emotions have different effects on risk taking, threat perception, bargaining, ethnic conflict, and political mobilization. This shift partly overlaps with developments in constructivist IR, where scholars have also turned toward emotion, habit, identity, and non-reflective action. The two literatures sometimes study nearly identical phenomena through different intellectual traditions. Kertzer and Tingley therefore encourage more exchange between political psychologists and constructivists, while noting that constructivist work is often more comfortable with collective emotions and social ontologies whereas psychological research is more often grounded in individual-level mechanisms and experimental evidence.

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## 23.4 A psychologically richer study of public opinion

The second development is the rise of psychologically informed research on public opinion in foreign policy. Earlier IR work on public opinion often treated foreign-policy attitudes as a relatively separate domain and used specifically foreign-policy orientations such as militarism or internationalism to explain particular preferences. Newer work increasingly connects foreign-policy attitudes to broader psychological traits and value systems.

Studies show, for example, that personal values, moral foundations, punitiveness, ethnocentrism, social identity, and general orientations toward welfare and redistribution can predict preferences about military force, foreign aid, trade, immigration, and international cooperation. This work implies that foreign-policy preferences are not created only when citizens encounter an international issue. They are partly rooted in more general belief systems that organize political and even nonpolitical choices. In this sense, IR public opinion research has become more integrated with the broader study of political behavior.

## 23.5 Bridging the study of leaders, elites, and masses

A third theme concerns the study of leaders. Classical political psychology often used idiographic techniques such as psychobiography, operational codes, cognitive maps, and personality profiles to analyze individual leaders. Recent leader-centered IR scholarship is more often nomothetic: it uses large datasets to study whether leader characteristics, backgrounds, military experience, or institutional positions systematically affect foreign policy.

The two traditions have not always communicated well. One emphasizes dispositions and individual psychology; the other often emphasizes situations, institutions, and experiences. Kertzer and Tingley argue that future research should study their interaction. Leaders' traits can matter differently depending on institutional constraints, political stakes, and strategic environments.

A similar gap separates elite and mass political psychology. Scholars often use different theoretical frameworks for leaders and ordinary citizens, partly because elites are difficult to recruit for experiments. Yet it is an empirical question, not an assumption, whether elites possess fundamentally different cognitive architectures. The growing use of elite and quasi-elite experiments is therefore valuable. Early findings suggest that elites differ from mass publics on some characteristics, such as strategic expertise or feelings of power, but may still respond to many experimental treatments in similar ways. A more unified psychology of elites and masses would allow scholars to identify when political experience changes basic psychological processes and when it does not.

## 23.6 Psychology in international political economy

The authors identify IPE as a major opportunity for expansion. Psychological approaches are surprisingly rare given the growth of behavioral economics. Existing studies show several productive pathways. Social identity and ethnocentrism help explain trade, immigration, and outsourcing preferences. Loss aversion and inequity aversion help explain economic policy choices. Heuristics and bounded rationality can affect investment decisions and judgments by market actors.

Moreover, classic IPE work on ideas and beliefs often rests implicitly on psychological microfoundations. If ideas constrain which options leaders consider, or if experimentation changes leaders' beliefs, then concepts such as mental models, schema, problem representation, and information processing are directly relevant. The authors therefore call for closer integration between IPE and psychology rather than treating economic preferences as automatically derived from objective

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material interests.

### 23.7 The first image reversed

One of the article's most original labels is the *first image reversed*. Waltz's first image traditionally asks how individuals affect international politics. Kertzer and Tingley highlight a growing literature that reverses the arrow and asks how international politics affects individuals.

Research on combatants and populations exposed to violence finds that war can reshape political participation, social cooperation, attitudes toward negotiation, risk preferences, and preferences for punishment or retribution. These effects can persist long after the original event and may even be transmitted across generations. The first image reversed therefore shifts attention from the causes of international conflict to its psychological consequences.

This research is important for two reasons. For IR, it connects macro-level events such as war and political violence to everyday political behavior. For political psychology, it emphasizes macro-to-micro causation and demonstrates that dispositions themselves can have situational origins. Rather than treating preferences and psychological traits as fixed inputs, scholars can study how international environments create or activate them.

### 23.8 Genetic, biological, and evolutionary approaches

The sixth major development is the rise of genetic, biological, neuroscientific, and evolutionary approaches. Some research examines genetic contributions to political attitudes; other work investigates hormones, neurobiology, facial characteristics, or evolved behavioral tendencies. Evolutionary perspectives have been applied to questions such as coalition behavior, hierarchy, territoriality, status competition, and threat perception.

Kertzer and Tingley stress that this literature should not be interpreted as a return to biological reductionism. Much contemporary work explicitly studies interactions between biological dispositions and social environments. Genetic effects may depend on context; neurological responses can be shaped by experience; and evolutionary arguments generally concern probabilistic tendencies rather than deterministic behavior. These approaches also create opportunities for IR to export ideas to psychology and related sciences rather than merely import findings from them.

### 23.9 Conclusion and research agenda

The review concludes that political psychology in IR is now broader, more methodologically diverse, and less defined by a simple opposition between rationality and irrationality. Emotions, public opinion, leader characteristics, the psychological effects of conflict, and biological approaches have all expanded the field, while IPE and institutional research remain relatively open frontiers.

The authors add two cautions. First, IR scholars should import psychological findings critically. Psychology is itself diverse and contested, and some concepts that political scientists continue to treat as settled – including classic formulations of groupthink or the fundamental attribution error – have been revised or challenged within psychology. Selective borrowing can create the false impression of disciplinary consensus.

Second, political psychologists in IR should aim not only to import theories but also to export findings. International politics provides environments involving high stakes, strategic interaction, violence, institutions, and cross-cultural variation that can generate insights valuable to psychology, behavioral economics, and neuroscience. The future of the field therefore lies in genuine

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interdisciplinary exchange. Political psychology is most useful when integrated with the strategic, institutional, and social contexts in which international behavior occurs, rather than treated as an isolated alternative paradigm.

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## 24 Levy: Foreign Policy Decision-Making – The Psychological Dimension

### 24.1 Political psychology and foreign-policy analysis

Jack S. Levy surveys the psychological study of foreign-policy decision making and argues that political psychology has become increasingly important in IR after a long period in which individual-level explanations occupied an uncertain position. The chapter combines a history of the field with a review of beliefs, information processing, decision models, group dynamics, and crisis behavior. Levy's central methodological message is that psychological explanations should not be treated as complete theories of international politics by themselves. Their value lies in identifying specific mechanisms inside broader political, institutional, and strategic processes.

For much of the postwar period, mainstream IR privileged systemic and state-level explanations. Structural realism deliberately removed individual psychology from its core theory, while liberal theories concentrated on institutions, regimes, and domestic interests. Constructivism created greater potential for incorporating psychology through its attention to identities, meanings, and socialization, but initially did relatively little to develop individual-level psychological mechanisms. Foreign-policy analysis offered a more natural home for psychological theories because it asked how leaders define situations, process information, and choose policies, yet even early decision-making frameworks often treated leaders' worldviews as given rather than explaining their origins.

The decline of rigid paradigm debates and the rise of middle-range, problem-driven research created more space for psychology. Contemporary work extends beyond security policy into public opinion, trade, finance, human rights, international organizations, and other subjects. Methodologically, the newer behavioral wave is distinguished by quantitative datasets, survey experiments, and, increasingly, elite experiments. At the same time, Levy emphasizes an *aggregation problem*: IR outcomes are produced by collective bodies such as governments, ministries, cabinets, and advisory groups, so researchers must explain how individual beliefs and preferences become collective decisions. A related *strategic interaction problem* arises because foreign-policy decisions interact with the choices of other states. Psychology must therefore move from behavioral decision theory toward something closer to behavioral game theory.

### 24.2 Beliefs, images, and operational codes

Beliefs are central because leaders interpret new information through prior conceptions of how the world works. Political actors hold descriptive beliefs about other states and the international environment, causal beliefs about the consequences of alternative policies, normative beliefs about desirable outcomes, and beliefs about themselves. These beliefs help explain why different leaders facing similar structural conditions may choose different policies.

Early work on national images emphasized perceptions of adversary hostility and strength, as well as corresponding self-images. Enemy images often interact with idealized self-images to create mirror-image processes in which each side interprets its own behavior as defensive and the opponent's similar behavior as aggressive. Holsti's "inherent bad faith" model illustrates the resulting rigidity: if an adversary is assumed to be fundamentally hostile, its hostile acts confirm its nature while conciliatory acts are reinterpreted as tactical responses to pressure. Such a belief system becomes difficult to falsify and can obstruct conflict resolution.

George's development of the *operational code* provides a broader framework for organizing leader beliefs. Operational codes include philosophical beliefs about the nature of politics, conflict, predictability, and human agency, as well as instrumental beliefs about which strategies, tactics,

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timing, and levels of risk are effective. These beliefs are often hierarchical, mutually reinforcing, and resistant to change. Extensions such as the “crisis bargaining code” focus specifically on how leaders perceive adversaries, escalation processes, and the appropriate sequencing of coercive and accommodative tactics.

Levy also reviews research linking beliefs to leaders’ backgrounds and experiences. New datasets on political leaders make it possible to test systematically whether military experience, combat experience, age, childhood conditions, gender, education, and earlier political careers affect conflict behavior. One notable finding in this literature is that military service without combat experience can be associated with greater conflict propensity, while direct combat experience can have different effects depending on regime context. Prior experience also shapes how leaders are perceived by foreign adversaries. Early actions in office can become anchors for reputations of resolve that are subsequently difficult to change.

Expertise matters as well. Experienced leaders may draw more heavily on specialized knowledge and historical analogies, while less experienced leaders may rely more on personal predispositions or trusted advisers. Yet experienced advisory teams cannot automatically substitute for an experienced leader, because leaders must know enough to monitor delegated advice, recognize disagreements, and evaluate the quality of information they receive.

### **24.3 The rational benchmark and bounded rationality**

Psychological approaches to decision making have often been framed as deviations from an idealized rational model. Levy summarizes the rational benchmark as value maximization under constraints. Rational preferences should be complete and transitive, actors should be able to make trade-offs among competing goals, and they should consider intertemporal trade-offs between present and future outcomes. They should search for relevant information, generate alternative strategies, estimate the likely consequences of each, assess probabilities independently of desired outcomes, and update beliefs in a Bayesian manner when new evidence appears.

This standard is difficult to satisfy in real political environments. Simon’s concept of *bounded rationality* begins from the fact that decision makers operate with limited time, attention, information, and computational capacity. Rather than optimizing over all possible alternatives, they often satisfice, rely on heuristics, simplify complex problems, and use standard procedures. These strategies are not necessarily foolish: they are often adaptive responses to complexity. But they can also generate systematic distortions.

### **24.4 Cognitive biases, selective attention, and belief perseverance**

Levy reviews a range of cognitive biases that influence foreign-policy judgment. Leaders often see what they expect to see because prior beliefs guide attention and interpretation. Anchoring makes initial beliefs resistant to later revision. Confirmation bias encourages the search for supportive evidence and the discounting of contradictory evidence. Once a policy has been chosen, decision makers may engage in selective attention that protects the decision from reconsideration. Belief systems often operate more like theories that organize evidence than like passive collections of observations.

The impact of prior beliefs is especially powerful when evidence is ambiguous. Strong beliefs can cause individuals to interpret the same information in opposite ways. These processes help explain intelligence failures and misperceptions of threat, but Levy cautions that apparent cognitive bias may sometimes have structural or political explanations. Analysts should not label behavior psychologically biased without considering alternative mechanisms.

The *fundamental attribution error* is particularly relevant to international politics. Observers tend



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to attribute an adversary's hostile behavior to its disposition or intentions while explaining their own comparable behavior as a response to circumstances. This actor-observer asymmetry can reinforce security dilemmas: each side interprets its own armament as defensive but the other's as evidence of aggressive character. Leaders may also underestimate the degree to which adversaries are constrained by domestic politics, bureaucratic pressures, or strategic circumstances.

## **24.5 Motivated reasoning**

Motivated reasoning differs from ordinary cognitive bias because preferences and emotional needs directly influence how information is processed. People seek consistency between beliefs and desired outcomes, discount evidence that threatens important commitments, and interpret ambiguous information in ways that protect identities, policies, or interests. Cognitive dissonance theory helps explain why leaders may resist information showing that a favored policy has failed.

Motivated reasoning creates serious methodological problems for historical analysis. A leader's inference may reflect psychological protection of a belief, but it might also be a strategic attempt to justify a policy, satisfy domestic constituencies, or obtain bureaucratic support. Analysts therefore need evidence about process rather than inferring motivation from the outcome alone. The debate over intelligence on Iraq illustrates how difficult it can be to separate biased interpretation from political pressure, ambiguous evidence, and genuine uncertainty.

## **24.6 Hawkish biases, overconfidence, and learning from history**

Kahneman and Renshon's concept of "hawkish biases" groups together several psychological tendencies that systematically favor coercive or conflictual policies. Positive illusions can produce excessive confidence in one's military capabilities and bargaining leverage. The illusion of control encourages leaders to believe that they can manage escalation better than they actually can. Competition neglect leads actors to focus on their own capabilities while insufficiently considering how rivals will adapt. The illusion of transparency encourages the belief that one's intentions are obvious to others, even when they are not.

These biases can interact. Overconfidence may cause leaders to underestimate risks; belief in control can make escalation appear manageable; and failure to model an adversary's response can create a self-reinforcing spiral. Levy also notes that some apparent biases may be endogenous to conflict: militarized confrontation itself can increase confidence, group cohesion, and hardline beliefs.

Historical analogies constitute another major source of foreign-policy beliefs. Leaders frequently interpret new crises by comparing them to salient past events such as Munich, Vietnam, or the Persian Gulf War. Analogies simplify complex situations and offer ready-made causal lessons, but they can mislead when decision makers focus on superficial similarities and neglect differences in context. The availability heuristic helps explain why dramatic, recent, or personally experienced historical episodes are especially influential. Yet researchers face a difficult inference problem: leaders often invoke analogies rhetorically after reaching a policy preference, so it can be hard to determine whether a historical lesson genuinely caused the decision.

## **24.7 Psychology and bargaining models of war**

Levy then connects psychology to rationalist bargaining theories of conflict. Fearon's bargaining model argues that war is puzzling because costly fighting should leave a range of peaceful bargains that rational unitary states prefer. Rationalist explanations therefore focus on private information and incentives to misrepresent, commitment problems, and issue indivisibilities.

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Psychological research can complement this framework in several ways. Leaders may disagree about relative power or resolve not only because of private information but also because of stereotypes, overconfidence, biased information processing, or culturally shaped assessments. These mechanisms can distort estimates of the bargaining range even when material information is available. Psychological factors can also shape beliefs about credibility and audience costs. A threat intended as a costly signal may not be interpreted by the target in the way a formal model assumes.

Levy's broader point is that formal rationalist theories identify important strategic structures, while psychology can illuminate where beliefs and subjective probabilities inside those structures come from. This is not a reason to abandon bargaining theory but to build richer models of strategic interaction. Psychological mechanisms matter most when incorporated at clearly specified points in the bargaining process.

## 24.8 Prospect theory

Prospect theory is the leading psychological alternative to expected-utility theory in decisions under risk. It has three central elements. First, outcomes are evaluated as gains or losses relative to a *reference point*, not simply in terms of final asset levels. Second, losses loom larger than equivalent gains: *loss aversion* makes actors particularly resistant to giving up what they regard as already theirs. Third, risk orientation varies across domains. Individuals tend to be risk averse in the domain of gains but more willing to accept risk in the domain of losses. Prospect theory also includes nonlinear probability weighting, whereby people tend to overweight small probabilities and underweight moderate or high probabilities.

These features generate several implications for foreign policy. Reference points can be shaped by the status quo, expectations, recent gains or losses, aspirations, historical analogies, or political framing. Because reference points are partly perceptual, leaders may disagree over whether the same objective outcome constitutes a gain or loss. Once an actor perceives itself to be in a loss domain, it may accept substantial risks to recover the reference point. This logic has been used to explain risky interventions, escalation, and resistance to concessions.

Loss aversion can create a status quo bias and an endowment effect: territory, prestige, or political positions become more valuable once possessed. This can make concessions more difficult than equivalent acquisitions are attractive. It can also reinforce deterrence because actors may fight harder to prevent losses than to obtain new gains. In bargaining, two sides may frame the same settlement differently, with each viewing concessions as losses.

Levy stresses, however, that prospect theory is difficult to test rigorously in international politics. Researchers must identify the relevant reference point independently of the outcome they are trying to explain. They must distinguish loss-domain risk taking from risk taking generated by ideology, personality, strategic incentives, or ordinary probability assessments. Probability weighting further complicates the theory because responses differ between known risks and ambiguous uncertainty. Prospect theory is therefore powerful but should not become a catch-all explanation for any risky foreign policy.

## 24.9 Time horizons and intertemporal choice

Foreign-policy decisions routinely involve trade-offs between immediate and future costs and benefits. Standard rationalist models usually represent these choices through a discount factor, assuming exponential discounting. Behavioral research, however, finds that people often exhibit *hyperbolic discounting*: the relative value of a payoff changes more sharply when it moves from the near future to the present than when the same time interval occurs farther in the future.

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This produces present bias and time-inconsistent preferences.

Political actors may therefore postpone costly reforms, prefer immediate political rewards over larger future benefits, or repeatedly delay actions that they continue to regard as desirable in the abstract. Time horizons also vary across leaders and institutions. Electoral cycles, regime type, age, career incentives, and perceptions of political survival can affect the weight assigned to future outcomes. Levy notes that IR needs better theories of where these time horizons come from rather than simply inserting different discount factors into models.

*Temporal construal theory* adds that people do not merely discount future outcomes more heavily; they also think about distant and near outcomes differently. Near-term events are represented concretely and in terms of feasibility, while distant events are represented more abstractly and in terms of desirability. This can generate excessive optimism about long-term policies because actors focus on attractive objectives while ignoring implementation details. The theory helps explain why states often plan poorly for the later stages of military interventions or occupations. Leaders with long time horizons may be committed to ambitious future goals while underestimating the practical difficulties of achieving them.

## **24.10 Groupthink and group decision making**

Janis's theory of *groupthink* is one of the most influential psychological models of foreign-policy groups. Groupthink refers to a concurrence-seeking tendency in cohesive groups, especially under stress, isolation, and high stakes. Members value consensus and group solidarity, suppress doubts, discount contradictory information, and exert pressure on dissenters. Classic symptoms include illusions of invulnerability, collective rationalization, belief in the group's moral superiority, stereotyping of opponents, self-censorship, and the emergence of "mindguards" who shield the group from unwelcome information.

Janis used cases such as the Bay of Pigs and Vietnam to argue that groupthink can produce defective decision making, while the Cuban Missile Crisis was often presented as a case in which organizational procedures helped avoid it. Levy reviews substantial criticism of the model. Empirical studies do not consistently show that cohesion itself causes poor decisions. Some research points instead to group polarization, leadership style, institutional incentives, or social conformity as more precise mechanisms. Cohesive groups can also perform well when they possess norms that encourage critical debate.

The continued relevance of groupthink therefore lies less in treating it as a universal syndrome and more in studying specific group processes. Foreign-policy groups vary in hierarchy, diversity, information flow, leadership intervention, and willingness to tolerate dissent. Scholars should identify which features actually produce conformity and poor information search rather than attributing any failed group decision to groupthink after the fact.

## **24.11 Crisis decision making**

International crises intensify many psychological problems. They combine high stakes, uncertainty, severe time pressure, information overload, and often fear of war. As stress rises, decision makers can lose cognitive flexibility, narrow their attention, rely more heavily on prior beliefs and stereotypes, and consider fewer alternatives. Moderate stress may sometimes improve focus, but extreme stress increases the likelihood of rigid and simplified thinking.

Crises also affect organizational processes. Decision making often shifts upward toward top leaders, normal bureaucratic procedures may be bypassed, and ad hoc groups may form. Short-term military considerations can dominate longer-term political objectives. Under time pressure,

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leaders may favor options that preserve perceived control or avoid immediate losses even when those choices create future risks.

Levy emphasizes that crisis behavior cannot be explained by a single psychological mechanism. The same stressful environment can interact differently with leader personality, prior beliefs, institutional arrangements, group structure, and the strategic behavior of the adversary. The analytical task is to specify these interactions and identify when psychological effects are likely to be strongest.

## **24.12 Conclusion: integrating psychology into theories of foreign policy**

Levy concludes that the political psychology of foreign policy has advanced enormously. Its contemporary strength lies in combining historically informed theories of beliefs and perception with experimental and quantitative methods. Major areas of progress include emotions, threat perception, signaling, resolve, public opinion, leader characteristics, and behavioral decision theory.

Important limitations remain. External validity is a persistent concern because many experiments rely on student or mass-public samples rather than political elites making high-stakes decisions. Elite experiments are promising, but they cannot easily reproduce real crises. More research is also needed outside security studies, especially on the psychology of economic decision making and international political economy.

Above all, psychological factors must be embedded within wider theories of decision processes. Analysts need to specify where in the causal chain beliefs, biases, emotions, time horizons, or group dynamics influence policy; how individual-level tendencies are aggregated into government choices; and how those choices interact strategically with other actors. Political psychology is therefore neither a replacement for structural or rationalist IR theory nor a residual explanation for mistakes. It is a set of middle-range mechanisms that can make theories of foreign policy more descriptively accurate and causally complete.

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## 25 Yarhi-Milo: In the Eye of the Beholder – How Leaders and Intelligence Communities Assess the Intentions of Adversaries

### 25.1 The problem of inferring political intentions

Keren Yarhi-Milo examines a central problem in international politics: how policymakers infer the long-term political intentions of adversaries. Assessments of whether another state is expansionist, opportunistic, or satisfied with the status quo can determine deterrence, reassurance, armament, alliance, and diplomatic policies. Yet intentions are not directly observable. Decision makers must infer them from actions, capabilities, statements, and personal interactions, all of which can be ambiguous or strategically manipulated.

The article compares two prominent rationalist approaches with Yarhi-Milo's psychological-organizational alternative. The *behavior thesis* argues that observers should infer intentions from costly non-capability actions, such as joining or withdrawing from binding institutions, undertaking or ending military interventions, or signing arms-control agreements. Because these actions impose costs or constrain future choices, they should be more credible than cheap talk. The *capabilities thesis* argues that military capabilities and changes in them provide the most reliable information. Military buildups should signal a greater capacity and possibly intention to behave aggressively, while reductions can reassure.

Yarhi-Milo develops the *selective attention thesis*. The core argument is that information does not enter decision making neutrally. Individual expectations, psychological biases, vividness, and organizational routines affect which indicators observers notice, treat as credible, and use to infer intentions. Consequently, civilian decision makers and intelligence organizations can examine the same adversary and reach different conclusions because they systematically privilege different forms of evidence.

The article defines political intentions in relation to the status quo. An expansionist state actively seeks to increase power and influence beyond existing boundaries. An opportunistic state would like favorable change but pursues it only when opportunities arise and costs appear low. A status quo state seeks primarily to preserve its relative position. The dependent variable is not whether these assessments were objectively correct, but how observers formed them.

### 25.2 Subjective credibility: how political leaders select signals

The first component of selective attention is the *subjective credibility hypothesis*. It challenges the assumption that policymakers automatically recognize costly signals and update rationally from them. Whether a leader treats evidence as credible depends on prior beliefs, causal theories, and the vividness of the information.

Prior expectations are especially important. Hawks who already believe an adversary is hostile are likely to notice and accept evidence of malign intent while discounting reassuring actions. A costly conciliatory action can be interpreted as deception, economic necessity, or a temporary tactical retreat rather than as evidence of changed goals. Doves are more likely to assimilate the same action into a more benign view. This differs from simple Bayesian updating because the psychological argument allows some information to be ignored or reinterpreted so strongly that meaningful updating does not occur.

Leaders also differ in their causal theories. A policymaker who believes domestic unrest produces diversionary aggression may see instability inside an adversary as an indicator of expansionist intentions, whereas another leader who rejects that theory will not. Thus the same objective information can have different significance because observers disagree about the relationship

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between observable behavior and underlying type.

Finally, decision makers are disproportionately influenced by *vivid* information: evidence that is concrete, personalized, emotionally engaging, and close in time or space. Face-to-face impressions of foreign leaders can therefore outweigh abstract intelligence about military inventories or doctrine. Personal interaction can generate a powerful “eyewitness” sense of knowing an adversary’s sincerity. The danger is that vividness and reliability are not the same thing. A personal impression may feel highly diagnostic while being easier to manipulate or more vulnerable to bias than systematic intelligence data.

### 25.3 Organizational expertise and intelligence assessments

The second component of selective attention is the *organizational expertise hypothesis*. Intelligence organizations face a different information environment from political leaders. They are bureaucracies tasked with collecting, measuring, and comparing data. Military capabilities are especially attractive indicators because they are relatively observable, quantifiable, and trackable over time. Weapons, force deployments, and military expenditures can be counted and incorporated into standardized assessments.

Over time, this repeated monitoring creates organizational expertise and also a form of narrowness. Intelligence agencies become highly skilled at analyzing what they routinely collect, and they are therefore inclined to use that information when asked to infer political intentions. The claim is not that intelligence analysts believe capabilities mechanically determine intentions. Rather, in an inherently difficult task such as estimating long-term political goals, organizations naturally rely on the indicators for which they possess the deepest institutional knowledge.

This differs from the capabilities thesis in causal logic. The capabilities thesis says observers should use military power because it objectively reveals or constrains intentions. The organizational expertise thesis says intelligence communities use military power because their routines, resources, and accumulated expertise make it the most available and institutionally legitimate evidence.

### 25.4 Capabilities, behavior, and observable predictions

The capabilities thesis links intentions to changes in the adversary’s military power. A large military buildup, especially by an already powerful adversary, should be interpreted as a costly signal of more hostile intentions. A freeze or decline in capabilities should reassure. If this thesis is correct, assessments should change when perceived capabilities change, and observers should explicitly cite those changes as the reason for revising their beliefs.

The behavior thesis focuses instead on costly actions that are not simply changes in the quantity of military power. Joining a constraining institution, accepting arms-control obligations, withdrawing from a foreign intervention, or otherwise paying a meaningful cost should reveal benign intent; intervention, institutional withdrawal, treaty violation, or other costly revisionist behavior should reveal hostility. The timing of belief change is important. If signing an arms-control agreement itself changes perceptions before capabilities are actually reduced, that supports the behavior thesis. If perceptions change only after material reductions occur, that supports the capabilities thesis.

Yarhi-Milo summarizes these competing predictions in a table and tests them through three historical cases: the collapse of U.S.-Soviet detente under Jimmy Carter, the end of the Cold War during Ronald Reagan’s second term, and British assessments of Nazi Germany before World War II. The research draws on more than 30,000 archival documents, intelligence reports, and interviews. The design compares political leaders with intelligence communities and uses process

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tracing to identify not only whether perceptions changed but which indicators actors explicitly used to justify the change.

## **25.5 The collapse of detente, 1977–1980**

The Carter administration provides a strong test because Soviet behavior generated multiple potentially informative signals. Soviet military capabilities were growing and modernizing. Moscow intervened in a number of Third World conflicts, culminating in the invasion of Afghanistan. At the same time, the Soviet Union signed SALT II, an action that could be interpreted as a costly institutional and arms-control signal.

Carter's senior decision makers began with different priors. National Security Adviser Zbigniew Brzezinski was more suspicious of Soviet intentions than Carter or Secretary of State Cyrus Vance. Early in the administration, Carter and Vance generally viewed Soviet intentions as at most opportunistic, while Brzezinski was more alert to the possibility of a coordinated expansionist strategy.

As Soviet involvement in Africa increased, Brzezinski gradually interpreted the pattern as evidence of expansionism. Vance saw much of the same activity as opportunistic rather than part of a grand design. Carter initially resisted Brzezinski's interpretation and continued to seek cooperation. These differences are difficult to explain through the objective costliness of Soviet actions alone, because the officials disagreed about what the same behavior meant.

The invasion of Afghanistan became a decisive moment for Carter. His beliefs shifted sharply toward the view that Soviet intentions were expansionist. Yarhi-Milo argues that the change was not driven mainly by a new calculation of the military balance. The invasion was vivid, dramatic, and personally meaningful. Carter interpreted it as revealing a qualitatively different Soviet willingness to use force and as invalidating his prior expectations about detente. His personal reaction to Soviet leader Leonid Brezhnev also mattered: Carter had previously believed that personal interaction had helped him understand Brezhnev, which made the invasion feel like evidence that this trust had been misplaced.

Vance responded differently. He opposed the invasion but did not infer from it an overarching Soviet plan for global expansion. His interpretation remained closer to the view that Soviet actions were situational and opportunistic. Brzezinski, by contrast, saw Afghanistan as confirming beliefs he had increasingly held for some time. The variation among officials therefore strongly supports the subjective credibility mechanism: the same costly events were selected and interpreted through different priors and theories.

The behavior thesis receives partial support because interventions clearly mattered, but their impact was not uniform or automatic. The capabilities thesis is weaker at the political-leader level. Although decision makers knew that Soviet military capabilities were improving, they rarely used the military buildup itself as the primary basis for judging Soviet political intentions.

## **25.6 The U.S. intelligence community during the Carter period**

The intelligence community displayed a different pattern. National Intelligence Estimates concentrated heavily on Soviet military capabilities and the strategic balance. Analysts repeatedly linked growing Soviet power to the possibility of more assertive foreign behavior. Agencies disagreed at times over the precise military balance, but those disagreements were themselves reflected in different judgments about Soviet intentions: analysts who viewed Soviet capabilities as relatively weaker tended to view Soviet objectives as less aggressive, while those who saw a more favorable balance for Moscow inferred greater assertiveness.

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This pattern is consistent with both the capabilities thesis and Yarhi-Milo's organizational expertise hypothesis. The intelligence community had developed extensive routines and expertise for measuring forces, weapons, and strategic trends, so it relied on those indicators when faced with the much harder task of estimating intentions. It did not generally base its long-term assessments on vivid personal information of the kind that influenced political leaders.

## **25.7 The end of the Cold War, 1985–1988**

The Reagan case provides an especially demanding test for the behavior thesis because Mikhail Gorbachev undertook numerous costly actions that should have reassured observers. During Reagan's first term, the president regarded the Soviet Union as deeply expansionist and ideological. In the second term, however, Reagan and Secretary of State George Shultz gradually came to believe that Soviet intentions had changed. Secretary of Defense Caspar Weinberger remained much more skeptical.

Material capabilities did not offer a straightforward reason for Reagan's change. U.S. assessments did not initially show a dramatic Soviet military decline, and some Soviet modernization continued. Gorbachev's reforms and foreign-policy initiatives were therefore more important to the change in perceptions than the balance of power itself.

Some of Gorbachev's actions were highly costly: acceptance of the Intermediate-Range Nuclear Forces Treaty, willingness to accept intrusive verification and asymmetrical reductions, movement toward withdrawal from Afghanistan, domestic political reforms, greater openness, and reduced interventionism. Reagan and Shultz paid attention to these developments, but Yarhi-Milo argues that their influence was filtered through vivid interpersonal experience. Reagan met Gorbachev repeatedly and came to see him as sincere, pragmatic, and genuinely interested in changing Soviet-American relations. Personal impressions increased the credibility Reagan assigned to Gorbachev's actions. He increasingly referred to Gorbachev's trustworthiness and to the evidence he obtained from private conversations.

Shultz experienced a similar process through his relationship with Soviet Foreign Minister Eduard Shevardnadze. Repeated face-to-face contact produced a sense that the Soviet leadership was changing in ways not captured by abstract indicators alone. Weinberger, who had much less personal interaction with Gorbachev and began from more hawkish expectations, discounted many of the same actions. He interpreted reforms and arms-control initiatives as tactical measures designed to strengthen rather than transform Soviet power.

This divergence again supports the subjective credibility hypothesis. Costly signals were not self-interpreting. Their meaning depended on the prior beliefs and personal experiences of the observer. The behavior thesis explains part of the case because costly Soviet actions clearly mattered, but it cannot explain why some officials updated strongly while others did not.

## **25.8 The intelligence community and Gorbachev**

The U.S. intelligence community revised its assessments much more slowly than Reagan and Shultz. It continued to view Soviet intentions through the lens of military capabilities and institutionalized estimates. Even as Gorbachev introduced reforms, intelligence assessments often interpreted them as attempts to strengthen the Soviet state and preserve its long-term capacity for competition. Analysts were cautious about treating political reforms or diplomatic initiatives as proof of fundamentally changed goals.

The lag illustrates organizational expertise. The intelligence community had enormous knowledge about military capabilities but less institutional capacity to interpret the political meaning of personal interactions or rapid ideological change. Its procedures encouraged continuity and made



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dramatic revisions difficult until material and behavioral trends became overwhelming. This did not make intelligence analysis irrational; it reflected the information its organizations were structured to collect and validate.

## **25.9 British assessments of Nazi Germany, 1934–1939**

The interwar case provides variation in both military capabilities and costly behavior. Germany rearmed rapidly, withdrew from the League of Nations and the Disarmament Conference, remilitarized the Rhineland, absorbed Austria, demanded the Sudetenland, and finally occupied the remainder of Czechoslovakia. If military capabilities or objectively costly behavior mechanically determined perceived intentions, British leaders should have converged rapidly on a hostile assessment.

They did not. Officials with different prior beliefs drew sharply different conclusions. Robert Vansittart, who began with a hawkish interpretation of Nazi Germany, viewed German rhetoric and behavior as evidence of a broad revisionist and expansionist project. Other officials, including Neville Chamberlain and Ambassador Neville Henderson, initially interpreted Hitler's goals as more limited and potentially satisfiable. The same German actions could therefore be categorized as proof of expansionism or as understandable efforts to revise an unfair postwar settlement.

Personal interaction was central to Chamberlain's judgments. His meetings with Hitler during the Sudeten crisis gave him a vivid sense that the German leader's territorial demands were limited and that Hitler could be trusted once those demands were met. Chamberlain gave considerable weight to Hitler's personal assurances even though other evidence pointed toward broader revisionism. This is exactly the type of inference predicted by the subjective credibility hypothesis: concrete interpersonal impressions can outweigh abstract or historical indicators.

The German occupation of the rest of Czechoslovakia in March 1939 finally transformed Chamberlain's view. The action mattered partly because it was costly and violated earlier commitments, which offers support for the behavior thesis. Yet its psychological impact was also highly personal: it directly contradicted assurances Chamberlain believed Hitler had given him. The event therefore destroyed not simply a policy expectation but Chamberlain's personal confidence in his ability to read Hitler. He and Foreign Secretary Halifax increasingly concluded that Germany sought domination rather than limited revision.

Even here, the behavior thesis is incomplete because officials did not agree in advance about which German actions were diagnostic. Some regarded withdrawal from international institutions, the Rhineland, or Austria as clear signals of expansionism; others discounted them. Costliness alone did not fix the meaning of the signal.

## **25.10 British military intelligence**

British intelligence assessments again differed from those of political leaders. The Chiefs of Staff and military intelligence concentrated heavily on the German military balance and rearmament. Their task was to estimate what Germany could do, when it would be ready for war, and how British forces compared. This emphasis sometimes led to counterintuitive conclusions about intentions. Even as German political behavior became increasingly aggressive, assessments of military readiness could imply that Germany was unlikely to initiate a major war immediately because it was not yet prepared to defeat Britain and its allies.

The case therefore offers support for the organizational expertise hypothesis. Intelligence organizations repeatedly used capabilities because those were the indicators they were structured to measure. Political leaders, meanwhile, relied more on behavior, ideology, diplomatic interaction, and personal impressions. The capabilities thesis alone cannot explain why civilian leaders did

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not consistently use the dramatic German buildup as their primary indicator of Hitler's political goals.

### **25.11 Conclusions for signaling theory and intelligence**

Across the three cases, Yarhi-Milo finds the strongest support for selective attention. Decision makers did not simply collect all available costly signals and update proportionally. Their prior beliefs shaped which evidence they treated as credible; vivid personal information frequently had disproportionate influence; and different officials could draw opposite inferences from the same costly action. Carter's response to Afghanistan, Reagan's changing view of Gorbachev, and Chamberlain's changing view of Hitler all illustrate how personally salient events can trigger major belief revision.

Intelligence communities followed a more stable and capability-centered logic. Their organizational expertise in military inventories, force balances, and observable trends made those indicators central to their assessments. This generated systematic differences between political leaders and professional intelligence analysis. Neither perspective was necessarily always superior. Leaders' interpersonal judgments could reveal important political changes that intelligence organizations missed, but they were also vulnerable to manipulation and bias. Intelligence assessments could be disciplined and data rich, yet overly dependent on what agencies were best equipped to measure.

The findings qualify rationalist costly-signaling theories. Yarhi-Milo does not reject the idea that costly actions can convey information. Some clearly did. The problem is that the theory often leaves the receiver of the signal underdeveloped. A signal has no political effect merely because it is objectively costly; observers must notice it, classify it as relevant, and interpret what it means. Different costly signals can also point in opposite directions, and rationalist accounts often do not specify which one the observer will privilege.

For policy, the implication is that states cannot assume their intended signals will be understood as intended. A military reduction, treaty, intervention, or public assurance may be filtered through the adversary's existing beliefs and organizational routines. Leaders seeking reassurance or deterrence need to understand not only the objective cost of a signal but also the psychology and institutional position of the audience receiving it. Intelligence organizations, meanwhile, should recognize that their expertise can create blind spots when political intentions change faster than military capabilities.

The article therefore reframes the study of intentions from a problem of identifying the objectively best signal to a problem of perception and attention. Intentions are "in the eye of the beholder" because evidence acquires meaning through individual expectations and organizational practices. Any adequate theory of signaling and threat assessment must explain both what states do and how specific observers decide what those actions mean.

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## Part VI

# Session 7

### Session 7, March 23: International organizations and military alliances

\*\*\* Bueno de Mesquita (2013) Chapter 7

\*\*\* Abbott and Snidal (1998)

- Leeds (2003)
- Morrow (2000)
- Koremenos et al. (2001)
- Lall (2017)

## 26 Bueno de Mesquita, 2013 Chapter 7

Cooperation is easily achieved when it is in everyone's interest—that is, when no one can get extra benefits by free riding on the efforts of others or by cheating,

1. How inclusive is the organization's membership?
2. How are decisions made?
3. How likely is compliance with the organization's decisions?
4. How is punishment imposed for noncompliance?
5. How effective are the rules and regulations established by the organization?

### 26.1 The Problems of Rivalry and Nonexcludability

Problem of Collective Action: compliance, distributional inequities, monitoring, and enforcement.

Rival goods are things that can be used up so that when one person consumes the good it is no longer available to another person.

**Example: Euphrates River** The Euphrates River originates in Turkey, flowing from there to Syria and Iraq and then on to the Persian Gulf.

Nonexcludability means that one person's use cannot prevent others from consuming the same good whether they paid for its benefits (or harm) or not.

**Example: coal-burning energy plants to emit sulfur** If the United States allows coal-burning energy plants to emit sulfur, carbon dioxide, or other pollutants, Canadians cannot be excluded from the harmful effects of those pollutants if the prevailing winds carry them across the US border into Canada.

**TABLE 7.1****Conditions in Search of International Solutions**

|                 | Excludable                                                                         | Non-Excludable                                             |
|-----------------|------------------------------------------------------------------------------------|------------------------------------------------------------|
| <b>Rival</b>    | <b>Private Goods:</b> Imports and Exports, Currency Exchange and Commodity Trading | <b>Common-Pool Resources:</b> Fishing, Cross-Border Rivers |
| <b>Nonrival</b> | <b>Club Goods:</b> Intellectual Property, Religious Rights                         | <b>Public Goods:</b> Clean Air, National Defense           |

**Figura 11**

Tragedy of the Commons **Common-pool resources:** Fish in the world's oceans are thought of as a common-pool resource.

They belong to everyone and fishermen in international waters cannot easily be excluded from pursuing fish regardless of where the fish originated

Although pretty much all fishermen agree that it is important to sustain the stock of commercially valuable fish, each individually wants also to maximize his or her income.

Those who overfish jeopardize the future supply, but they earn more now. If they care enough more about today compared to tomorrow, they can be expected to overfish, producing the tragedy of the commons.

**Club Goods:** Access to intellectual property comes at a price, thereby excluding any who do not pay for access, but consumption of intellectual property does not limit anyone else's opportunity to consume the same intellectual product.

## 26.2 Collective Action Problem

Let  $N$  denote the number of states. To make its contribution to the production of the nonexcludable benefit  $B$ , each national government must spend an amount  $c$  from its national revenue.

If every government pays its share,  $B$  is produced with certainty at a global cost of  $Nc$ , giving a net value of  $B - Nc$ .

If one government shirks its responsibility, the expected value of the benefit to everyone is  $\frac{N-1}{N}B$ . Each of the other  $N - 1$  governments pays the cost  $c$ , while the shirking government pays nothing, so for the shirker  $c = 0$ . The shirker nevertheless expects to enjoy the benefit  $B$  with probability  $\frac{N-1}{N}$ , thereby free riding on everyone else's efforts.

We see also that as  $N$  increases the problem is exacerbated.

## 26.3 Organizational Solutions to Collective Action

### 26.4 1. Cooperation through Repeated Bilateral Interaction

Of course, there is a clear trade-off between size and value of the benefits produced. As  $N$  shrinks, the odds of avoiding free riding improve, but the total worth of the benefit is likely to be diminished, implying that there is a benefit and cost specific optimal size for international organizations (Bueno de Mesquita and Stephenson 2006).

But when **two governments must interact over and over again, without knowing how many interactions it will take** before the problem confronting them is resolved (or negotiations are broken off), it turns out they can find a self-interested path to cooperation.

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The possibility of cooperation even in the face of distributional differences relies on a concept called the **shadow of the future**. This concept tells us that if **the future is valued enough that the future stream of expected benefits outweighs the opportunity to get a one-time big payoff**, then decision makers who benefit in the short run from noncooperation can engage in cooperative behavior over the long run out of their own self-interest (Taylor 1976; Axelrod 1984).

#### 26.4.1 Tit for Tat:

The players do not know when the game will end.

If the future is valuable enough, then each player can credibly declare that his or her subgame perfect strategy will be to make the move the other player made in the immediately previous round of interaction.

This strategy is called tit for tat: do unto the other what the other just did to you—defect if the other defected; cooperate if the other cooperated.

Deciding whether to risk getting the sucker's payoff by cooperating depends on how easy it will be to recover from the costly one-time loss. This is the notion of the shadow of the future that we met earlier.

**Grim Trigger Strategy:** Under this punishment strategy, I declare that if you defect even once I will never cooperate with you again.

Why can players be induced to cooperate with one another when they are involved in an indefinitely repeating prisoner's dilemma? Because, if they follow a forgiving strategy, like tit for tat, instead of a grim trigger punishment strategy and if their shadow of the future is sufficiently large, they can be made better off!

However, tit for tat cannot succeed in making cooperation an equilibrium strategy if the repetitions of the prisoner's dilemma are for a known number of times.  $\Rightarrow$  I cannot punish you if you defect the fifth time we play the game.

### 26.5 Flexibility Can Be a Virtue: Rosendorff and Milner

Flexibility may allow you, for instance, to deal with short-term domestic political pressures while, over the longer run adhering to our mutually beneficial agreement. The idea is to allow an escape clause that comes at a tolerable price, one that is neither too high nor too low. They define an escape clause as "any provision of an international agreement that allows a country to suspend the commitments it previously negotiated without violating or abrogating the terms of the agreement".

Perhaps a fine is imposed in exchange for a digression from the agreement's terms, as is true in many trade agreements, or perhaps some compensatory behavior is required

### 26.6 Information, Reputation, and the Value Added by Institutions

Members of OPEC want to coordinate in increasing the price of oil by keeping supply down. That is why the organization exists. As the collective action problem has taught us, however, some members inevitably cheat by producing more than their quota in order to reap the economic advantages that follow from gaining more market share.

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## 26.7 Multilateral Organizations and Cooperation

### 26.8 Inclusiveness: Trade-Offs between Regime Efficiency and Effectiveness

Downs et al. 1996: Larger organizations are more likely to impose shallow requirements on members than are smaller, more selective organizations.

de Mesquita and Stephenson (2006): They show informal networks or formal organizations bound by costly contract rules have an optimal size.

Downs et al. 1998: A solution to this watering-down problem is for organizations to start small, require new members to adhere to their rules as a condition of joining, require that new members are voted in by a super majority of existing members, and require a supermajority to change rules, including the mechanisms for monitoring and punishing poor behavior.

#### 26.8.1 Alternative Views of Inclusiveness

**Constructivist vs Realist** Realists maintain that inclusiveness waters down decisions by allowing too much diversity in policy preferences. Since states act on their national interests, the more states that are included in an organization, the less likely it is that the organization can reflect the national interests of its member states.

Constructivists maintain that cooperation is stimulated by participation in international organizations. They suggest that preferences are not exogenous to the situation in which decision makers find themselves; rather, preferences are shaped and reshaped by participation in and deliberation with alternative viewpoints.

The strategic perspective favors inclusiveness of membership only if the rules also ensure inclusiveness in the coalition of members whose support is needed to keep the individual member-state's desired organizational leadership in office, where the organizational leadership's choices may serve as public goods for the domestic coalition of some member states or may serve to exacerbate problems by doling out private goods to some, by definition excluding others.

#### 26.8.2 The United Nations: Shallow Decisions or Inaction

The General Assembly is not endowed with the means to enforce its resolutions, so achieving compliance could be a difficult problem in the case of resolutions that demand significant changes in behavior by member states. As a result, we can expect that most resolutions passed by the General Assembly are shallow, are passed by a large margin, and experience a high degree of compliance.

The decision rules in the UN Security Council are much more demanding than those used by the General Assembly. The Charter of the United Nations gives the UNSC primary responsibility for maintaining international peace and security. It therefore has the right to order economic sanctions, send peacekeepers, or take other actions to protect or restore peace.

That makes the UNSC a potentially powerful body. As such, we should not be surprised to discover that it is an oligarchy on which the secretary-general is wholly dependent.

The voting rules in the UNSC have two consequences.

- For instance, in the face of massive military assaults by the Syrian government against its own citizens, most demonstrating peacefully for regime change, the UNSC was able to agree only on weak language calling for peace but unable to pass a serious resolution calling for regime change or imposing international sanctions. Russia and China vetoed

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the proposed stronger resolution. Russia was at the time probably the largest arms seller to Syria's Assad government. China had entered into contracts with Iran, a close ally of Assad's regime, for cheap oil. With so much at stake for some permanent members one could not reasonably expect anything other than resolutions made up of empty words.

- If the permanent members are genuinely behind a UN resolution and the resolution is not the product of a substantial compromise, then compliance with the resolution is likely and the resolution itself is likely to be effective.

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## 27 Abbott and Snidal 1998 – Why States Act through Formal International Organizations

we identify two functional characteristics that lead states, in appropriate circumstances, to prefer IOs to alternate forms of institutionalization:

- **Centralization:** a concrete and stable organizational structure and an administrative apparatus managing collective activities.
- **Independence:** the authority to act with a degree of autonomy, and often with neutrality, in defined spheres

IOs allow for the centralization of collective activities through a concrete and stable organizational structure and a supportive administrative apparatus. These increase the efficiency of collective activities and enhance the organization's ability to affect the understandings, environment, and interests of states. Independence means the ability to act with a degree of autonomy within defined spheres. It often entails the capacity to operate as a neutral in managing interstate disputes and conflicts. IO independence is highly constrained: member states, especially the powerful, can limit the autonomy of IOs, interfere with their operations, ignore their dictates, or restructure and dissolve them. But as in many private transactions, participation by even a partially autonomous, neutral actor can increase efficiency and affect the legitimacy of individual and collective actions. This provides even powerful states with incentives to grant IOs substantial independence.

### 27.1 Putting IOs into Theory and Theory into IOs

Our primary approach is rationalist and institutionalist. We assume, for simplicity, that states are the principal actors in world politics and that they use IOs to create social orderings appropriate to their pursuit of shared goals.

Decentralized cooperation theory takes as the problematic of international governance the existence of coordination and collaboration problems requiring collective action (Oye 1986; Stein 1983; Snidal 1985a). It assumes anarchy, often depicted in game models, and analyzes how states cooperate in that sparse context through strategies of reciprocity and other forms of self-help. The dependent variable is typically cooperation in the abstract, and much of the research in this tradition has been directed to disproving the realist assertion that cooperation in anarchy is unlikely.

**Regime theory**, in contrast, deals explicitly with institutional factors affecting cooperation, and regime scholars frequently mention IOs. But they downplay the distinctive institutional role(s) of IOs, perhaps in continued reaction against the earlier preoccupation with formal organizations. Neither discusses the organizations' primary operational roles.

**Legal scholarship** continues to offer descriptive accounts of the history and institutional architecture of IOs, as well as doctrinal analysis of norms and texts, especially the normative output of organizations such as ILO treaties, GATT or WTO.

Another strand of doctrinal theory addresses the constitutional law of IOs, including membership and voting rules, external relations, finance, and the authority of specific organs.

Constructivist theory-focusing on norms, beliefs, knowledge, and understandings. We accept the insight that social constructions are fundamental elements of international politics and agree that IOs are-in part-both reflections of and participants in ongoing social processes and prevailing ideas.



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The role of IOs is best understood through a synthesis of rationalist (including realist) and constructivist approaches.

States consciously use IOs both to reduce transaction costs in the narrow sense and, more broadly, to create information, ideas, norms, and expectations; to carry out and encourage specific activities; to legitimate or delegitimize particular ideas and practices; and to enhance their capacities and power. These functions constitute IOs as agents, which, in turn, influence the interests, intersubjective understandings, and environment of states (McNeely 1995). Potentially, these roles give IOs an influence well beyond their material power, which is trivial on conventional measures. Indeed, IO activities may lead to unintended consequences for member states, a fear often expressed by U.S. politicians. Yet, IO autonomy remains highly constrained by state interests, especially those of the powerful—a fact often demonstrated by U.S. politicians.

## 27.2 The Functions of IOs: Centralization and Independence

Centralization and independence enhance efficiency. An analogy to private business firms is instructive.

- The move from decentralized cooperation to IOs occurs when the costs of direct state interaction outweigh the costs of international organization, including consequent constraints on unilateral action.
- In complex IOs member states grant some authority to IO organs and personnel but supervise them through structures resembling the corporate shareholders meeting, board of directors, and executive committee. Introducing these new actors changes the relations among states and allows them to achieve goals unattainable in a decentralized setting.
- **political effects:** In these respects, IOs resemble governments and private associations more than business firms. Independence, in particular, enables IOs to shape understandings, influence the terms of state interactions, elaborate norms, and mediate or resolve member states' disputes. The acts of independent IOs may be accorded special legitimacy, and they affect the legitimacy of members' actions. Even centralization, seemingly more mechanical, can alter states' perceptions and the context of their interactions.

## 27.3 Centralization

We consider the benefits of centralization under two headings—support for direct state interaction (the principal focus of regime theory) and operational activities.

### 27.3.1 SUPPORT FOR STATE INTERACTIONS

The organizational structure of IOs enhances even the passive virtues recognized by regime theory. An established organization provides a stable negotiating forum, enhancing iteration and reputational effects.

In other ways too, centralization shapes the political context of state interactions. IOs provide neutral, depoliticized, or specialized forums more effectively than almost any informal or decentralized arrangement.

Representation and voting rules "constitutionalize" balances among states having different levels of power, interest, or knowledge.

Hold the powerful accountable to fixed rules and procedures.

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Such considerations often lead to elaborate organizational structures. The substantive work of many IOs takes place in specialized committees staffed by their secretariats.

We draw on the analogy to the medieval law merchant and the corresponding theoretical literature (Milgrom, North, and Weingast 1990; Calvert 1995; Morrow 1994). Informal consultations produced sufficient information on the identity of untrustworthy traders to support a substantial volume of trade. Yet, modest efforts by central administrators at commercial fairs to collect and relay additional information created a new equilibrium at a higher level of exchange.

### **27.3.2 MANAGING SUBSTANTIVE OPERATIONS**

Operational organizations normally have sizable budgets and bureaucracies, complex organizational structures, and substantial operational autonomy.

The analogy of the large business corporation, with its dispersed owner-investors and professional managers, is apt.

#### **Pooling:**

Pooling can be accomplished on a decentralized basis, as in a business partnership, but a separate entity with a stable organizational structure and specialized staff can greatly reduce transaction costs while providing additional advantages.

Consider the World Bank again. As in other international financial institutions (IFIs), members pool financial resources through capital contributions and commitments.

Nonfinancial IOs provide similar advantages. The public health activities of WHO, like other UN-specialized agencies, are based on the pooling of national contributions and cost sharing (though the industrialized countries bear the bulk of the costs); economies of scale provide operational efficiencies. The WHO smallpox campaign illustrates the horizontal benefits of centralization: a single global campaign against a contagious disease is more effective than decentralized efforts because global scope avoids gaps in coverage.

#### **Joint Production:**

Theory of the firm suggests that a centralized organization is particularly important when workers, managers, and other "inputs" must work in teams, producing a joint output. In these situations, the hierarchical organization of the firm makes it easier for managers, themselves beholden to the owners ("residual claimants"), to monitor, reward, and discipline employees. IO personnel engage in similar teamwork and thus are typically organized hierarchically, with supervision by and on behalf of member states.

Experts from several European states cooperate in subatomic research through the European Organization for Nuclear Research (CERN), an IO that operates a nuclear laboratory.

#### **Norm Elaboration and Coordination:**

"In international law, there is not a very complete body of law that can be applied to supply missing terms.... Second, ... there is generally no dispute resolution tribunal with mandatory jurisdiction.... The alternative, of course, is to write comprehensive contracts" (Trachtman 1996, 51-54).

There is another alternative: to create procedures for the elaboration of norms within an IO. Decentralized procedures do not address the problems of transaction costs and opportunism.

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## 27.4 Independence

If major shareholders cause managers to favor their interests unduly, others may refuse to invest. If shareholders generally assert excessive control, moreover, they lose the advantages of professional management. The law merchant analogy is even sharper. Powerful princes granted monopoly privileges to independent guilds of foreign merchants, enabling them to embargo the princes themselves if they took advantage of the merchants.

### 27.4.1 Support for Direct State Interaction

Independent IOs promote intergovernmental cooperation in more proactive ways than those discussed earlier; they are initiating as well as supportive organizations. The governing body is often authorized to call together member states to consider current problems. IO personnel also influence negotiation agendas. On a high political plane, UNEP kept ozone protection alive when interstate negotiations deadlocked and built support for the Montreal Protocol.

### 27.4.2 Managing Substantive Operations

In the above examples, IOs facilitate interstate collaboration by pushing negotiations forward. This role could be played by, say, a dominant state, but suspicions of bias might impede cooperation; an independent IO may be more acceptable because it is neutral. For many substantive IO operations, however, it is the existence of a truly independent third party, not the absence of bias per se, that enables states to achieve their ends.

#### **Laundering:**

States may prefer development assistance from an independent financial institution over direct aid from another state, especially a former colonial power or one seeking political influence. IFI restrictions on national autonomy (e.g., on project design or broader economic policies) may not carry the same domestic political implications of dependence and inferiority as would conditions imposed directly by, say, the United States or France.

The autonomy needed for successful laundering gives IOs influence over the substance of their activities.

#### **Neutrality:**

Neutrality adds impartiality to independence.

Even more than laundering, neutrality demands that institutions be buffered from direct pressures of states.

#### **Neutrality: IO as neutral information provider**

International monitoring organizations, notably those operating under multilateral arms control treaties, provide outstanding examples of neutral information production.

Impartial information not only deters cheating by others but also helps states assure others of their own compliance.

#### **Neutrality: IO as trustee**

Security Council held Iraq responsible for losses caused by its invasion of Kuwait. It required Iraq to contribute a percentage of its oil export revenues to a UN compensation fund from which payments would be made.

Traditional UN peacekeeping also illustrates the trustee function.

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**Neutrality: IO as allocator**

A neutral party often allocates scarce resources among claimants to avoid paralyzing negotiating standoffs and lingering resentment: the parent, not the children, slices the birthday cake.

**Neutrality: IO as arbiter**

International institutions are truly designed to restrain state power, yet many help states resolve legal and political disputes.

**Neutrality: In facilitative intervention**

IO operates as "honest broker" to reduce transaction costs, improve information about preferences, transmit private offers, and overcome bargaining deadlocks.

**Neutrality: In binding intervention**

In binding intervention, international institutions issue legally binding decisions with the consent of all parties. The mere possibility of binding external intervention may bring recalcitrant states to the bargaining table and make negotiating positions more reasonable.

Neither government could be accused by its internal critics of having yielded to the other.

## **27.5 IO as Community Representative and Enforcer**

### **27.5.1 The IO as Community Representative**

States establish IOs to represent or embody a community of states, an aspiration that became central after World War II and remains important today. Inclusive institutions such as the General Assembly provide a forum in which states address common issues and express shared interests and values. They can work by consensus or exert collective pressure on states to accept principles concerning human rights, democracy, and global commons. Representative bodies such as the Security Council include major powers and other interests, combining political bargains over representation with efficient decision-making. Institutions such as the ICJ are designed to promote independence and neutrality and can advance community interests with particular legitimacy. One of the most important functions of community organizations is to develop and express collective norms and aspirations. The General Assembly can legitimate or delegitimize state conduct even without enforcement powers, as shown by its work on human rights, apartheid, decolonization, and environmental protection. The Universal Declaration of Human Rights influenced state behavior, binding treaties, and national constitutions despite not being directly enforceable. Independent courts and quasi-judicial bodies educate the community and strengthen norms by publicly articulating, developing, and applying rules. More generally, IOs can reshape states' interests, values, and shared environment, but these processes remain initiated and constrained by states through institutional rules, funding, appointments, and the possibility of withdrawal.

### **27.5.2 The IO as Manager of Enforcement**

The role of IOs in ensuring compliance with international commitments can best be understood by integrating managerial and enforcement views of the process. Observing high levels of compliance with international agreements, even though strong enforcement provisions are rarely included or used, the managerial school concludes that IR has focused too heavily on coercive enforcement. In this view, noncompliance typically results not from deliberate cheating but from ambiguity in agreements, insufficient state capacity, or changing international and domestic circumstances (Chayes and Chayes 1995; see also Mitchell 1994; Young 1994). Resolution of such problems

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lies not in stronger enforcement but in better management of compliance. Downs, Rocke, and Barsoom (1996) counter that, without enforcement, states will cheat on agreements and that observed compliance levels largely reflect shallow agreements that require little change in state behavior.

IOs also have some direct avenues of enforcement. These include requirements of national reporting—wherein failure to report itself indicates improper behavior—and the issuance of findings by the IO itself. The ILO has issued such reports with respect to labor practices, even in the case of powerful states such as the Soviet Union and Britain.

A second means of direct enforcement is withholding IO benefits.

Finally, IOs play an important role as managers of enforcement, authorizing and giving meaning to retaliation, thus ensuring that enforcement activities are not excessively disruptive to the larger international community. This possibility is differentially developed. The GATT only once authorized retaliation, whereas WTO practice is still emerging.

### **27.5.3 Chapter VII: The Uses and Limits of Direct Enforcement**

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